

SUPREME COURT OF INDIA

Vodafone International Holdings B.V. v. Union of India & Anr.

(2012) 6 SCC 613

Decided 20 January 2012 · 3-judge bench

274 pages of the original

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REPORTABLE IN THE SUPREME COURT OF INDIA CIVIL APPELLATE JURISDICTION
CIVIL APPEAL NO.733 OF 2012 (arising out of S.L.P. (C) No. 26529 of 2010)

Vodafone International Holdings B.V.

... Appellant(s)

versus Union of India & Anr.

...Respondent(s)

JUDGMENT

S.H. KAPADIA, CJI 1.

Leave granted.

Introduction 2.

This matter concerns a tax dispute involving the

Vodafone Group with the Indian Tax Authorities [hereinafter referred to for short as “the Revenue”], in relation to the acquisition by Vodafone International Holdings BV [for short “VIH”], a company resident for tax purposes in the Netherlands, of the entire share capital of CGP Investments

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(Holdings) Ltd. [for short “CGP”], a company resident for tax purposes in the Cayman Islands [“CI” for short] vide transaction dated 11.02.2007, whose stated aim, according to the Revenue, was “acquisition of 67% controlling interest in HEL”, being a company resident for tax purposes in India which is disputed by the appellant saying that VIH agreed to acquire companies which in turn controlled a 67% interest, but not controlling interest, in Hutchison Essar Limited (“HEL” for short).

According to the appellant, CGP held

indirectly through other companies 52% shareholding interest in HEL as well as Options to acquire a further 15% shareholding interest in HEL, subject to relaxation of FDI Norms. In short, the Revenue seeks to tax the capital gains arising from the sale of the share capital of CGP on the basis that CGP, whilst not a tax resident in India, holds the underlying Indian assets.

Facts A.

Evolution of the Hutchison structure and the Transaction

3.

The Hutchison Group, Hong Kong (HK) first invested
into the telecom business in India in 1992 when the said

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Group invested in an Indian joint venture vehicle by the name Hutchison Max Telecom Limited (HMTL) – later renamed as HEL.

4.

On 12.01.1998, CGP stood incorporated in Cayman

Islands, with limited liability, as an “exempted company”, its sole shareholder being Hutchison Telecommunications Limited, Hong Kong [“HTL” for short], which in September, 2004 stood transferred to HTI (BVI) Holdings Limited [“HTIHL (BVI)” for short] vide Board Resolution dated 17.09.2004. HTIHL (BVI) was the buyer of the CGP Share. HTIHL (BVI) was a wholly owned subsidiary (indirect) of Hutchison Telecommunications International Limited (CI) [“HTIL” for short].

5.

In March, 2004, HTIL stood incorporated and listed on Hong Kong and New York Stock Exchanges in September, 2004.

6.

In February, 2005, consolidation of HMTL (later on HEL) got effected. Consequently, all operating companies below HEL

got

held

by

one

holding

company,

i.e.,

HMTL/HEL. This was with the approval of RBI and FIPB.

The

ownership

of

the

said

holding

company,

i.e.,

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HMTL/HEL was consolidated into the tier I companies all based in Mauritius. Telecom Investments India Private Limited [“TII” for short], IndusInd Telecom Network Ltd. [“ITNL” for short] and Usha Martin Telematics Limited [“UMTL” for short] were the other shareholders, other than Hutchison and Essar, in HMTL/HEL. They were Indian tier I companies above HMTL/HEL. The consolidation was first mooted as early as July, 2003.

7.

On

28.10.2005,

VIH

agreed

to

acquire

5.61%

shareholding in Bharti Televentures Ltd. (now Bharti Airtel Ltd.).

On the same day, Vodafone Mauritius Limited

(subsidiary of VIH) agreed to acquire 4.39% shareholding in Bharti Enterprises Pvt. Ltd. which indirectly held shares in Bharti Televentures Ltd. (now Bharti Airtel Ltd.).

8.

On 3.11.2005, Press Note 5 was issued by the

Government of India enhancing the FDI ceiling from 49% to 74% in telecom sector. Under this Press Note, proportionate foreign component held in any Indian company was also to be counted towards the ceiling of 74%.

9.

On

1.03.2006,

TII

Framework

and

Shareholders

Agreements stood executed under which the shareholding of

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5

HEL was restructured through “TII”, an Indian company, in which Analjit Singh (AS) and Asim Ghosh (AG), acquired shares through their Group companies, with the credit support provided by HTIL.

In consideration of the credit

support, parties entered into Framework Agreements under which a Call Option was given to 3 Global Services Private Limited ["GSPL" for short], a subsidiary of HTIL, to buy from Goldspot Mercantile Company Private Limited ["Goldspot" for short] (an AG company) and Scorpions Beverages Private Limited ["Scorpions" for short] (an AS company) their entire shareholding in TII. Additionally, a Subscription Right was also provided allowing GSPL a right to subscribe to the shares of Centrino Trading Company Private Limited ["Centrino" for short] and ND Callus Info Services Private Limited ["NDC" for short].

GSPL was an Indian company

under a Mauritius subsidiary of CGP which stood indirectly held by HTIL. which imposed

These agreements also contained clauses restrictions

to

transfer

downstream

interests, termination rights, subject to objection from any party, etc.

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10.

The shareholding of HEL again underwent a change on

7.08.2006 through execution of 2006 IDFC Framework Agreement

with

the

Hinduja

Group

exiting

and

its

shareholding being acquired by SMMS Investments Private Limited ["SMMS" for short], an Indian company. Hereto, the investors (as described in the Framework Agreement) were prepared to invest in ITNL provided that HTIL and GSPL procured financial assistance for them and in consideration whereof GSPL would have Call Option to buy entire equity shares of SMMS.

Hereto, in the Framework Agreement

there were provisions imposing restrictions on Share Transfer, Change of Control etc.

On 17.08.2006, a

Shareholders Agreement stood executed which dealt with governance of ITNL.

11.

On 22.12.2006, an Open Offer was made by Vodafone

Group Plc. on behalf of Vodafone Group to Hutchison Whampoa Ltd., a non-binding bid for US \$11.055 bn being the enterprise value for HTIL's 67% interest in HEL.

12.

On 22.12.2006, a press release was issued by HTIL in

Hong Kong and New York Stock Exchanges that it had been approached

by

various

potentially

interested

parties

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regarding a possible sale of "its equity interests" (not controlling interest) in HEL. That, till date no agreement stood entered into by HTIL with any party.

13.

On 25.12.2006, an offer comes from Essar Group to

purchase HTIL's 66.99% shareholding at the highest offer price received by HTIL. Essar further stated that any sale by HTIL would require its consent as it claimed to be a copromoter of HEL.

14.

On 31.01.2007, a meeting of the Board of Directors of

VIH was held approving the submission of a binding offer for 67% of HTIL's interest at 100% enterprise value of US \$17.5 bn by way of acquisition by VIH of one share (which was the entire shareholding) in CGP, an indirect Cayman Islands subsidiary of HTIL. The said approval was subject to:

(i)

reaching an agreement with Bharti that allowed VIH to make a bid on Hutch; and

(ii)

entering

into

an

appropriate

partnership

arrangement to satisfy FDI Rules in India.

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15.

On 6.02.2007, HTIL calls for a binding offer from

Vodafone Group for its aggregate interests in 66.98% of the issued share capital of HEL controlled by companies owned, directly or indirectly, by HTIL together with inter-related loans.

16.

On 9.02.2007, Vodafone Group makes a revised offer

on behalf of VIH to HTIL. The said revised offer was of US \$10.708 bn for 66.98% interest [at the enterprise value of US \$18.250 bn] and for US \$1.084 bn loans given by the Hutch Group.

The

offer further confirmed

that in

consultation with HTIL, the consideration payable may be reduced to take account of the various amounts which would be payable directly to certain existing legal local partners in order to extinguish HTIL's previous obligations to them. The offer further confirmed that VIH had come to arrangements with HTIL's existing local partners [AG, AS and Infrastructure Development Finance Company Limited (IDFC)] to maintain the local Indian shareholdings in accordance with the Indian FDI requirements. The offer also expressed VIH's willingness to offer Essar the same financial terms in HEL which stood offered to HTIL.

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17.

On the same day, i.e., 9.02.2007, Bharti conveys its no

objection to the proposal made by Vodafone Group to purchase a direct or indirect interest in HEL from the Hutchison Group and/ or Essar Group.

18.

On 10.02.2007, a re-revised offer was submitted by

Vodafone valuing HEL at an enterprise value of US \$18.80 bn and offering US \$11.076 bn for HTIL's interest in HEL.

19.

On 11.02.2007, a Tax Due Diligence Report was

submitted by Ernst & Young. The relevant observation from the said Report reads as follows:

“The target structure now also includes a Cayman company, CGP Investments (Holdings)

Limited, CGP Investments (Holdings) Limited was not originally within the target group. After our due diligence had commenced the seller proposed that CGP Investments (Holdings)

Limited should be added to the target group and made available certain limited information about the company. Although we have reviewed this information, it is not sufficient for us to be able to comment on any tax risks associated with the company.”

20.

VIH)

On 11.02.2007, UBS Limited (Financial Advisors to submitted

a

financial

report

setting

out

the

methodology for valuation of HTIL’s 67% effective interest in HEL through the acquisition of 100% of CGP.

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21.

On 11.02.2007, VIH and HTIL entered into an

Agreement for Sale and Purchase of Share and Loans (“SPA” for short), under which HTIL agreed to procure the sale of the entire share capital of CGP which it held through HTIHL (BVI) for VIH.

Further, HTIL also agreed to procure the

assignment of Loans owed by CGP and Array Holdings Limited [“Array” for short] (a 100% subsidiary of CGP) to HTI (BVI) Finance Ltd. (a direct subsidiary of HTIL). As part of its obligations, HTIL undertook to procure that each Wider Group Company would not terminate or modify any rights under any of its Framework Agreements or exercise any of their Options under any such agreement.

HTIL also

provided several warranties to VIH as set out in Schedule 4 to SPA which included that HTIL was the sole beneficial owner of CGP share.

22.

On 11.02.2007, a Side Letter was sent by HTIL to VIH

inter alia stating that out of the purchase consideration, up to US \$80 million could be paid to some of its existing partners. By the said Side Letter, HTIL agreed to procure that Hutchison Telecommunications (India) Ltd. (Ms) ["HTIL Mauritius" for short], Omega Telecom Holdings Private

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Limited ["Omega" for short] and GSPL would enter into IDFC Transaction Agreement prior to the completion of the acquisition pursuant to SPA, which completion ultimately took place on 8.05.2007.

23.

On 12.02.2007, Vodafone makes public announcement
to Securities and Exchange Commission ["SEC" for short], Washington
and
on
London
Stock
Exchange
which

contained two assertions saying that Vodafone had agreed to acquire a controlling interest in HEL via its subsidiary VIH and, second, that Vodafone had agreed to acquire companies that control a 67% interest in HEL.

24.

On the same day, HTIL makes an announcement on
HK Stock Exchange stating that it had agreed to sell its entire direct and indirect equity and loan interests held through subsidiaries, in HEL to VIH.

25.

On 20.02.2007, VIH applied for approval to FIPB. This
application was made pursuant to Press Note 1 which applied to the acquisition of an indirect interest in HEL by VIH from HTIL. It was stated that "CGP owns directly and indirectly through its subsidiaries an aggregate of 42.34% of the issued share capital of HEL and a further indirect

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interests in 9.62% of the issued share capital of HEL".

That, the transaction would result in VIH acquiring an indirect controlling interest of 51.96% in HEL, a company competing with Bharti, hence, approval of FIPB became necessary. It is to be noted that on 20.02.2007, VIH held 5.61% stake (directly) in Bharti.

26.

On the same day, i.e., 20.02.2007, in compliance of Clause 5.2 of SPA, an Offer Letter was issued by Vodafone Group Plc on behalf of VIH to Essar for purchase of its entire shareholding (33%) in HEL.

27.

On 2.03.2007, AG wrote to HEL, confirming that he, through his 100% Indian companies, owned 23.97% of a joint venture company-TIL, which in turn owned 19.54% of HEL and, accordingly, his indirect interest in HEL worked out to 4.68%.

That, he had full and unrestricted voting rights in companies owned by him. That, he had received credit support for his investments, but primary liability was with his companies.

28.

A similar letter was addressed by AS on 5.03.2007 to FIPB. It may be noted that in January, 2006, post dilution of FDI cap, HTIL had to shed its stake to comply with 26%

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local shareholding guideline.

Consequently, AS acquired 7.577% of HEL through his companies.

29.

On 6.03.2007, Essar objects with FIPB to HTIL's proposed sale saying that HEL is a joint venture Indian company between Essar and Hutchison Group since May, 2000. That, Bharti is also an Indian company in the "same field" as HEL.

India.

Bharti was a direct competitor of HEL in

According to Essar, the effect of the transaction

between HTIL and VIH would be that Vodafone with an indirect controlling interest in HEL and in Bharti violated Press Note 1, particularly, absent consent from Essar.

However, vide letter dated 14.03.2007, Essar gave its consent to the sale.

Accordingly, its objection stood withdrawn.

30.

On

14.03.2007,

FIPB

wrote

to

HEL

seeking

clarification regarding a statement by HTIL before US SEC stating that HTIL Group would continue to hold an aggregate interest of 42.34% of HEL and an additional indirect interest through JVCs [TII and Omega] being nonwholly owned subsidiaries of HTIL which held an aggregate of 19.54% of HEL, which added up to 61.88%, whereas in

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1

the communication to FIPB dated 6.03.2007, the direct and indirect FDI held by HTIL was stated to be 51.96%.

31.

By letter of the same date from HEL to FIPB, it was

pointed out that HTIL was a company listed on NY SE.

Accordingly, it had to file Statements in accordance with US SEC. That, under US GAAP, HTIL had to consolidate the assets and liabilities of companies even though not majority owned or controlled by HTIL, because of a US accounting standard that required HTIL to consolidate an entity whereby HTIL had

“risk or reward”.

Therefore, this

accounting consolidation required that even though HTIL held no shares nor management rights still they had to be computed in the computation of the holding in terms of the Listing Norms. It is the said accounting consolidation which led to the reporting of additional 19.54% in HEL, which leads to combined holding of 61.88%.

On the other hand,

under Indian GAAP, the interest as of March, 2006 was 42.34% + 7.28% (rounded up to 49.62%).

After the

additional purchase of 2.34% from Hinduja in August 2006, the aggregate HTIL direct and indirect FDI stood at 51.96%. In short, due to the difference in the US GAAP and

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1

the Indian GAAP the Declarations varied.

The combined

holding for US GAAP purposes was 61.88% whereas for Indian GAAP purposes it was 51.96%.

Thus, according to

HEL, the Indian GAAP number reflected the true equity ownership and control position.
32.

By letter dated 9.03.2007, addressed by FIPB to HEL,

several queries were raised. One of the questions FIPB had asked was “as to which entity was entitled to appoint the directors to the Board of Directors of HEL on behalf of TIIL which owns 19.54% of HEL?” In answer, vide letter dated 14.03.2007, HEL informed FIPB that under the Articles of HEL the directors were appointed by its shareholders in accordance with the provisions of the Indian company law.

However, in practice the directors of HEL have been appointed pro rata to their respective shareholdings which resulted in 4 directors being appointed from the Essar Group, 6 directors from HTIL Group and 2 directors from TII. In practice, the directors appointed by TII to the Board of HEL were AS and AG. One more clarification was sought by FIPB from HEL on the credit support received by AG for his investment in HEL.

In answer to the said query, HEL

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1

submitted that the credit support for AG Group in respect of 4.68% stake in HEL through the Asim Ghosh investment entities, was a standby letter of credit issued by Rabobank Hong Kong in favour of Rabo India Finance Pvt. Ltd. which in turn has made a Rupee loan facility available to Centrinio, one of the companies in AG Group.

33.

By letter dated 14.03.2007 addressed by VIH to FIPB,

it stood confirmed that VIH’s effective shareholding in HEL would be 51.96%.

That, following completion of the

acquisition HTIL’s shares in HEL the ownership of HEL was to be as follows :

(i)

VIH would own 42% direct interest in HEL through its acquisition of 100% CGP (CI).

(ii)

Through CGP (CI), VIH would also own 37.25% in TII which in turn owns 19.54% in HEL and 38% (45.79%) in Omega which in turn owns 5.11% in HEL (i.e. pro-rata route).

(iii)

These investments combined would give VIH a controlling interest of 52% in HEL.

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(iv)

In addition, HTIL's existing Indian partners AG, AS and IDFC (i.e. SMMS), who between them held a 15% interest in HEL (i.e. option route), agreed to retain their shareholdings with full control, including voting rights and dividend rights.

In

other words, none of the Indian partners exited and, consequently, there was no change of control.

(v)

The Essar Group would continue to own 33% of HEL.

34.

On 15.03.2007, a Settlement Agreement was signed

between HTIL and Essar Group. Under the said Agreement, HTIL agreed to pay US \$415 mn to Essar for the following:

(a) acceptance of the SPA;

(b)for

waiving

rights

or

claims

in

respect

of

management and conduct of affairs of HEL;

(c) for giving up Right of First Refusal (RoFR), Tag Along Rights

(TARs)

and

shareholders

rights

Agreement dated 2.05.2000; and (d)for giving up its objections before FIPB.

under

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1

35.

Vide Settlement Agreement, HTIL agreed to dispose of

its direct and indirect equity, loan and other interests and rights, in and related to HEL, to VIH.

These other rights

and interests have been enumerated in the Order of the Revenue dated 31.05.2010 as follows :

1.

Right to equity interest (direct and indirect) in HEL.

2.

Right to do telecom business in India

3.

Right to jointly own and avail the telecom licences in India

4.

Right to use the Hutch brand in India

5.

Right to appoint/remove directors from the Board of HEL and its subsidiaries

6.

Right to exercise control over the management and affairs of the business of HEL (Management Rights)

7.

Right

to

take

part

in

all

the

investment,

management and financial decisions of HEL 8.

Right over the assigned loans and advances utilized for the business in India

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1

9.

Right of subscribing at par value in certain Indian companies

10.

Right to exercise call option at the price agreed in Indian companies

11.

Right to control premium

12.

Right to non-compete against HTIL within the territory of India

13.

Right to consultancy support in the use of Oracle license for the Indian business

14.

Other intangible rights (right of customer base, goodwill etc.)

36.

On 15.03.2007, a Term Sheet Agreement between VIH

and Essar Teleholdings Limited, an Indian company which held 11% in HEL, and Essar Communications Limited, a Mauritius company which held 22% in HEL, was entered into for regulating the affairs of HEL and the relationship of the shareholders of HEL. In the recitals, it was stated that VIH had agreed to acquire the entire indirect shareholding of HTIL in HEL, including all rights, contractual or otherwise, to acquire directly or indirectly shares in HEL

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2

owned by others which shares shall, for the purpose of the Term Sheet, be considered to be part of the holding acquired by VIH. The Term Sheet governed the relationship between Essar and VIH as shareholders of HEL including VIH's right as a shareholder of HEL:

(a) to nominate 8 directors out of 12 to the Board of Directors;

(b) nominee of Vodafone had to be there to constitute the quorum for the Board of Directors;

(c) to get a RoFR over the shares held by Essar in HEL;

(d) should Vodafone Group shareholder sell its shares in HEL to an outsider, Essar had a TAR in respect of Essar's shareholding in HEL.

37.

On 15.03.2007, a Put Option Agreement was signed

between VIH and Essar Group requiring VIH to buy from Essar Group Shareholders all the Option Shares held by them.

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38.

By letter dated 17.03.2007, HTIL confirmed in writing

to AS that it had no beneficial, or legal or any other right in AS's TII interest or HEL interest.

39.

On 19.03.2007, a letter was addressed by FIPB to VIH asking VIH to clarify as to under what circumstances VIH agreed to pay US \$11.08 bn for acquiring 67% of HEL when the actual acquisition is only 51.96%.

This query

presupposes that even according to FIPB the actual acquisition was only 51.96% (52% approx.).

40.

On the same day, VIH replied that VIH has agreed to acquire from HTIL, interests in HEL which included 52% equity shareholding for US \$11.08 bn.

That, the price

included a control premium, use and rights to the Hutch Brand in India, a non-compete agreement with the Hutch Group, the value of non-voting non-convertible preference shares, various loans obligations and the entitlement to acquire a further 15% indirect interest in HEL as set out in the letter dated 14.03.2007 addressed to FIPB (see page 6117 of SLP Vol. 26).

According to the said letter dated

19.03.2007, all the above elements together equated to 67% of the economic value of HEL.

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41.

Vide Agreement dated 21.03.2007, VIH diluted its stake in Bharti by 5.61%.

42.

In reply to the queries raised by FIPB regarding break up of valuation, VIH confirmed as follows:

Various assets and liabilities of CGP included its rights and entitlements, including subscription rights, call options to acquire in future a further 62.75% of TII, call options to acquire in future a further 54.21% of Omega which together would give a further 15.03% proportionate indirect equity ownership of HEL, control premium, use and rights to Hutch brand in India and a non-compete agreement with HTIL. No individual price was assigned to any of the above items.

That, under IFRS, consolidation included TII and

Omega and, consequently, the accounts under IFRS showed the total shareholding in HEL as 67% (approx.).

Thus,

arrangements relating to Options stood valued as assets of CGP. In global basis valuation, assets of CGP consisted of: its downstream holdings, intangibles and arrangement relating to Options, i.e. Bundle of Rights acquired by VIH. This reply was in the letter dated 27.03.2007 in which it was further stated that HTIL had conducted an auction for

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sale of its interests in HEL in which HTIL had asked each bidder to name its price with reference to the enterprise value of HEL.

As a consequence of the transaction,

Vodafone will effectively step into the shoes of HTIL including all the rights in respect of its Indian investments that HTIL enjoyed. Lastly, the Indian joint venture partners would remain invested in HEL as the transaction did not involve the Indian investors selling any of their respective stakes.

43.

On 5.04.2007, HEL wrote to the Joint Director of

Income Tax (International Taxation) stating that HEL had no tax liabilities accruing out of the subject transaction.

44.

Pursuant to the resolution passed by the Board of

Directors of CGP on 30.04.2007, it was decided that on acquisition loans owed by CGP to HTI (BVI) Finance Ltd. would be assigned to VIH; the existing Directors of CGP would resign; Erik de Rijk would become the only Director of CGP. A similar resolution was passed on the same day by the Board of Directors of Array.

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45.

On

7.05.2007,

FIPB

gave

its

approval

to

the

transaction, subject to compliance with the applicable laws and regulations in India.

46.

On 8.05.2007, consequent upon the Board Resolutions

passed by CGP and its downstream companies, the following steps were taken:

(i)

resignation of all the directors of Hutch Group;

(ii)

appointment of new directors of Vodafone Group;

(iii)

resolutions passed by TIL, Jaykay Finholding (India) Private Limited, UMT Investments Ltd., UMTL,

Omega

(Indian

incorporated

holding

companies) accepting the resignation of HTIL's nominee directors and appointing VIH's nominee directors;

(iv)

same

steps

were

taken

by

HEL

and

its

subsidiaries;

(v)

sending of a Side Letter by HTIL to VIH relating to completion mechanics;

(vi)

computation of net amount payable by VIH to HTIL including retention of a certain amount out

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of US \$11.08 bn paid on 8.05.2007 towards expenses to operationalize the Option Agreements and adjustments for breach (if any) of warranties, etc.;

(vii) assignment of loans given by HTI (BVI) Finance Ltd. to CGP and Array in favour of VIH;

(viii) cancellation of share certificate of HTIHL (BVI) and entering the name of VIH in the Register of Members of CGP;

(ix)

execution of Tax Deed of Covenant indemnifying VIH in respect of tax or transfer pricing liabilities payable by Wider Group (CGP, GSPL, Mauritius holding companies, Indian operating companies).

(x)

a Business Transfer Agreement between GSPL and a subsidiary of HWP Investments Holdings (India) Ltd. (Ms) for sale of Call Centre earlier owned by GSPL;

(xi)

payment of US \$10.85 bn by VIH to HTIL (CI).

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47.

On 5.06.2007, under the Omega Agreement, it was

agreed that in view of the SPA there would be a consequent change of control in HTIL Mauritius, which holds 45.79% in Omega, and that India Development Fund (“IDF” for short), IDFC and SSKI Corporate Finance Private Limited (“SSKI” for short) would, instead of exercising Put Option and Cashless Option under 2006 IDFC Framework Agreement, exercise the same in pursuance of Omega Agreement. That, under the Omega Agreement, GSPL waived its right to exercise the Call Option under the 2006 IDFC Framework Agreement.

48.

On 6.06.2007, a Framework Agreement was entered

into among IDF, IDFC, SMMS, IDFC PE, HTIL Mauritius, GSPL, Omega and VIH by which GSPL had a Call Option to buy the entire equity shares of SMMS.

Consequently, on

7.06.2007, a Shareholders Agreement was executed by which the shareholding pattern of Omega changed with SMMS having 61.6% and HTIL Mauritius having 38.4%.

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49.

On 27.06.2007, HTIL declared a special dividend of

HK \$6.75 per share, on account of the gains made by sale of HTIL’s entire interest in HEL.

50.

On 5.07.2007, a Framework Agreement was entered

into among AG, AG Mercantile Company Private Limited, Plustech Mercantile Co. (P) Ltd [“Plustech” for short], GSPL, Nadal Trading Company Private Limited [“Nadal” for short] and VIH.

Under clause 4.4, GSPL had an unconditional

right to purchase all shares of AG in AG Mercantile Company Pvt. Ltd. at any time and in consideration for such call option, GSPL agreed to pay to AG an amount of US \$6.3 mn annually.

51.

On the same day, i.e., 5.07.2007, a Framework

Agreement was entered into among AS, his wife, Scorpios, MVH, GSPL, NDC and VIH. Under clause 4.4 GSPL had an unconditional right to purchase all shares of AS and his wife held in Scorpios at any time and in consideration for the call option GSPL agreed to pay AS and his wife an amount of US\$ 10.2 mn per annum.

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52.

On 5.07.2007, TII Shareholders Agreement was

entered into among Nadal, NDC, CGP India Investments Limited [“CGP India” for short], TII and VIH to regulate the affairs of TII.

Under clause 3.1, NDC had 38.78%

shareholding in TII, CGP India had 37.85% and Nadal had 23.57%.

53.

It is not necessary to go into the earlier round of

litigation. Suffice it to state that on 31.05.2010, an Order was passed by the Department under Sections 201(1) and 201(1A) of the Income Tax Act, 1961 [“the Act” for short] declaring that Indian Tax Authorities had jurisdiction to tax the transaction against which VIH filed Writ Petition No. 1325 of 2010 before the Bombay High Court which was dismissed on 8.09.2010 vide the impugned judgment [reported in 329 ITR 126], hence, this Civil Appeal.

B.

Ownership Structure

54.

In order to understand the above issue, we reproduce below the Ownership Structure Chart as on 11.02.2007.

The Chart speaks for itself.

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3

55.

To sum up, CGP held 42.34% in HEL through 100%

wholly owned subsidiaries [Mauritius companies], 9.62% indirectly through TII and Omega [i.e. pro rata route], and 15.03% through GSPL route.

56.

To explain the GSPL route briefly, it may be mentioned

that on 11.02.2007 AG Group of companies held 23.97% in TII, AS Group of companies held 38.78% in TII whereas SMMS held 54.21% in Omega. Consequently, holding of AG in HEL through TII stood at 4.68% whereas holding of AS in HEL through TII stood at 7.577% and holding of SMMS in HEL through Omega stood at 2.77%, which adds up to 15.03% in HEL. These holdings of AG, AS and SMMS came under the Option Route.

In this connection, it may be

mentioned that GSPL is an Indian company indirectly owned by CGP.

It held Call Options and Subscription

Options to be exercised in future under circumstances spelt out in TII and IDFC Framework Agreements (keeping in mind the sectoral cap of 74%).

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3

Correctness of Azadi Avoidance/Evasion

57.

Bachao

case

-

Re:

Tax

Before us, it was contended on behalf of the Revenue

that Union of India v. Azadi Bachao Andolan (2004) 10 SCC 1 needs to be overruled insofar as it departs from McDowell and Co. Ltd. v. CTO (1985) 3 SCC 230 principle for the following :

i) Para 46 of McDowell judgment has

been missed which reads as under:

“on this aspect

Chinnappa Reddy, J. has proposed a separate opinion with which we agree”.

[i.e. Westminster principle is dead].

ii) That, Azadi Bachao failed to read paras 41-45 and 46 of McDowell in entirety. If so read, the only conclusion one could draw is that four learned judges speaking through

Misra, J. agreed with the observations of Chinnappa Reddy, J. as to how in certain circumstances tax avoidance should be brought within the tax net.

iii) That, subsequent to

McDowell, another matter came before the Constitution Bench of five Judges in Mathuram Agrawal v. State of Madhya Pradesh (1999) 8 SCC 667, in which Westminster principle was quoted which has not been noticed by Azadi Bachao.

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Our Analysis 58.

Before coming to Indo-Mauritius DTAA, we need to

clear the doubts raised on behalf of the Revenue regarding the correctness of Azadi Bachao (supra) for the simple reason that certain tests laid down in the judgments of the English Courts subsequent to The Commissioners of Inland Revenue v. His Grace the Duke of Westminster 1935 All E.R. 259 and W.T. Ramsay Ltd. v. Inland Revenue Commissioners (1981) 1 All E.R. 865 help us to understand the scope of Indo-Mauritius DTAA. It needs to be clarified, that, McDowell dealt with two aspects. First, regarding validity of the Circular(s) issued by CBDT concerning Indo-Mauritius DTAA.

Second, on concept of

tax

us,

avoidance/evasion.

Before

arguments

were

advanced on behalf of the Revenue only regarding the second aspect.

59.

The Westminster principle states that, “given that a

document or transaction is genuine, the court cannot go behind it to some supposed underlying substance”.

The

said principle has been reiterated in subsequent English Courts Judgments as “the cardinal principle”.

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60.

Ramsay was a case of sale-lease back transaction in

which gain was sought to be counteracted, so as to avoid tax, by establishing an allowable loss. The method chosen was to buy from a company a readymade scheme,

whose object was to create a neutral situation.

The decreasing

asset was to be sold so as to create an artificial loss and the increasing asset was to yield a gain which would be exempt from tax. The Crown challenged the whole scheme saying that it was an artificial scheme and, therefore, fiscally ineffective. It was held that Westminster did not compel the court to look at a document or a transaction, isolated from the context to which it properly belonged. It is the task of the Court to ascertain the legal nature of the transaction and while doing so it has to look at the entire transaction as a whole and not to adopt a dissecting approach. In the present case, the Revenue has adopted a dissecting approach at the Department level.

61.

Ramsay did not discard Westminster but read it in the

proper context by which “device” which was colourable in nature had to be ignored as fiscal nullity. Thus, Ramsay lays down the principle of statutory interpretation

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3

rather than an over-arching anti-avoidance doctrine imposed upon tax laws.

62.

Furniss (Inspector of Taxes) v. Dawson (1984) 1 All

E.R. 530 dealt with the case of interpositioning of a company to evade tax. On facts, it was held that the inserted step had no business purpose, except deferment of tax although it had a business effect. Dawson went beyond Ramsay. It reconstructed the transaction not on some fancied principle that anything done to defer the tax be ignored but on the premise that the inserted transaction did not constitute “disposal” under the relevant Finance Act.

Thus, Dawson is an extension of Ramsay principle.

63.

After Dawson, which empowered the Revenue to

restructure the transaction in certain circumstances, the Revenue

started

rejecting

every

case

of

strategic

investment/tax planning undertaken years before the event saying that the insertion of the entity was effected with the sole intention of tax avoidance.

In Craven (Inspector of

Taxes) v. White (Stephen) (1988) 3 All. E.R. 495 it was held that the Revenue cannot start with the question as to whether the transaction was a tax deferment/saving device

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but that the Revenue should apply the look at test to ascertain its true legal nature. It observed that genuine strategic planning had not been abandoned.

64.

The majority judgment in McDowell held that “tax

planning may be legitimate provided it is within the framework of law” (para 45). In the latter part of para 45, it held that “colourable device cannot be a part of tax planning and it is wrong to encourage the belief that it is honourable to avoid payment of tax by resorting to dubious methods”. It is the obligation of every citizen to pay the taxes without resorting to subterfuges. The above observations should be read with para 46 where the majority holds “on this aspect one of us, Chinnappa Reddy, J. has proposed a separate opinion with which we agree”. The words “this aspect” express the majority’s agreement with the judgment of Reddy, J. only in relation to tax evasion through the use of colourable devices and by resorting to dubious methods and subterfuges. Thus, it cannot be said that all tax planning is illegal/illegitimate/impermissible.

Moreover,

Reddy,

J.

himself says that he agrees with the majority. In the judgment of Reddy, J. there are repeated references to

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3

schemes and devices in contradistinction to “legitimate avoidance of tax liability” (paras 7-10, 17 & 18).

In our

view, although Chinnappa Reddy, J. makes a number of observations

regarding

the

need

to

depart

from

the

“Westminster” and tax avoidance – these are clearly only in the context of artificial and colourable devices. Reading McDowell, in the manner indicated hereinabove, in cases

of treaty shopping and/or tax avoidance, there is no conflict between McDowell and Azadi Bachao or

between

McDowell and Mathuram Agrawal.

International Tax Aspects of Holding Structures 65.

In the thirteenth century, Pope Innocent IV espoused the theory of the legal fiction by saying that corporate bodies could not be ex-communicated because they only exist in abstract.

This enunciation is the foundation of the separate entity principle.

66.

The approach of both the corporate and tax laws, particularly in the matter of corporate taxation, generally is founded on the abovementioned separate entity principle, i.e., treat a company as a separate person.

The Indian

Income Tax Act, 1961, in the matter of corporate taxation, is founded on the principle of the independence of companies

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3

and other entities subject to income-tax.

Companies and

other entities are viewed as economic entities with legal independence vis-a-vis their shareholders/participants. It is fairly well accepted that a subsidiary and its parent are totally distinct tax payers.

Consequently, the entities

subject to income-tax are taxed on profits derived by them on standalone basis, irrespective of their actual degree of economic independence and regardless of whether profits are

reserved

or

distributed

to

the

shareholders/

participants. Furthermore, shareholders/ participants, that are subject to (personal or corporate) income-tax, are generally taxed on profits derived in consideration of their shareholding/participations, such as capital gains. Now a days, it is fairly well settled

that for tax treaty purposes a subsidiary and its parent are also totally separate and distinct tax payers.

67.

It is generally accepted that the group parent company is involved in giving principal guidance to group companies by providing general policy guidelines to group subsidiaries.

However,

the

shareholder's

fact

that

influence

a on

parent its

company

subsidiaries

exercises does

not

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3

generally imply that the subsidiaries are to be deemed residents of the State in which the parent company resides. Further, if a company is a parent company, that company's executive company's

director(s)

should

shareholder's

lead

the

influence

group

will

and

the

generally

be

employed to that end. This obviously implies a restriction on the autonomy of the subsidiary's executive directors. Such a restriction, which is the inevitable consequences of any group structure, is generally accepted, both in corporate and tax laws. directors'

However, where the subsidiary's executive

competences

persons/bodies

or

are

where

the

transferred

to

other

subsidiary's

executive

directors' decision making has become fully subordinate to the Holding Company with the consequence that the subsidiary's executive directors are no more than puppets then the turning point in respect of the subsidiary's place of residence comes about.

Similarly, if an actual controlling

Non-Resident Enterprise (NRE) makes an indirect transfer through "abuse of organisation form/legal form and without reasonable

business

purpose"

which

results

in

tax

avoidance or avoidance of withholding tax, then the

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3

Revenue may disregard the form of the arrangement or the impugned action through use of Non-Resident Holding Company, re-characterize the equity transfer according to its economic substance and impose the tax on the actual controlling Non-Resident Enterprise.

Thus, whether a

transaction is used principally as a colourable device for the distribution of earnings, profits and gains, is determined by a review of all the facts and circumstances surrounding the transaction.

It is in the above cases that the principle of

lifting the corporate veil or the doctrine of substance over form or the concept of beneficial ownership or the concept of alter ego arises. There are many circumstances, apart from the one given above, where separate existence of different companies, that are part of the same group, will be totally or partly ignored as a device or a conduit (in the pejorative sense).

68.

The common law jurisdictions do invariably impose

taxation against a corporation based on the legal principle that the corporation is “a person” that is separate from its members.

It is the decision of the House of Lords in

Salomon v. Salomon (1897) A.C. 22 that opened the door

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to the formation of a corporate group.

If a “one man”

corporation could be incorporated, then it would follow that one corporation could be a subsidiary of another. This legal principle is the basis of Holding Structures.

It is a

common practice in international law, which is the basis of international taxation, for foreign investors to invest in Indian companies through an interposed foreign holding or operating company, such as Cayman Islands or Mauritius based company for both tax and business purposes.

In

doing so, foreign investors are able to avoid the lengthy approval and registration processes required for a direct transfer (i.e., without a foreign holding or operating company) of an equity interest in a foreign invested Indian company.

However, taxation of such Holding Structures

very often gives rise to issues such as double taxation, tax deferrals and tax avoidance. In this case, we are concerned with the concept of GAAR.

In this case, we are not

concerned with treaty-shopping but with the anti-avoidance rules. The concept of GAAR is not new to India since India already has a judicial anti-avoidance rule, like some other jurisdictions.

Lack of clarity and absence of appropriate

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provisions in the statute and/or in the treaty regarding the circumstances in which judicial anti-avoidance rules would apply has generated litigation in India. Holding Structures are recognized in corporate as well as tax laws.

Special

Purpose Vehicles (SPVs) and Holding Companies have a place in legal structures in India, be it in company law, takeover code under SEBI or even under the income tax law. When it comes to taxation of a Holding Structure, at the threshold, the burden is on the Revenue to allege and establish abuse, in the sense of tax avoidance in the creation and/or use of such structure(s). In the application of a judicial anti-avoidance rule, the Revenue may invoke the “substance over form” principle or “piercing the corporate veil” test only after it is able to establish on the basis of the facts and circumstances surrounding the transaction that the impugned transaction is a sham or tax avoidant.

To give an example, if a structure is used for

circular trading or round tripping or to pay bribes then such transactions, though having a legal form, should be discarded by applying the test of fiscal nullity. Similarly, in a case where the Revenue finds that in a Holding Structure

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an entity which has no commercial/business substance has been interposed only to avoid tax then in such cases applying the test of fiscal nullity it would be open to the Revenue to discard such inter-positioning

of that entity.

However, this has to be done at the threshold.

In this

connection, we may reiterate the “look at” principle enunciated in Ramsay (supra) in which it was held that the Revenue or the Court must look at a document or a transaction in a context to which it properly belongs to. It is the task of the Revenue/Court to ascertain the legal nature of the transaction and while doing so it has to look at the entire transaction as a whole and not to adopt a dissecting approach. The Revenue cannot start with the question as to whether

the

impugned

transaction

is

a

tax

deferral/saving device but that it should apply the “look at” test to ascertain its true legal nature [See Craven v. White (supra) which further observed that genuine strategic

tax planning has not been abandoned by any decision of the English Courts till date]. Applying the above tests, we are of the view that every strategic foreign direct investment coming to India, as an investment destination, should be

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4

seen

in

a

holistic

manner.

While

doing

so,

the

Revenue/Courts should keep in mind the following factors: the concept of participation in investment, the duration of time during which the Holding Structure exists; the period of business operations in India; the generation of taxable revenues in India; the timing of the exit; the continuity of business on such exit.

In short, the onus will be on the

Revenue to identify the scheme and its dominant purpose.

The corporate business purpose of a transaction is evidence of the fact that the impugned transaction is not undertaken as a colourable or artificial device.

The stronger the

evidence of a device, the stronger the corporate business purpose must exist to overcome the evidence of a device.

Whether Section 9 is a “look through” provision as submitted on behalf of the Revenue?

69.

According to the Revenue, if its primary argument

(namely,

that

HTIL

has,

under

the

SPA,

directly

extinguished its property rights in HEL and its subsidiaries) fails, even then in any event, income from the sale of CGP share would nonetheless fall within Section 9 of the Income Tax Act, 1961 as that Section provides for a “look through”. In this connection, it was submitted that the word “through”

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in Section 9 inter alia means “in consequence of”. It was, therefore, argued that if transfer of a capital asset situate in India happens “in consequence of” something which has taken place overseas (including transfer of a capital asset), then all income derived even indirectly from such transfer, even though abroad, becomes taxable in India. That, even if control over HEL were to get transferred in consequence of transfer of the CGP Share outside India, it would yet be covered by Section 9.

70.

We find no merit in the above submission of the

Revenue. At the outset, we quote hereinbelow the following Sections of the Income Tax Act, 1961:

Scope of total income.

5. (2) Subject to the provisions of this Act, the total income of any previous year of a person who is a non-resident includes all income from whatever source derived which — (a) is received or is deemed to be received in India in such year by or on behalf of such person ; or (b) accrues or arises or is deemed to accrue or arise to him in India during such year.

Income deemed to accrue or arise in India.

9. (1) The following incomes shall be deemed to accrue or arise in India :—

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(i) all income accruing or arising, whether directly or indirectly, through or from any business connection in India, or through or from any property in India, or through or from any asset or source of income in India, or through the transfer of a capital asset situate in India.

71. Section 9(1)(i) gathers in one place various types of income and directs that income falling under each of the sub-clauses shall be deemed to accrue or arise in India. Broadly there are four items of income. The income dealt with in each sub-clause is distinct and independent of the other and the requirements to bring income within each sub-clause, are separately noted. Hence, it is not necessary that income falling in one category under any one of the sub-clauses should also satisfy the requirements of the other sub-clauses to bring it within the expression “income deemed to accrue or arise in India” in Section 9(1)(i). In this case, we are concerned with the last sub-clause of Section 9(1)(i) which refers to income arising from “transfer of a capital asset situate in India”.

Thus, charge on capital

gains arises on transfer of a capital asset situate in India during the previous year. The said sub-clause consists of

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three elements, namely, transfer, existence of a capital asset, and situation of such asset in India.

All three

elements should exist in order to make the last sub-clause applicable. Therefore, if such a transfer does not exist in the previous year no charge is attracted. Further, Section 45 enacts that such income shall be deemed to be the income of the previous year in which transfer took place. Consequently, there is no room for doubt that such transfer should exist during the previous year in order to attract the said sub-clause.

The fiction created by Section 9(1)(i)

applies to the assessment of income of non-residents.

In

the case of a resident, it is immaterial whether the place of accrual of income is within India or outside India, since, in either event, he is liable to be charged to tax on such income. But, in the case of a non-resident, unless the place of accrual of income is within India, he cannot be subjected to tax. In other words, if any income accrues or arises to a non-resident,

directly

or

indirectly,

outside

India

is

fictionally deemed to accrue or arise in India if such income accrues or arises as a sequel to the transfer of a capital asset situate in India. Once the factum of such transfer is

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4

established by the Department, then the income of the nonresident arising or accruing from such transfer is made liable to be taxed by reason of Section 5(2)(b) of the Act. This fiction comes into play only when the income is not charged to tax on the basis of receipt in India, as receipt of income in India by itself attracts tax whether the recipient is a resident or non-resident. This fiction is brought in by the legislature to avoid any possible argument on the part of the non-resident vendor that profit accrued or arose outside India by reason of the contract to sell having been executed outside India. Thus, income accruing or arising to a nonresident outside India on transfer of a capital asset situate in India is fictionally deemed to accrue or arise in India, which income is made

liable to be taxed by reason of Section 5(2)(b) of the Act. This is the main purpose behind enactment of Section 9(1)(i) of the Act.

We have to give

effect to the language of the section when it is unambiguous and admits of no doubt regarding its interpretation, particularly when a legal fiction is embedded in that section. A legal fiction has a limited scope. A legal fiction cannot be expanded by giving purposive interpretation

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particularly if the result of such interpretation is to transform the concept of chargeability which is also there in Section 9(1)(i), particularly when one reads Section 9(1)(i) with Section 5(2)(b) of the Act. What is contended on behalf of the Revenue is that under Section 9(1)(i) it can “look through” the transfer of shares of a foreign company holding shares in an Indian company and treat the transfer of shares of the foreign company as equivalent to the transfer of

the shares of the Indian company on the

premise that Section 9(1)(i) covers direct and indirect transfers of capital assets. For the above reasons, Section 9(1)(i) cannot by a process of interpretation be extended to cover indirect transfers of capital assets/property situate in India. To do so, would amount to changing the content and ambit of Section 9(1)(i). 9(1)(i).

We cannot re-write Section

The legislature has not used the words indirect

transfer in Section 9(1)(i). If the word indirect is read into Section 9(1)(i), it would render the express statutory requirement of the 4th sub-clause in Section 9(1)(i) nugatory. This is because Section 9(1)(i) applies to transfers of a capital asset situate in India. This is one of the elements in

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the 4th sub-clause of Section 9(1)(i) and if indirect transfer of a capital asset is read into Section 9(1)(i) then the words capital asset situate in India would be rendered nugatory. Similarly, the words underlying asset do not find place in Section 9(1)(i). Further, “transfer” should be of an asset in respect of which it is possible to compute a capital gain in accordance with the provisions of the Act. Moreover, even Section 163(1)(c) is wide enough to cover the income whether received directly or indirectly.

Thus, the words

directly or indirectly in Section 9(1)(i) go with the income and not with the transfer of a capital asset (property). Lastly, it may be mentioned that the Direct Tax Code (DTC) Bill, 2010 proposes to tax income from transfer of shares of a foreign company by a non-resident, where at any time during 12 months preceding the transfer, the fair market value of the assets in India, owned directly or indirectly, by the company, represents at least 50% of the fair market value of all assets owned by the company. Thus, the DTC Bill, 2010 proposes taxation of offshore share transactions. This proposal

indicates in a way that indirect transfers are not covered by the existing Section 9(1)(i) of the Act. In fact,

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the DTC Bill, 2009 expressly stated that income accruing even from indirect transfer of a capital asset situate in India would be deemed to accrue in India. These proposals, therefore, show that in the existing Section 9(1)(i) the word indirect cannot be read on the basis of purposive construction. The question of providing “look through” in the statute or in the treaty is a matter of policy. It is to be expressly provided for in the statute or in the treaty.

Similarly, limitation of benefits has to be expressly provided for in the treaty. Such clauses cannot be read into the Section by interpretation. For the foregoing reasons, we hold that Section 9(1)(i) is not a “look through” provision.

Transfer of HTIL’s property rights by Extinguishment?

72.

The primary argument advanced on behalf of the

Revenue

was

that

the

SPA,

commercially

construed,

evidences a transfer of HTIL’s property rights by their extinguishment.

That, HTIL had, under the SPA, directly

extinguished its rights of control and management, which are property rights, over HEL and its subsidiaries and, consequent upon such extinguishment, there was a transfer of capital asset situated in India. In support, the following

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features of the SPA were highlighted: (i) the right of HTIL to direct a downstream subsidiary as to the manner in which it should vote.

According to the Revenue, this right was a

property right and not a contractual right. It vested in HTIL as HTIL was a parent company, i.e., a 100% shareholder of the subsidiary; (ii) According to the Revenue, the 2006 Shareholders/ Framework Agreements had to be continued upon transfer of control of HEL to VIH so that VIH could step into the shoes of HTIL. According to the Revenue, such continuance was ensured by payment of money to AS and AG by VIH failing which AS and AG could have walked out of those agreements which would have

jeopardized VIH's control over 15% of the shares of HEL and, consequently, the stake of HTIL in TII would have stood reduced to minority; (iii) Termination of IDFC Framework Agreement of 2006 and its substitution by a fresh Framework Agreement dated 5.06.2007, as warranted by SPA; (iv) Termination of Term Sheet Agreement dated 5.07.2003. According to the Revenue, that Term Sheet Agreement was given effect to by clause 5.2 of the SPA which gave Essar the right to Tag Along with HTIL and exit from HEL.

That, by a specific

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5

Settlement Agreement dated 15.03.2007 between HTIL and Essar, the said Term Sheet Agreement dated 5.07.2003 stood terminated.

This, according to the Revenue, was

necessary because the Term Sheet bound the parties; (v) the SPA ignores legal entities interposed between HTIL and HEL enabling HTIL to directly nominate the Directors on the Board of HEL; (vi) Qua management rights, even if the legal owners of HEL's shares (Mauritius entities) could have been directed to vote by HTIL in a particular manner or to nominate a person as a Director, such rights existed dehors the CGP share; (vii) Vide clause 6.2 of the SPA, HTIL was required to exercise voting rights in the specified situations on the diktat of VIH ignoring the legal owner of CGP share [HTIHL (BVI)].

Thus, according to the Revenue, HTIL

ignored its subsidiaries and was exercising the voting rights qua the CGP and the HEL shares directly, ignoring all the intermediate subsidiaries which are 100% held and which are

non-operational.

According

to

the

Revenue,

extinguishment took place dehors the CGP share. It took place by virtue of various clauses of SPA as HTIL itself disregarded the corporate structure it had set up; (viii) As a

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holder of 100% shares of downstream subsidiaries, HTIL possessed de facto control over such subsidiaries. Such de facto control was the subject matter of the SPA.

73.

At the outset, we need to reiterate that in this case we

are concerned with the sale of shares and not with the sale of assets, item-wise. The facts of this case show sale of the entire investment made by HTIL, through a Top

company, viz. CGP, in the Hutchison Structure. In this case we need to apply the “look at” test. In the impugned judgment, the High Court has rightly observed that the arguments advanced on behalf of the Department vacillated.

The

reason for such vacillation was adoption of “dissecting approach”

by

arguments.

Ramsay (supra) enunciated the look at test.

the

Department

in

the

course

of

its

According to that test, the task of the Revenue is to ascertain the legal nature of the transaction and, while doing so, it has to look at the entire transaction holistically and not to adopt a dissecting approach. One more aspect needs to be reiterated.

There is a conceptual difference

between preordained transaction which is created for tax avoidance purposes, on the one hand, and a transaction

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which evidences investment to participate in India.

In

order to find out whether a given transaction evidences a preordained transaction in the sense indicated above or investment to participate, one has to take into account the factors enumerated hereinabove, namely, duration of time during which the holding structure existed, the period of business operations in India, generation of taxable revenue in India during the period of business operations in India, the timing of the exit, the continuity of business on such exit, etc.

Applying these tests to the facts of the

present case, we find that the Hutchison structure has been in place since 1994. It operated during the period 1994 to 11.02.2007. It has paid income tax ranging from `3 crore to `250 crore per annum during the period 2002-03 to 2006-07.

Even after 11.02.2007, taxes are being paid by VIH

ranging from `394 crore to `962 crore per annum during the period 2007-08 to 2010-11 (these figures are apart from indirect taxes which also run in crores). Moreover, the

SPA indicates “continuity” of the telecom business on the exit of its predecessor, namely, HTIL. Thus, it cannot be said that the structure was created or used as a sham or tax

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avoidant. It cannot be said that HTIL or VIH was a “fly by night” operator/ short time investor. If one applies the look at

test

discussed

hereinabove,

without

invoking

the

dissecting approach, then, in our view, extinguishment took place because of the transfer of the CGP share and not by virtue of various clauses of SPA. In a case like the present one, where the structure has existed for a considerable length of time generating taxable revenues right from 1994 and where the court is satisfied that the transaction satisfies all the parameters of “participation in investment” then in such a case the court need not go into the questions such as de facto control vs. legal control, legal rights vs. practical rights, etc.

74.

Be that as it may, did HTIL possess a legal right to

appoint directors onto the board of HEL and as such had some “property right” in HEL? If not, the question of such a right getting “extinguished” will not arise. A legal right is an enforceable right.

Enforceable by a legal process.

The

question is what is the nature of the “control” that a parent company has over its subsidiary. It is not suggested that a parent company never has control over the subsidiary. For

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example, in a proper case of “lifting of corporate veil”, it would be proper to say that the parent company and the subsidiary form one entity.

But barring such cases, the

legal position of any company incorporated abroad is that its powers, functions and responsibilities are governed by the law of its incorporation. No multinational company can operate

in

a

foreign

jurisdiction

save

independently as a “good local citizen”.

by

operating

A company is a

separate legal persona and the fact that all its shares are owned by one person or by the parent company has nothing to do with its separate legal existence.

If the owned

company is wound up, the liquidator, and not its parent company, would get hold of the assets of the subsidiary. In none of the authorities have the assets of the subsidiary been held to be those of the parent unless it is acting as an agent.

Thus, even though a subsidiary may normally

comply with the request of a parent company it is not just a puppet of the parent company. The difference is between having power or having a persuasive position.

Though it

may be advantageous for parent and subsidiary companies to work as a group, each subsidiary will look to see whether

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there are separate commercial interests which should be guarded.

When

there

is

a

parent

company

with

subsidiaries, is it or is it not the law that the parent company has the “power” over the subsidiary. It depends on the facts of each case. For instance, take the case of a one-man company, where only one man is the shareholder perhaps holding 99% of the shares, his wife holding 1%. In those circumstances, his control over the company may be so complete that it is his alter ego. multinationals

it

is

important

to

But, in case of realise

that

their

subsidiaries have a great deal of autonomy in the country concerned except where subsidiaries are created or used as a sham. Of course, in many cases the courts do lift up a corner of the veil but that does not mean that they alter the legal position between the companies. The directors of the subsidiary under their Articles are the managers of the companies.

If new directors are appointed even at the

request of the parent company and even if such directors were removable by the parent company, such directors of the subsidiary will owe their duty to their companies (subsidiaries).

They are not to be dictated by the parent

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company if it is not in the interests of those companies (subsidiaries). The fact that the parent company exercises shareholder's influence on its subsidiaries cannot obliterate the decision-making power or authority of its (subsidiary's) directors. decisive

They cannot be reduced to be puppets. criteria

is

whether

the

parent

The

company's

management has such steering interference with the subsidiary's core activities that subsidiary can no longer be regarded to perform those activities on the authority of its own executive directors.

75.

Before dealing with the submissions advanced on

behalf of the Revenue, we need to appreciate the reason for execution of the SPA.

Exit is an important right of an

investor in every strategic investment.

The present case

concerns transfer of investment in entirety.

As stated

above, exit coupled with continuity of business is one of the important

tell-tale

circumstance

which

indicates

the

commercial/business substance of the transaction. Thus, the need for SPA arose to re-adjust the outstanding loans between

the

companies;

to

provide

for

standstill

arrangements in the interregnum between the date of

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signing of the SPA on 11.02.2007 and its completion on 8.05.2007; to provide for a seamless transfer and to provide for fundamental terms of price, indemnities, warranties etc.

As regards the right of HTIL to direct a downstream subsidiary as to the manner in which it should vote is concerned, the legal position is well settled, namely, that even though a subsidiary may normally comply with the request of a parent company, it is not just a puppet of the parent company.

The difference is between having the power and having a persuasive position.

A great deal

depends on the facts of each case. Further, as stated above, a company is a separate legal persona, and the fact that all the shares are owned by one person or a company has nothing to do with the existence of a separate company. Therefore, though it may be advantageous for a parent and subsidiary companies to work as a group, each subsidiary has to protect its own separate commercial interests. In our view, on the facts and circumstances of this case, the right of HTIL, if at all it is a right, to direct a downstream subsidiary as to the manner in which it should vote would fall in the category of a persuasive position/influence rather

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than having a power over the subsidiary. In this connection the following facts are relevant.

76.

Under the Hutchison structure, the business was

carried on by the Indian companies under the control of their Board of Directors, though HTIL, as the Group holding company of a set of companies, which controlled 42% plus 10% (pro rata) shares, did influence or was in a position to persuade the working of such Board of Directors of the Indian companies.

In this connection, we need to have a

relook at the ownership structure. It is not in dispute that 15% out of 67% stakes in HEL was held by AS, AG and IDFC companies. entering

into

That was one of the main reasons for

separate

Shareholders

and

Framework

Agreements in 2006, when Hutchison structure existed, with AS, AG and IDFC.

HTIL was not a party to the

agreements with AS and AG, though it was a party to the agreement with IDFC.

That, the ownership structure of

Hutchison clearly shows that AS, AG and SMMS (IDFC) group of companies, being Indian companies, possessed 15% control in HEL. Similarly, the term sheet with Essar dated 5.07.2003 gave Essar the RoFR and Right to Tag

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Along with HTIL and exit from HEL. Thus, if one keeps in mind the Hutchison structure in its entirety, HTIL as a Group holding company could have only persuaded its downstream companies to vote in a given manner as HTIL had no power nor authority under the said structure to direct any of its downstream companies to vote in a manner as directed by it (HTIL). Facts of this case show that both the parent and the subsidiary companies worked as a group since 1994. That, as a practice, the subsidiaries did comply with the arrangement suggested by the Group holding company in the matter of voting, failing which the smooth working of HEL generating huge revenues was not possible. In this case, we are concerned with the expression “capital asset” in the income tax law.

Applying the test of

enforceability, influence/ persuasion cannot be construed as a right in the legal sense. One more aspect needs to be highlighted. The concept of “de facto” control, which

existed in the Hutchison structure, conveys a state of being in control without any legal right to such state. This aspect is important while construing the words “capital asset” under the income tax law. As stated earlier, enforceability is an

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important aspect of a legal right. Applying these tests, on the facts of this case and that too in the light of the ownership structure of Hutchison, we hold that HTIL, as a Group holding company, had no legal right to direct its downstream companies in the matter of voting, nomination of

directors

continuance

and

management

of

the

2006

rights.

As

regards

Shareholders/Framework

Agreements by SPA is concerned, one needs to keep in mind two relevant concepts, viz., participative and protective rights. As stated, this is a case of HTIL exercising its exit right under the holding structure and continuance of the telecom business operations in India by VIH by acquisition of shares.

In the Hutchison structure, exit was also

provided for Essar, Centrino, NDC and SMMS through exercise of Put Option/TARs, subject to sectoral cap being relaxed in future. These exit rights in Essar, Centrino, NDC and SMMS (IDFC) indicate that these companies were independent companies.

Essar was a partner in HEL

whereas Centrino, NDC and SMMS controlled 15% of shares of HEL (minority). A minority investor has what is called as

a

“participative”

right,

which

is

a

subset

of

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“protective rights”. These participative rights, given to a minority shareholder, enable the minority to overcome the presumption of consolidation of operations or assets by the controlling shareholder.

These participative rights in

certain instances restrict the powers of the shareholder with majority voting interest to control the operations or assets of the investee. At the same time, even the minority is entitled to exit.

This “exit right” comes under “protective rights”.

On examination of the Hutchison structure in its entirety, we find that both, participative and protective rights, were provided for in the Shareholders/ Framework Agreements of 2006 in favour of Centrino, NDC and SMMS which enabled them to participate, directly or indirectly, in the operations of HEL.

Even without the execution of SPA, such rights

existed in the above agreements. Therefore, it would not be correct to say that such rights flowed from the SPA. One more aspect needs to be mentioned.

The Framework

Agreements define “change of control with respect to a shareholder”

inter

alia

as

substitution

of

limited

or

unlimited liability company, whether directly or indirectly, to direct the policies/ management of the respective

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6

shareholders, viz., Centrino, NDC, Omega.

Thus, even

without the SPA, upon substitution of VIH in place of HTIL, on acquisition of CGP share, transition could have taken place.

It is important to note that “transition” is a wide

concept.

It is impossible for the acquirer to visualize all

events that may take place between the date of execution of the SPA and completion of acquisition. Therefore, we have a provision for standstill in the SPA and so also the provision for transition.

But, from that, it does not follow that

without SPA, transition could not ensue. Therefore, in the SPA, we find provisions concerning Vendor's Obligations in relation to the conduct of business of HEL between the date of execution of SPA and the closing date, protection of investment during the said period, agreement not to amend, terminate, vary or waive any rights under the Framework/ Shareholders Agreements during the said period, provisions regarding running of business during the said period, assignment

of

loans,

consequence

of

imposition

of

prohibition by way of injunction from any court, payment to be made by VIH to HTIL, giving of warranties by the Vendor, use of Hutch Brand, etc.

The next point raised by the

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Revenue

concerns

termination

of

IDFC

Framework

Agreement of 2006 and its substitution by a fresh Framework Agreement dated 5.06.2007 in terms of the SPA. The submission of the Revenue before us was that the said Agreement dated 5.06.2007 (which is executed after the completion of acquisition by VIH on 8.05.2007) was necessary to assign the benefits of the earlier agreements of 2006 to VIH. This is not correct. The shareholders of ITNL (renamed as Omega) were Array through HTIL Mauritius and SMMS (an Indian company). The original investors through SMMS (IDFC), an infrastructure holding company, held 54.21% of the share capital of Omega; that, under the 2006 Framework Agreement, the original investors were given Put Option by GSPL [an Indian company under Hutchison

Teleservices

(India)

Holdings

Limited

(Ms)]

requiring GSPL to buy the equity share capital of SMMS; that on completion of acquisition on 8.05.2007 there was a change in control of HTIL Mauritius which held 45.79% in Omega and that changes also took place on 5.06.2007 within the group of original investors with the exit of IDFC and SSKI. In view of the said changes in the parties, a

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revised Framework Agreement was executed on 6.06.2007, which again had call and put option. Under the said Agreement dated 6.06.2007, the Investors once again agreed to grant call option to GSPL to buy the shares of SMMS and to enter into a Shareholders Agreement to regulate the affairs of Omega. It is important to note that even in the fresh agreement the call option remained with GSPL and that the said Agreement did not confer any rights on VIH. One more aspect needs to be mentioned. The conferment of call options on GSPL under the Framework Agreements of 2006 also had a linkage with intra-group loans. CGP was an Investment vehicle. It is through the acquisition of CGP that VIH had indirectly acquired the rights and obligations of GSPL in the Centrino and NDC Framework Agreements of 2006 [see the report of KPMG dated 18.10.2010] and not through execution of the SPA. Lastly, as stated above, apart from providing for “standstill”, an SPA has to provide for transition and all possible future eventualities. In the present case, the change in the investors, after completion of acquisition on 8.05.2007, under which SSKI and IDFC exited leaving behind IDF alone was a situation which was

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required to be addressed by execution of a fresh Framework Agreement under which the call option remained with GSPL. Therefore, the June, 2007 Agreements relied upon by the Revenue merely reiterated the rights of GSPL which rights existed even in the Hutchison structure as it stood in 2006. It was next contended that the 2003 Term Sheet with Essar was given effect to by clause 5.2 of the SPA which gave Essar the Right to Tag Along with HTIL and exit from HEL. That, the Term Sheet of 5.07.2003 had legal effect because by a specific settlement dated 15.03.2007 between HTIL and Essar, the said Term Sheet stood terminated which was necessary because the Term Sheet bound the parties in the first place. We find no merit in the above arguments of the Revenue. The 2003 Term Sheet was between HTIL, Essar and UMTL. Disputes arose between Essar and HTIL. Essar asserted RoFR rights when bids were received by HTIL, which dispute ultimately came to be settled on 15.03.2007, that is after the SPA dated 11.02.2007. The SPA did not create any rights. The RoFR/TARs existed in the Hutchison structure. Thus, even without SPA, within the Hutchison structure these rights existed. Moreover, the very object of

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the SPA is to cover the situations which may arise during the transition and those which are capable of being anticipated and dealt with. Essar had 33% stakes in HEL. As stated, the Hutchison structure required the parent and the subsidiary to work together as a group. The said structure required the Indian partners to be kept in the loop. Disputes on existence of RoFR/ TARs had to be settled. They were settled on 15.03.2007. The rights and obligations created under the SPA had to be preserved. In any event, preservation of such rights with a view to continue business in India is not extinguishment.

77.

For the above reasons, we hold that under the HTIL structure, as it existed in 1994, HTIL occupied only a persuasive position/influence over the downstream companies qua manner of voting, nomination of directors and management rights.

That,

the

minority

shareholders/investors had participative and protective rights (including RoFR/TARs, call and put options which provided for exit) which flowed from the CGP share. That, the entire investment was sold to the VIH through the

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investment vehicle (CGP). Consequently, there was no extinguishment of rights as alleged by the Revenue.

Role of CGP in the transaction 78.

The main contention of the Revenue was that CGP

stood inserted at a late stage in the transaction in order to bring in a tax-free entity (or to create a transaction to avoid tax) and thereby avoid capital gains.

That, in December,

2006, HTIL explored the possibility of the sale of shares of the Mauritius entities and found that such transaction would be taxable as HTIL under that proposal had to be the prime mover behind any agreement with VIH – prime mover in the sense of being both

a seller of shares and the recipient of the sale proceeds therefrom.

Consequently,

HTIL moved upwards in the Hutchison structure and devised an artificial tax avoidance scheme of selling the CGP share when in fact what HTIL wanted was to sell its property rights in HEL. This, according to the Revenue, was the reason for the CGP share being interposed in the transaction. We find no merit in these arguments.

79.

When a business gets big enough, it does two things.

First, it reconfigures itself into a corporate group by dividing

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itself into a multitude of commonly owned subsidiaries.

Second, it causes various entities in the said group to guarantee each other's debts.

A typical large business

corporation consists of sub-incorporates. Such division is legal.

It is recognized by company law, laws of taxation,

takeover codes etc. company.

On top is a parent or a holding

The parent is the public face of the business.

The parent is the only group member that normally discloses financial results. Below the parent company are the subsidiaries which hold operational assets of the business and which often have their own subordinate entities that can extend layers. If large firms are not divided into subsidiaries, creditors would have to monitor the enterprise in its entirety. Subsidiaries reduce the amount of information that creditors need to gather. Subsidiaries also promote the benefits of specialization. Subsidiaries permit creditors to lend against only specified divisions of the firm. These are the efficiencies inbuilt in a holding structure. Subsidiaries are often created for tax or regulatory reasons.

They at times come into existence from mergers and acquisitions. As group members, subsidiaries work together

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to make the same or complementary goods and services and hence they are subject to the same market supply and demand conditions. They are financially inter-linked. One such linkage is the intra-group loans and guarantees. Parent entities own equity stakes in their subsidiaries. Consequently, on many occasions, the parent suffers a loss whenever the rest of the group experiences a downturn.

Such grouping is based on the principle of internal correlation. Courts have evolved doctrines like piercing the corporate veil, substance over form etc. enabling taxation of

underlying assets in cases of fraud, sham, tax avoidant, etc. However, genuine strategic tax planning is not ruled out.

80.

CGP was incorporated in 1998 in Cayman Islands. It

was in the Hutchison structure from 1998. The transaction in the present case was of divestment and, therefore, the transaction of sale was structured at an appropriate tier, so that the buyer really acquired the same degree of control as was hitherto exercised by HTIL.

VIH agreed to acquire

companies and the companies it acquired controlled 67% interest in HEL. CGP was an investment vehicle. As stated above, it is through the acquisition of CGP that VIH

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proposed to indirectly acquire the rights and obligations of GSPL in the Centrino and NDC Framework Agreements. The report of Ernst & Young dated 11.02.2007 inter alia states that when they were asked to conduct due diligence by VIH, it was in relation to Array and its subsidiaries. The said report evidences that at the negotiation stage, parties had in mind the transfer of an upstream company rather than the transfer of HEL directly. The transfer of Array had the advantage of transferring control over the entire shareholding held by downstream Mauritius companies (tier I companies), other than GSPL.

On the other hand, the

advantage of transferring the CGP share enabled VIH to indirectly acquire the rights and obligations of GSPL (Indian company) in the Centrino and NDC Framework agreements. This was the reason for VIH to go by the CGP route. One of the arguments of the Revenue before us was that the Mauritius route was not available to HTIL for the reason indicated above. In this connection, it was urged that the legal owner of HEL (Indian company) was not HTIL. Under the transaction, HTIL alone was the seller of the shares. VIH wanted to enter into an agreement only with HTIL so

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7

that if something goes wrong, VIH could look solely to HTIL being

the

group

holding

company

(parent

company).

Further, funds were pumped into HEL by HTIL.

These

funds were to be received back in the shape of a capital gain which could then be used to declare a special dividend to the shareholders of HTIL.

We find no merit in this

argument. Firstly, the tier I (Mauritius companies) were the indirect subsidiaries of HTIL who could have influenced the former to sell the shares of Indian companies in which event the gains would have arisen to the Mauritius companies, who are not liable to pay capital gains tax under the IndoMauritius DTAA.

That, nothing prevented the Mauritius

companies from declaring dividend on gains made on the sale of shares. There is no tax on dividends in Mauritius.

Thus, the Mauritius route was available but it was not opted for because that route would not have brought in the control over GSPL.

Secondly, if the Mauritius companies

had sold the shares of HEL, then the Mauritius companies would have continued to be the subsidiaries of HTIL, their accounts would have been consolidated in the hands of HTIL and HTIL would have accounted for the gains in

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exactly the same way as it has accounted for the gains in the hands of HTIHL (CI) which was the nominated payee. Thus, in our view, two routes were available, namely, the CGP route and the Mauritius route.

It was open to the

parties to opt for any one of the two routes.

Thirdly, as

stated above, in the present case, the SPA was entered into inter alia for a smooth transition of business on divestment by HTIL. As stated, transfer of the CGP share enabled VIH to indirectly acquire the rights and obligations of GSPL in the Centrino and NDC Framework Agreements. Apart from the said rights and obligations under the Framework Agreements, GSPL also had a call centre business.

VIH

intended to take over from HTIL the telecom business.

It

had no intention to acquire the business of call centre.

Moreover, the FDI norms applicable to the telecom business in India were different and distinct from the FDI norms applicable to the call centre business.

Consequently, in

order

objections
to
avoid
legal
and
regulatory
from

Government of India, the call centre business stood hived off. In our view, this step was an integral part of transition of business under SPA.

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7

81.

On the role of CGP in the transaction, two documents
are required to be referred to.

One is the Report of the

KPMG dated 18.10.2010 in which it is stated that through the acquisition of CGP, VIH had indirectly acquired the rights and obligations of GSPL in the Centrino and NDC Framework Agreements.

That, the said two agreements

were put in place with a view to provide AG and AS with downside protection while preserving upside value in the growth of HEL. The second document is the Annual Report 2007 of HTIL.

Under the caption “Overview”, the Report
observes

on

that

11.02.2007,

HTIL

entered

into

an

agreement to sell its entire interests in CGP, a company which held through various subsidiaries, the direct and indirect equity and loan interests in HEL (renamed VEL) and its subsidiaries to VIH for a cash consideration of HK \$86.6 bn. As a result of the said Transaction, the net debt of the Group which stood at HK \$37,369 mn as on 31.12.2006 became a net cash balance of HK \$25,591 mn as on 31.12.2007.

This supports the fact that the sole

purpose of CGP was not only to hold shares in subsidiary companies but also to enable a smooth transition of

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business, which is the basis of the SPA.

Therefore, it

cannot be said that the intervened entity (CGP) had no business or commercial purpose.
82.

Before concluding, one more aspect needs to be

addressed. It concerns situs of the CGP share. According to the Revenue, under the Companies Law of Cayman Islands, an exempted company was not entitled to conduct business in the Cayman Islands. company”.

CGP was an “exempted

According to the Revenue, since CGP was a

mere holding company and since it could not conduct business in Cayman Islands, the situs of the CGP share existed where the “underlying assets are situated”, that is to say, India.

That, since CGP as an exempted company

conducts no business either in the Cayman Islands or elsewhere and since its sole purpose is to hold shares in a subsidiary company situated outside the Cayman Islands, the situs of the CGP share, in the present case, existed “where the underlying assets stood situated” (India).

We

find no merit in these arguments. At the outset, we do not wish to pronounce authoritatively on the Companies Law of Cayman Islands.

Be that as it may, under the Indian

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Companies Act, 1956, the situs of the shares would be where the company is incorporated and where its shares can be transferred.

In the present case, it has been

asserted by VIH that the transfer of the CGP share was recorded in the Cayman Islands, where the register of members of the CGP is maintained.

This assertion has

neither been rebutted in the impugned order of the Department
dated

31.05.2010

nor

traversed

in

the

pleadings filed by the Revenue nor controverted before us.

In the circumstances, we are not inclined to accept the arguments of the Revenue that the situs of the CGP share was situated in the place (India) where the underlying assets stood situated.

Did VIH acquire 67% controlling interest in HEL (and not 42%/ 52% as sought to be propounded)?

83.

According to the Revenue, the entire case of VIH was

that it had acquired only 42% (or, accounting for FIPB regulations, 52%) is belied by clause 5.2 of the Shareholders Agreement.

In this connection, it was urged that 15% in

HEL was held by AS/ AG/ IDFC because of the FDI cap of 74% and, consequently, vide clause 5.2 of the Shareholders Agreement between these entities and HTIL downstream

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subsidiaries, AS/AG/IDFC were all reigned in by having to vote only in accordance with HTIL's dictates as HTIL had funded the purchase by these gentlemen of the HEL shares through financing of loans.

Further, in the Term Sheet

dated 15.03.2007, that is, between VIH and Essar, VIH had a right to nominate 8 directors (i.e. 67% of 12) and Essar had a right to nominate 4 directors which, according to the Revenue, evidences that VIH had acquired 67% interest in HEL and not 42%/52%, as sought to be propounded by it. According to the Revenue, right from 22.12.2006 onwards when HTIL made its first public announcement, HTIL on innumerable occasions represented its direct and indirect "equity interest" in HEL to be 67% - the direct interest being 42.34% and indirect interest in the sense of shareholding belonging to Indian partners under its control, as 25%. Further, according to the Revenue, the purchase price paid by VIH was based on an enterprise value of 67% of the share capital of HEL; this would never have been so if VIH was to buy only 42.34% of the share capital of HEL and that nobody would pay US \$2.5 bn extra without control over 25% in HEL. We find no merit in the above submissions.

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At the outset, it may be stated that the expression "control" is a mixed question of law and fact. The basic argument of the Revenue is based on the equation of "equity interest" with the word "control". On perusal of Hutchison structure, we find that HTIL

had, through its 100% wholly owned subsidiaries, invested in 42.34% of HEL (i.e. direct interest).

Similarly, HTIL had invested through its non-

100% wholly owned subsidiaries in 9.62% of HEL (through the pro rata route). Thus, in the sense of shareholding, one can say that HTIL had an effective shareholding (direct and indirect interest) of 51.96% (approx. 52%) in HEL. On the basis of the shareholding test, HTIL could be said to have a 52% control over HEL. By the same test, it could be equally said that the balance 15% stakes in HEL remained with AS, AG and IDFC (Indian partners) who had through their respective group companies invested 15% in HEL through TII and Omega and, consequently, HTIL had no control over 15% stakes in HEL. At this stage, we may state that under the Hutchison structure shares of Plustech in the AG Group, shares of Scorpions in the AS Group and shares of SMMS came under the options held by GSPL.

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8

Pending exercise, options are not management rights.

At

the highest, options could be treated as potential shares and till exercised they cannot provide right to vote or management or control. In the present case, till date GSPL has

not

exercised

its

rights

under

the

Framework

Agreement 2006 because of the sectoral cap of 74% which in turn restricts the right to vote. Therefore, the transaction in the present case provides for a triggering event, viz. relaxation of the sectoral cap.

Till such date, HTIL/VIH

cannot be said to have a control over 15% stakes in HEL. It is for this reason that even FIPB gave its approval to the transaction by saying that VIH was acquiring or has acquired effective shareholding of 51.96% in HEL.

84.

As regards the Term Sheet dated 15.03.2007, it may be

stated that the said Term Sheet was entered into between VIH and Essar. It was executed after 11.02.2007 when SPA was executed. In the Term Sheet, it has been recited that the parties have agreed to enter into the Term Sheet in order to regulate the affairs of HEL and in order to regulate the relationship of shareholders of HEL. It is

also stated in the Term Sheet that VIH and Essar shall have to nominate

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directors on the Board of Directors of HEL in proportion to the aggregate beneficial shareholding held by members of the respective groups. That, initially VIH shall be entitled to nominate 8 directors and Essar shall be entitled to nominate 4 directors out of a total Board of Directors of HEL (numbering 12).

We must understand the background of
this Term Sheet.

Firstly, as stated the Term Sheet was

entered into in order to regulate the affairs of HEL and to regulate the relationship of the shareholders of HEL. It was necessary to enter into such an agreement for smooth running of the business post acquisition. Secondly, we find from the letter addressed by HEL to FIPB dated 14.03.2007 that Articles of Association of HEL did not grant any specific person or entity a right to appoint directors.

The said

directors were appointed by the shareholders of HEL in accordance with the provisions of the Indian Company Law. The letter further states that in practice the directors were appointed pro rata to their respective shareholdings which resulted in 4 directors being appointed from Essar group, 6 directors being appointed by HTIL and 2 directors were appointed by TII.

One such director was AS, the other

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director was AG.

Term Sheet.

This was the practice even before the

The Term Sheet continues this practice by

guaranteeing or assuring Essar that 4 directors would be appointed from its Group. The above facts indicate that the object of the SPA was to continue the “practice” concerning nomination of directors on the Board of Directors of HEL which in law is different from a right or power to control and manage and which practice was given to keep the business going, post acquisition.

Under the Company Law, the

management control vests in the Board of Directors and not with the shareholders of the company.

Therefore, neither

from Clause 5.2 of the Shareholders Agreement nor from the Term Sheet dated 15.03.2007, one could say that VIH had acquired 67% controlling interest in HEL.

85.

As regards the question as to why VIH should pay

consideration to HTIL based on an enterprise value of 67% of the share capital of HEL is concerned, it is important to note that valuation cannot be the basis of taxation.

The

basis of taxation is profits or income or receipt. In this case, we are not concerned with tax on income/ profit arising from business operations but with tax on transfer of rights

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(capital asset) and gains arising therefrom.

In the latter

case, we have to see the conditions on which the tax becomes payable under the Income Tax Act. Valuation may be a science, not law. In valuation, to arrive at the value one has to take into consideration the business realities, like the business model, the duration of its operations, concepts such as cash flow, the discounting factors, assets and liabilities, intangibles, etc.

In the present case, VIH

paid US \$11.08 bn for 67% of the enterprise value of HEL plus its downstream companies having operational licences.

It bought an upstream company with the intention that rights flowing from the CGP share would enable it to gain control over the cluster of Indian operations or operating companies which owned telecom licences, business assets, etc.

VIH agreed to acquire companies which in turn

controlled a 67% interest in HEL and its subsidiaries.

Valuation is a matter of opinion. When the entire business or investment is sold, for valuation purposes, one may take into account the economic interest or realities. Risks as a discounting factor are also to be taken into consideration apart from loans, receivables, options, RoFR/ TAR, etc. In

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this case, Enterprise Value is made up of two parts, namely, the value of HEL, the value of CGP and the companies between CGP and HEL. In the present case, the Revenue cannot invoke Section 9 of the Income Tax Act on the value of the underlying asset or consequence of acquiring a share of CGP. In the present case, the Valuation done was on the basis of enterprise value. The price paid as a percentage of the enterprise value had to be 67% not because the figure of 67% was available in praesenti to VIH, but on account of the fact that the competing Indian bidders would have had de facto access to the entire 67%, as they were not subject to the limitation of sectoral cap, and, therefore, would have immediately encashed the call options.

The question still

remains as to from where did this figure/ expression of 67% of equity interest come?

The expression “equity interest”

came from US GAAP. In this connection, we have examined the Notes to the Accounts annexed to the Annual Report 2006 of HTIL. According to Note 1, the ordinary shares of HTIL stood listed on the Hong Kong Stock Exchange as well as on the New York Stock Exchange. In Note No. 36, a list of principal subsidiaries of HTIL as on 31.12.2006 has been

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attached. This list shows the names of HEL (India) and some of its subsidiaries. In the said Annual Report, there is an annexure to the said Notes to the Accounts under the caption “Information for US Investors”. It refers to Variable Interest Entities (VIEs). According to the Annual Report, the Vodafone Group consisting of HTIL and its subsidiaries conducted its operations inter alia in India through entities in which HTIL did not have the voting control. Since HTIL was listed on New York Stock Exchange, it had to follow for accounting and disclosure the rules prescribed by US GAAP.

Now, in the present case, HTIL as a listed company was required to make disclosures of potential risk involved in the investment under the Hutchison structure.

HTIL had

furnished Letters of Credit to Rabo Bank which in turn had funded AS and AG, who in turn had agreed to place the shares of Plustech and Scorpions under Options held by GSPL. Thus, giving of the Letters of Credit and placing the shares of Plustech and Scorpions under Options were required to be disclosed to the US investors under the US GAAP, unlike Indian GAAP.

Thus, the difference between

the 52% figure (control) and 67% (equity interest) arose on

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account of the difference in computation under the Indian and US GAAP.

Approach of the High Court (acquisition of CGP share with “other rights and entitlements”)

86.

Applying the “nature and character of the transaction”

test, the High Court came to the conclusion that the transfer of the CGP share was not adequate in itself to achieve the object of consummating the transaction between HTIL and VIH.

That, intrinsic to the transaction was a

transfer of other “rights and entitlements” which rights and entitlements constituted in themselves “capital assets” within the meaning of Section 2(14) of the Income Tax Act, 1961. According to the High Court, VIH acquired the CGP share with other rights and

entitlements whereas, according to the appellant, whatever VIH obtained was through the CGP share (for short “High Court Approach”).

87.

At the outset, it needs to be mentioned that the

Revenue has adopted the abovementioned High Court Approach as an alternative contention.

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88.

We have to view the subject matter of the transaction,

in this case, from a commercial and realistic perspective.

The present case concerns an offshore transaction involving a structured investment. This case concerns “a share sale” and not an asset sale.

It concerns sale of an entire

investment. A “sale” may take various forms. Accordingly, tax consequences will vary.

The tax consequences of a

share sale would be different from the tax consequences of an

asset

sale.

A

slump

sale

would

involve

tax

consequences which could be different from the tax consequences of sale of assets on itemized basis. “Control” is a mixed question of law and fact. Ownership of shares may, in certain situations, result in the assumption of an interest which has the character of a controlling interest in the management of the company. A controlling interest is an incident of ownership of shares in a company, something which flows out of the holding of shares.

A controlling

interest is, therefore, not an identifiable or distinct capital asset independent of the holding of shares. The control of a company resides in the voting power of its shareholders and shares represent an interest of a shareholder which is made

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up of various rights contained in the contract embedded in the Articles of Association. The right of a shareholder may assume the character of a controlling interest where the extent of the shareholding enables the shareholder to control the management.

Shares, and the rights which

emanate from them, flow together and cannot be dissected.

In the felicitous phrase of Lord MacMillan in *IRC v.*

Crossman [1936] 1 All ER 762, shares in a company consist of a “congeries of rights and liabilities” which are a creature of the Companies Acts and the Memorandum and Articles of Association

of

the

company.

Thus,

control

and

management is a facet of the holding of shares. Applying the above principles governing shares and the rights of the shareholders to the facts of this case, we find that this case concerns a straightforward share sale.

VIH acquired

Upstream shares with the intention that the congeries of rights, flowing from the CGP share, would give VIH an indirect control over the three genres of companies. If one looks at the chart indicating the Ownership Structure, one finds that the acquisition of the CGP share gave VIH an indirect control over the tier I Mauritius companies which

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owned shares in HEL totalling to 42.34%; CGP India (Ms), which in turn held shares in TII and Omega and which on a pro rata basis (the FDI principle), totalled up to 9.62% in HEL and an indirect control over Hutchison Tele-Services (India) Holdings Ltd. (Ms), which in turn owned shares in GSPL, which held call and put options. Although the High Court has analysed the transactional documents in detail, it has missed out this aspect of the case.

It has failed to

notice that till date options have remained un-encashed with GSPL.

Therefore, even if it be assumed that the

options under the Framework Agreements 2006 could be considered to be property rights, there has been no transfer or assignment of options by GSPL till today. Even if it be assumed that the High Court was right in holding that the options constituted capital assets even then Section 9(1)(i) was not applicable as these options have not been transferred till date.

Call and put options were not

transferred vide SPA dated 11.02.2007 or under any other document whatsoever. Moreover, if, on principle, the High Court accepts that the transfer of the CGP share did not lead to the transfer of a capital asset in India, even if it

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resulted in a transfer of indirect control over 42.34% (52%) of shares in HEL, then surely the transfer of indirect control over GSPL which held options (contractual rights), would not make the transfer of the CGP share taxable in India. Acquisition of the CGP share which gave VIH an indirect control

over

three

genres

of

companies

evidences

a

straightforward share sale and not an asset sale. There is another fallacy in the impugned judgment. On examination of the impugned judgment, we find a serious error committed by the High Court in appreciating the case of VIH before FIPB.

On 19.03.2007, FIPB sought a clarification

from VIH of the circumstances in which VIH agreed to pay US\$ 11.08 bn for acquiring 67% of HEL when actual acquisition

was

of

51.96%.

In

its

response

dated

19.03.2007, VIH stated that it had agreed to acquire from HTIL for US\$ 11.08 bn, interest in HEL which included a 52% equity shareholding. According to VIH, the price also included a control premium, use of Hutch brand in India, a non-compete

agreement,

loan

obligations

and

an

entitlement to acquire, subject to the Indian FDI rules, a further 15% indirect interest in HEL. According to the said

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letter, the above elements together equated to 67% of the economic

value

of

HEL.

This

sentence

has

been

misconstrued by the High Court to say that the above elements equated to 67% of the equity capital (See para 124). 67% of the economic value of HEL is not 67% of the equity capital.

If VIH would have acquired 67% of the

equity capital, as held by the High Court, the entire investment would have had breached the FDI norms which had imposed a sectoral cap of 74%. In this connection, it may further be stated that Essar had 33% stakes in HEL out of which 22% was held by Essar Mauritius. Thus, VIH did not acquire 67% of the equity capital of HEL, as held by the High Court. This problem has arisen also because of the reason that this case deals with share sale and not asset sale.

This case does not involve sale of assets on

itemized basis. The High Court ought to have applied the look at test in which the entire Hutchison structure, as it existed, ought to have been looked at holistically. This case concerns investment into India by a holding company (parent company), HTIL through a maze of subsidiaries.

When one applies the “nature and character of the

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transaction test”, confusion arises if a dissecting approach of examining each individual asset is adopted. As stated, CGP was treated in the Hutchison structure as an investment vehicle.

As a general rule, in a case where a

transaction involves transfer of shares lock, stock and barrel, such a transaction cannot be broken up into separate individual components, assets or rights such as right to vote, right to participate in company meetings, management rights, controlling rights, control premium, brand licences and so on as shares constitute a bundle of rights. [See

Charanjit Lal v. Union of India AIR 1951 SC 41, Venkatesh (minor) v. CIT 243 ITR 367 (Mad) and Smt. Maharani Ushadevi v. CIT 131 ITR 445 (MP)] Further, the High Court has failed to examine the nature of the following items, namely, non-compete agreement, control premium, call and put options, consultancy support, customer base, brand licences etc.

On facts, we are of the view that the

High Court, in the present case, ought to have examined the entire transaction holistically.

VIH has rightly contended

that the transaction in question should be looked at as an entire package.

The items mentioned hereinabove, like,

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control premium, non-compete agreement, consultancy support, customer base, brand licences, operating licences etc. were all an integral part of the Holding Subsidiary Structure which existed for almost 13 years, generating huge revenues, as indicated above. Merely because at the time of exit capital gains tax becomes not payable or exigible to tax would not make the entire “share sale” (investment) a sham or a tax avoidant.

The High Court has failed to

appreciate that the payment of US\$ 11.08 bn was for purchase of the entire investment made by HTIL in India. The payment was for the entire package. The parties to the transaction have not agreed upon a separate price for the CGP share and for what the High Court calls as “other rights and entitlements” (including options, right to noncompete, control premium, customer base etc.). Thus, it was not open to the Revenue to split the payment and consider a part of such payments for each of the above items. The essential character of the transaction as an alienation cannot be altered by the form of the consideration, the payment of the consideration in instalments or on the basis that the payment is related to a contingency (‘options’, in

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this case), particularly when the transaction does not contemplate such a split up. Where the parties have agreed for a lump sum consideration without placing separate values for each of the above items which go to make up the entire investment in participation, merely because certain values are indicated in the correspondence with FIPB which had raised the query, would not mean that the parties had agreed for the price payable for each of the above items. The transaction remained a contract of outright sale of the entire investment for a lump sum consideration [see: Commentary on Model Tax Convention on Income and Capital dated 28.01.2003 as also the judgment of this Court in the case of CIT (Central), Calcutta

v.

Mugneeram Bangur and

Company (Land Deptt.), (1965) 57 ITR 299 (SC)]. Thus, we need to “look at” the entire Ownership Structure set up by Hutchison as a single consolidated bargain and interpret the transactional documents, while examining the Offshore Transaction of the nature involved in this case, in that light.

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Scope and applicability of Sections 195 and 163 of IT Act 89.

Section 195 casts an obligation on the payer to deduct

tax at source (“TAS” for short) from payments made to nonresidents which payments are chargeable to tax.

Such

payment(s) must have an element of income embedded in it which is chargeable to tax in India.

If the sum paid or

credited by the payer is not chargeable to tax then no obligation to deduct the tax would arise. Shareholding in companies incorporated outside India (CGP) is property located outside India. Where such shares become subject matter of offshore transfer between two non-residents, there is no liability for capital gains tax. In such a case, question of deduction of TAS would not arise.

If in law the

responsibility for payment is on a non-resident, the fact that the payment was made, under the instructions of the nonresident, to its Agent/Nominee in India or its PE/Branch Office will not absolve the payer of his liability under Section 195 to deduct TAS. Section 195(1) casts a duty upon the payer of any income specified therein to a non-resident to deduct therefrom the TAS unless such payer is himself liable to pay income-tax thereon as an Agent of the payee.

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9

Section 201 says that if such person fails to so deduct TAS he shall be deemed to be an assessee-in-default in respect of the deductible amount of tax (Section 201). Liability to deduct tax is different from “assessment” under the Act. Thus, the person on whom the obligation to deduct TAS is cast is not the person who has earned the income. Assessment has to be done after liability to deduct TAS has arisen. The object of Section 195 is to ensure that tax due from non-resident persons is secured at the earliest point of time so that there is no difficulty in collection of tax subsequently at the time of regular assessment.

The

present case concerns the transaction of “outright sale” between two non-residents of a capital asset (share) outside India.

Further, the said transaction was entered into on

principal to principal basis. Therefore, no liability to deduct TAS arose. Further, in the case of transfer of the Structure in its entirety, one has to look at it holistically as one Single Consolidated Bargain which took place between two foreign companies outside India for which a lump sum price was paid of US\$ 11.08 bn. Under the transaction, there was no split up of payment of US\$ 11.08 bn.

It is the Revenue

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which has split the consolidated payment and it is the Revenue which wants to assign a value to the rights to control premium, right to non-compete, right to consultancy support etc. For FDI purposes, the FIPB had asked VIH for the basis of fixing the price of US\$ 11.08 bn. But here also, there was no split up of lump sum payment, asset-wise as claimed by the Revenue. There was no assignment of price for each right, considered by the Revenue to be a “capital asset” in the transaction. In the absence of PE, profits were not attributable to Indian operations.

Moreover, tax

presence has to be viewed in the context of the transaction that is subjected to tax and not with reference to an entirely unrelated matter. The investment made by Vodafone Group companies in Bharti did not make all entities of that Group subject to the Indian Income Tax Act, 1961 and the jurisdiction of the tax authorities. Tax presence must be construed in the context, and in a manner that brings the non-resident assessee under the jurisdiction of the Indian tax authorities.

Lastly, in the present case, the Revenue

has failed to establish any connection with Section 9(1)(i). Under the circumstances, Section 195 is not applicable.

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Alternatively, the Revenue contended before us that VIH can be proceeded against as “representative assessee” under Section 163 of the Act. Section 163 does not relate to deduction of tax. It relates to treatment of a purchaser of an asset as a representative assessee. A conjoint reading of Section 160(1)(i), Section 161(1) and Section 163 of the Act shows that, under given circumstances, certain persons can be treated as “representative assessee” on behalf of non-resident specified in Section 9(1). This would include an agent of non-resident and also who is treated as an agent under Section 163 of the Act which in turn deals with special cases where a person can be regarded as an agent. Once a person comes within any of the clauses of Section 163(1), such a person would be the “Agent” of the nonresident for the purposes of the Act.

However, merely

because a person is an agent or is to be treated as an agent, would not lead to an automatic conclusion that he becomes liable to pay taxes on behalf of the non-resident. It would only mean that he is to be treated as a “representative assessee”. Section 161 of the Act makes a “representative assessee” liable only “as regards the income in

respect of

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9

which he is a representative assessee” (See: Section 161).

Section 161 of the Act makes a representative assessee liable only if the eventualities stipulated in Section 161 are satisfied. This is the scope of Sections 9(1)(i), 160(1), 161(1) read with Sections 163(1) (a) to (d). In the present case, the Department has invoked Section 163(1)(c).

Both Sections

163(1)(c) and Section 9(1)(i) state that income should be deemed to accrue or arise in India.

Both these Sections

have to be read together. On facts of this case, we hold that Section 163(1)(c) is not attracted as there is no transfer of a capital asset situated in India.

Thus, Section 163(1)(c) is

not attracted.

Consequently, VIH cannot be proceeded

against

under

even

Section

163

of

the

Act

as

a

representative assessee. For the reasons given above, there is no necessity of examining the written submissions advanced on behalf of VIH by Dr. Abhishek Manu Singhvi on Sections 191 and 201.

Summary of Findings 90.

Applying the look at test in order to ascertain the true

nature and character of the transaction, we hold, that the Offshore Transaction herein is a bonafide structured FDI

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investment into India which fell outside India's territorial tax jurisdiction, hence not taxable.

The said Offshore

Transaction evidences participative investment and not a sham or tax avoidant preordained transaction.

The said

Offshore Transaction was between HTIL (a Cayman Islands company)

and

Netherlands).

VIH

(a

company

incorporated

in

The subject matter of the Transaction was

the transfer of the CGP (a company incorporated in Cayman Islands).

Consequently, the Indian Tax Authority had no

territorial

tax

jurisdiction

to

tax

the

said

Offshore

Transaction.

Conclusion 91.

FDI flows towards location with a strong governance

infrastructure which includes enactment of laws and how well the legal system works.

Certainty is integral to rule of law.

Certainty and stability form the basic foundation of

any fiscal system.

Tax policy certainty is crucial for

taxpayers (including foreign investors) to make rational economic choices in the most efficient manner. doctrines

like
“Limitation
of
Benefits”
and
Legal “look

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1

through” are matters of policy. It is for the Government of the day to have them incorporated in the Treaties and in the laws so as to avoid conflicting views. Investors should know where they stand. It also helps the tax administration in enforcing the provisions of the taxing laws. As stated above, the Hutchison structure has existed since 1994. According to the details submitted on behalf of the appellant, we find that from 2002-03 to 2010-11 the Group has contributed an amount of `20,242 crores towards direct and indirect taxes on its business operations in India.

Order 92.

For the above reasons, we set aside the impugned judgment of the Bombay High Court dated 8.09.2010 in Writ Petition No. 1325 of 2010. Accordingly, the Civil Appeal stands allowed with no order as to costs.

The

Department is hereby directed to return the sum of `2,500 crores, which came to be deposited by the appellant in terms of our interim order, with interest at the rate of 4% per annum within two months from today.

The interest

shall be calculated from the date of withdrawal by the Department from the Registry of the Supreme Court up to

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the date of payment. The Registry is directed to return the Bank Guarantee given by the appellant within four weeks.

.....CJI (S. H. Kapadia)

.....J.

(Swatanter Kumar)

New Delhi;

January 20, 2012

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REPORTABLE IN THE SUPREME COURT OF INDIA CIVIL APPELLATE JURISDICTION
CIVIL APPEAL NO.733 OF 2012 (Arising out of SLP (C)) No.26529 of 2010)

Vodafone International Holdings B.V. ...

Appellant(s)

Vs.

Union of India and Anr.

...

Respondent(s)

JUDGMENT K.S. Radhakrishnan, J.

The question involved in this case is of considerable public importance, especially on Foreign Direct Investment (FDI), which is indispensable for a growing economy like India.

Foreign investments in India are generally routed through Offshore Finance Centres (OFC) also through the countries with whom India has entered into treaties.

Overseas investments in Joint Ventures (JV) and Wholly Owned

Subsidiaries

(WOS)

have

been

recognised

important avenues of global business in India.

as

Potential

users of off-shore finance are: international companies, individuals, investors and others and capital flows through

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FDI, Portfolio Debt Investment and Foreign Portfolio Equity Investment and so on. Demand for off-shore facilities has considerably increased owing to high growth rates of crossborder investments and a number of rich global investors have

come

forward

to

use

communication infrastructures.

high

technology

and

Removal of barriers to

cross-border trade, the liberalisation of financial markets and new communication technologies have had positive effects on global economic growth and India has also been greatly benefited.

2.

Several international organisations like UN, FATF,

OECD, Council of Europe and the European Union offer finance, one way or the other, for setting up companies all over the world. Many countries have entered into treaties with

several

offshore

companies

for

cross-border

investments for mutual benefits. India has also entered into treaties with several countries for bilateral trade which has been statutorily recognised in this country. United Nations Conference on Trade and Development (UNCTAD) Report on World Investment prospects survey 2009-11 states that

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India would continue to remain among the top five attractive destinations for foreign investors during the next two years.

3.

Merger, Amalgamation, Acquisition, Joint Venture,

Takeovers and Slump-sale of assets are few methods of cross-border re-organisations. Under the FDI Scheme, investment can be made by availing the benefit of treaties, or through

tax

share/convertible

havens

by

non-residents

debentures/preference

shares

in
the
of
an

Indian company but the question which looms large is whether our Company Law, Tax Laws and Regulatory Laws have been updated so that there can be greater scrutiny of non-resident enterprises, ranging from foreign contractors and service providers, to finance investors. Case in hand is an eye-opener of what we lack in our regulatory laws and what measures we have to take to meet the various unprecedented situations, that too without sacrificing national interest.

Certainty in law in dealing with such

cross-border investment issues is of prime importance, which has been felt by many countries around the world and some have taken adequate regulatory measures so that investors can arrange their affairs fruitfully and effectively.

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Steps taken by various countries to meet such situations may also guide us, a brief reference of which is being made in the later part of this judgment.

4.

We are, in the present case, concerned with a matter

relating to cross-border investment and the legal issues emanate from that. Facts have been elaborately dealt with by the High Court in the impugned judgment and also in the leading judgment of Lord Chief Justice, but reference to few facts is necessary to address and answer the core issues raised. On all major issues, I fully concur with the views expressed by the Lord Chief Justice in his erudite and scholarly judgment.

5.

Part-I of this judgment deals with the facts, Part-II

deals with the general principles, Part-III deals with IndoMauritian Treaty, judgments in Union of India v. Azadi Bachao Andolan and Another (2004) 10 SCC 1 and McDowell and Company Limited v. Commercial Tax Officer (1985) 3 SCC 230, Part-IV deals with CGP Interposition, situs etc, Part-V deals with controlling interest

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of HTIL/Vodafone and other rights and entitlements, Part-VI deals with the scope of Section 9, Part-VII deals with Section 195 and other allied provisions and Part-VIII is the conclusions.

Part - I 6.

Hutchison

Whampoa

is

a

multi-sectional,

multi-

jurisdictional entity which consolidates on a group basis telecom operations in various countries. Hutchison Group of Companies (Hong Kong) had acquired interest in the Indian telecom business in the year 1992, when the group invested in Hutchison Max Telecom Limited (HTML) (later known a Hutchison Essar Limited (HEL), which acquired a cellular license in Mumbai circle in the year 1994 and commenced its operation in the year 1995.

Hutchison

Group, with the commercial purpose of consolidating its interest in various countries, incorporated CGP Investments Holding Limited (for short “CGP”) in Cayman Islands as a WOS on 12.01.1998 as an Exempted Company for offshore investments. CGP held shares in two subsidiary companies, namely Array Holdings Limited (for short Array) and Hutchison Teleservices (India) Holding Ltd. [for short

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HTIH(M)]

both

incorporated

in

Mauritius.

CGP(India)

Investment (for short CGPM) was incorporated in Mauritius in December 1997 for the purpose of investing in Telecom Investment (India) Pvt. Limited (for short TII), an Indian Company.

CGPM acquired interests in four Mauritian

Companies and entered into a Shareholders’ Agreement (SHA) on 02.05.2000 with Essar Teleholdings Limited (ETH), CGPM, Mobilvest, CCII (Mauritius) Inc. and few others, to regulate shareholders’ right inter se. Agreement highlighted the share holding pattern of each composition of Board of Directors, quorum, restriction on transfer of ownership of shares, Right of First Refusal (ROFR), Tag Along Rights (TARs) etc.

7.

HTIL,

a

part

of

Hutchison

Whampoa

Group,

incorporated in Cayman Islands in the year 2004 was listed in Hong Kong (HK) and New York (NY) Stock Exchanges. In the year 2005, as contemplated in the Term Sheet Agreement dated 05.07.2003, HTIL consolidated its Indian business operations through six companies in a single holding company HMTL, later renamed as Hutchison Essar

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Ltd. (HEL). On 03.11.2005, Press Note 5 of 2005 series was issued by the Government of India enhancing the FDI ceiling from 49% to 74% in the Telecom Sector.

On

28.10.2005, Vodafone International Holding BV (VIHBV)

(Netherlands) had agreed to acquire 5.61% of shareholding in Bharati Tele Ventures Limited (Bharati Airtel Limited) and

on

the

same

day

Vodafone

Mauritius

Limited

(Subsidiary of VIHBV) had agreed to acquire 4.39% shareholding in Bharati Enterprises Pvt. Ltd. (renamed Bharati Infotel Ltd.), which indirectly held shares in Bharati Airtel Ltd.

8.

HEL shareholding was then restructured through TII

and an SHA was executed on 01.03.2006 between Centrino Trading Company Pvt. Ltd. (Centrino), an Asim Ghosh (Group) [for short (AG)], ND Callus Info Services Pvt. Ltd. (for short NDC), an Analjit Singh (Group) [for short (AS)], Telecom Investment India Pvt.Ltd. [for short (TII)], and CGP India (M). Further, two Framework Agreements (FWAs) were also entered into with respect to the restructuring. Credit facilities were given to the companies controlled by AG and

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AS.

FWAs called, Centrino FWA and N.D. FWA were executed on 01.03.2006.

HTIL stood as a guarantor for

Centrino, for an amount of Rabo Bank.

` 4,898 billion advanced by

HTIL had also stood as a guarantor for ND

Callus, for an award of ` 7.924 billion advanced by Rabo Bank.

9.

Following the credit support given by HTIL to AG and

AS so as to enable them to acquire shares in TII, parties entered into separate agreements with 3 Global Services Pvt. Ltd. (India) [for short 3GSPL], a WOS of HTIL. FWAs also contained call option in favour of 3GSPL, a right to purchase from Gold Spot (an AG company) and Scorpios (an AS company) their entire shareholding in TII held through Plustech (an AG company) and MVH (an AS company) respectively. Subscription right was also provided allowing 3GSPL a right to subscribe 97.5% and 97% of the equity share capital respectively at a pre-determined rate equal to the face value of the shares of Centrino and NDC respectively exercisable within a period of 10 years from the date of the agreements.

Agreements also restricted AG

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companies

and

AS

companies

from

transferring

any

downstream interests leading to the shareholding in TII.

10.

HEL

shareholding

again

underwent

change

with

Hinduja Group exiting and its shareholding being acquired by an Indian company called SMMS Investments Private Limited (SMMS). SMMS was also a joint venture company formed by India Development Fund (IDF) acting through IDFC Private Equity Company

(IDFCPE), Infrastructure Development Finance Company Limited (IDFC) and SSKI Corporate Finance Pvt. Ltd. (SSKI) all the three companies were incorporated in India. Pursuant thereto, a FWA was entered into on 07.08.2006 between IDF (through IDFCPE), IDFC, SSKI, SMMS, HTIL (M), 3GSPL, Indus Ind Telecom Holding Pvt. Ltd. (ITNL) (later named as Omega Telecom Holding Pvt. Ltd. (Omega) and HTIL.

3GSPL, by that

Agreement, had a call option and a right to purchase the entire equity shares of SMMS at a pre-determined price equal to ` 661,250,000 plus 15% compound interest. A SHA was also entered into on 17.08.2006 by SMMS, HTIL (M), HTIL(CI) and ITNL to regulate affairs of ITNL.

Agreement

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referred to the presence of at least one of the directors nominated by HTIL in the Board of Directors of Omega. HTIL was only a confirming party to this Agreement since it was the parent company.

11.

HTIL issued a press release on 22.12.2006 in the HK

and NY Stock Exchanges announcing that it had been approached

by

various

potentially

interested

parties

regarding a possible sale of “its equity interest” in HEL in the Telecom Sector in India. measures

after

procuring

facilitating

FWAs,

SHAs,

all

HTIL had adopted those assignments

transferring

Hutch

of

loans, Branch,

transferring Oracle License etc.

12.

Vodafone Group Plc. came to know of the possible exit

of Hutch from Indian telecom business and on behalf of Vodafone Group made a non-binding offer on 22.12.06, for a sum of US\$ 11.055 million in cash for HTIL's shareholdings in HEL.

The offer was valued at an "enterprise value" of

US\$ 16.5 billion. Vodafone then appointed on 02.01.2007 Ernst and Young LLP to conduct due diligence, and a Non-

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Disclosure (Confidentiality) Agreement dated 02.01.2007 was entered into between HTIL and Vodafone.

On 09.02.2007

Vodafone Group Plc. wrote a letter to HTIL making a "revised and binding offer" on behalf of a member of Vodafone Group (Vodafone) for HTIL's shareholdings in HEL together with interrelated company loans. Bharati Infotel Pvt. Limited on 09.02.2007 expressed its 'no objection' to the Chairman, Vodafone Mauritius Limited regarding proposed acquisition by Vodafone group of direct and / indirect interest in HEL from Hutchison or Essar group. Bharati Airtel also sent a similar letter to Vodafone.

13.

Vodafone Group Plc. on 10.02.2007 made a final

binding offer of US\$ 11.076 billion "in cash over HTIL's interest", based on an enterprise value of US\$ 18.800 billion of HEL. Ernst and Young LLP, U.K. on 11.02.2007 issued due diligence report in relation to operating companies in India namely HEL and subsidiaries and also the Mauritian and Cayman Island Companies. Report noticed that CGP(CI) was not within the target group and was later included at the instance of HTIL. On 11.02.2007, UBS Limited, U.K. issued

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fairness opinion in relation to the transaction for acquisition by Vodafone from HTIL of a 67% effective interest in HEL through the acquisition of 100% interest in CGP and granting an option by Vodafone to Indian Continent Investment Ltd. over a 5.6% stake in Bharati Airtel Limited. Bharati Infotel and Bharati Airtel conveyed their no-objection to the Vodafone purchasing direct or indirect interest in HEL.

14.

Vodafone and HTIL then entered into a Share and

Purchase Agreement (SPA) on 11.02.2007 whereunder HTIL had agreed to procure the transfer of share capital of CGP by HTIBVI, free from all encumbrances and together with all rights attaching or accruing together with assignments of loan interest. HTIL

on 11.02.2007 issued a side letter to Vodafone inter alia stating that, out of the purchase consideration, up to US\$80 million could be paid to some of its Indian Partners.

HTIL had also undertaken that

Hutchison Telecommunication (India) Ltd. (HTM), Omega and 3GSPL, would enter into an agreed form “IDFC Transaction Agreement” as soon as practicable.

On

11.02.2007, HTIL also sent a disclosure letter to Vodafone

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in terms of Clause 9.4 of SPA – Vendor warranties relating to consents and approvals, wider group companies, material contracts, permits, litigation, arbitration and governmental proceedings to limit HTIL liability.

15.

Vodafone on 12.02.2007 made a public announcement

to the Securities and Exchange Commission, Washington (SEC), London Stock Exchange and HK Stock Exchange stating that it had agreed to acquire a Controlling Interest in HEL for a cash consideration of US\$ 11.1 billion. HTIL Chairman sent a letter to the Vice-Chairman of Essar Group

on

14.02.2007

along

with

a

copy

of

Press

announcement made by HTIL, setting out the principal terms of the intended sale of HTIL of its equity and loans in HEL, by way of sale of CGP share and loan assignment to VIH BV.

16.

Vodafone on 20.02.2007 filed an application with

Foreign Investment Promotion Board (FIPB) requesting it to take note of and grant approval under Press note no.1 to the indirect acquisition by Vodafone of 51.96% stake in HEL

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through an overseas acquisition of the entire share capital of CGP from HTIL.

HTIL made an announcement on HK

Stock Exchange regarding the intended use of proceeds from sale of HTIL's interest in HEL viz., declaring a special dividend of HK\$ 6.75 per share, HK\$ 13.9 billion to reduce debt and the remainder to be invested in telecommunication business, both for expansion and towards working capital and general policies. Reference was also made to the sale share and sale loans as being the entire issued share capital of CGP and the loans owned by CGP/Array to an indirect WOS.

AG on 02.03.2007 sent a letter to HEL

confirming that he was the exclusive beneficial owner of his shares and was having full control over related voting rights.

Further, it was also stated that AG had received

credit

support,

Companies.

but

primary

liability

was

with

his

AS also sent a letter on 05.03.2007 to FIPB

confirming that he was the exclusive beneficial owner of his shares and also of the credit support received.

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17.

Essar

had

filed

objections

with

the

FIPB

on

06.03.2007 to HTIL's proposed sale and on 14.03.2007, Essar withdrew its objections.

18.

FIPB on 14.03.2007 sent a letter to HEL pointing out

that in filing of HTIL before the U.S. SEC in Form 6K in the month of March 2006, it had been stated that HTIL Group would continue to hold an aggregate interest of 42.34% of HEL and an additional indirect interest through JV companies being non-wholly owned subsidiaries of HTIL which hold an aggregate of 19.54% of HEL and, hence, the combined holding of HTIL Group would then be 61.88%.

Reference was also made to the communication dated 06.03.2007 sent to the FIPB wherein it was stated that the direct and indirect FDI by HTIL would be 51.96% and, hence, was asked to clarify that discrepancy. Similar letter dated 14.03.2007 was also received by Vodafone.

On

14.03.2007, HEL wrote to FIPB stating that the discrepancy was because of the difference in U.S. GAAP and Indian GAAP declarations and that the combined holding for U.S.

GAAP purposes was 61.88% and for Indian GAAP purposes

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was 51.98%. It was pointed out that Indian GAAP number accurately reflected the true equity ownership and control position.

On 14.03.2007 itself, HEL wrote to FIPB

confirming that 7.577% stake in HEL was held legally and beneficially by AS and his wife and 4.78% stake in HEL was held legally and beneficially by AG.

Further, it was also

pointed out that 2.77% stake in HEL through Omega and S.M.M.S. was legally and beneficially owned by IDFC Limited, IDFC Private Equity Limited and SSKI Corporate Finance Limited.

Further, it was also pointed out that

Articles of Association of HEL did not give any person or entity any right to appoint directors, however, in practice six directors were from HTIL, four from Essar, two from TII and TII had appointed AG & AS. On credit support agreement, it was pointed out that no permission of any regulatory authority was required.

19.

Vodafone also wrote to FIPB on 14.03.2007 confirming

that VIH BV's effective shareholding in HEL would be 51.96% i.e. Vodafone would own 42% direct interest in HEL through its acquisition of 100% of CGP Investments (Holdings) Limited (CGPIL) and through CGPIL Vodafone

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would also own 37% in TII which in turn owned 20% in HEL and 38% in Omega which in turn owned 5% in HEL. It was pointed out that both TII and Omega were Indian

companies and those investments combined would give Vodafone a controlling interest of 52% in HEL. Further, it was pointed out that HTIL's Indian partners AG, AS, IDFC who between them held a 15% interest in HEL on aggregate had agreed to retain their shareholding with full control including voting rights and dividend rights.

20.

HTIL,

Essar

Teleholding

Limited

(ETL),

Essar

Communication Limited (ECL), Essar Tele Investments Limited (ETIL), Essar Communications (India) Limited (ECIL) signed a settlement agreement on 15.03.2007 regarding Essar Group's support for completion of the proposed

transaction

and

covenant

not

to

sue

any

Hutchison Group Company etc., in lieu of payment by HTIL of US\$ 373.5 million after completion and a further US\$ 41.5 million after second anniversary of completion. In that agreement, HTIL had agreed to dispose of its direct and indirect equity, loan and other interests and rights in and

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related to HEL, to Vodafone pursuant to the SPA. HTIL had also agreed to pay US\$ 415 million to Essar in return of its acceptance of the SPA between HTIL and Vodafone.

On

15.03.2007 a Deed of Waiver was entered into between Vodafone and HTIL, whereby Vodafone had waived some of the warranties set out in paragraphs 7.1(a) and 7.1(b) of Schedule 4 of the SPA and covenanted that till payment of HTIL under Clause 6.1(a) of the Settlement Agreement of 30.05.2007, Vodafone should not bring any claim or action. On 15.03.2007 a circular was issued by HTIL including the report of Somerley Limited on the Settlement Agreement between HTIL and Essar Group.

21.

VIHBVI, Essar Tele Holdings Limited (ETH) and ECL

entered into a Term Sheet Agreement on 15.03.2007 for regulating the affairs of HEL and the relationship of its shareholders including setting out VIHBVI's right as a shareholder of HEL to nominate eight persons out of twelve to the board of directors, requiring Vodafone to nominate director to constitute a quorum for board meetings and get ROFR over shares owned by Essar in HEL. Term Sheet also

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stated that Essar had a TAR in respect of Essar's shareholding

in

HEL,

should

any

Vodafone

Group

shareholding sell its share or part thereof in HEL to a person not in a Vodafone Group entity.

VIHBV and

Vodafone Group Plc.(as guarantor of VIHBV) had entered into

a 'Put Option' Agreement on 15.03.2007 with ETH,

ECL (Mauritius), requiring VIHBV to purchase from Essar Group shareholders' all the option shares held by them.

22.

The Joint Director of Income Tax (International

Taxation),

in

the

meanwhile,

issued

a

notice

dated

15.03.2007 under Section 133(6) of the Income Tax Act calling for certain information regarding sale of stake of Hutchison group HK in HEL, to Vodafone Group Plc.

23.

HTIL, on 17.3.2007, wrote to AS confirming that HTIL

has no beneficial or legal or other rights in AS's TII interest or HEL interest. Vodafone received a letter dated 19.3.2007 from FIPB seeking clarifications on the circumstances under which Vodafone had agreed to pay consideration of US\$ 11.08 billion for acquiring 67% of HEL when the actual

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acquisition was only 51.96% as per the application.

Vodafone on 19.03.2007 wrote to FIPB stating that it had agreed to acquire from HTIL interest in HEL which included 52% equity shareholding for US\$ 11.08 billion which price included control premium, use and rights to Hutch brand in India, a non-compete agreement with Hutch group, value of non-voting, non-convertible preference shares, various loans obligations and entitlement and to acquire further 15% indirect interest in HEL, subject to Indian foreign investment rules, which together equated to about 67% of the economic value of HEL.

24.

VIHBVI and Indian continent Investors Limited (ICIL)

had entered into an SHA on 21.03.2007 whereby VIHBVI had to sell 106.470.268 shares in Bharati Airtel to ICIL for a cash consideration of US\$ 1,626,930.881 (which was later amended on 09.05.2007)

25.

HEL on 22.3.2007 replied to the letter of 15.03.2007,

issued by the Joint Director of Income Tax (International Taxation) furnishing requisite information relating to HEL

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clarifying that it was neither a party to the transaction nor would there be any transfer of shares of HEL.

26.

HEL received a letter dated 23.3.2007 from the

Additional Director Income Tax (International Taxation) intimating that both Vodafone and Hutchison Telecom Group

announcements/press

releases/declarations

had

revealed that HTIL had made substantive gains and consequently

HEL

was

requested

to

impress

upon

HTIL/Hutchison Telecom Group to discharge their liability on gains, before they ceased operations in India.

HEL

attention was also drawn to Sections 195, 195(2) and 197 of the Act and stated that under Section 195 obligations were both on the payer and the payee.

27.

Vodafone, in the

meanwhile,

wrote

to FIPB on

27.03.2007 confirming that in determining the bid price of US\$ 11.09 billion it had taken into account various assets and liabilities of CGP including:

(a) its 51.96% direct and ownership of Hutch Essar;

indirect

equity

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(b) Its ownership of redeemable preference shares in TII and JKF;

(c)

Assumption of liabilities of various subsidiaries of CGP amounting to approximately US\$630 million;

(d) subject to Indian Foreign Investment Rules, its rights and entitlements, including subscription rights at par value and call options to acquire in future a further 62.75% of TII and call options to acquire a further 54.21% of Omega Telecom Holdings Pvt. Ltd, which together would give Vodafone a further 15.03% proportionate indirect equity ownership of Hutch Essar, various intangible features such as control premium, use and rights of Hutch branch in India, non compete agreement with HTIL. HEL on 5.4.2007 wrote to the Joint director of Income Tax stating that it has no liabilities accruing out of the transaction, also the department has no locus standi to invoke Section 195 in relation to non-resident entities regarding any purported tax obligations.

On 09.04.2007

HTIL submitted FWAs, SHAs, Loan Agreement, Share-pledge Agreements,

Guarantees,

Hypothecations,

Press

Announcements, Regulatory filing etc., charts of TII and Omega Shareholding, note on terms of agreement relating to acquisition by AS, AG and IDFC, presentation by Goldman Sachs on fair market valuation and confirmation by

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Vodafone, factors leading to acquisition by AG and AS and rationale for put/call options etc.

28.

Vodafone

on

09.04.2007

sent

a

letter

to

FIPB

confirming that valuation of N.D. Callus, Centrino, would occur as per Goldman Sach's presentation in Schedule 5 to HTIL's letter of 09.04.2007 with a minimum value of US\$ 266.25 million and US\$164.51 million for the equity in N.D.

Callus and Centrino respectively, which would form the basis of the future partnership with AS & AG.

Vodafone

also wrote a letter to FIPB setting out details of Vodafone Group's interest worldwide. On 30.04.07 a resolution was passed by the Board of Directors of CGP pertaining to loan agreement,

resignation

and

appointment

of

directors,

transfer of shares; all to take effect on completion of SPA. Resolution also accorded approval of entering into a Deed of Assignment in respect of loans owed to HTI(BVI) Finance Limited in the sums of US\$ 132,092,447.14 and US\$ 28,972,505.70. Further resolution also accorded approval to the resignations of certain persons as Directors of the Company, to take effect on completion of SPA.

Further,

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approval was also accorded to the appointment of Erik de Rjik as a sole director of CGP.

Resolution also accorded

approval to the transfer of CGP from HTI BVI to Vodafone.

On 30.04.2007 a board of resolution was passed by the directors of Array for the

assignment of loans and

resignation of existing directors and appointment of new directors namely Erik de Rjik and two others.

On

30.04.2007, the board of directors of HTI BVI approved the transfer documentation in relation to CGP share capital in pursuance

of SPA

04.05.2007

HTI

and

BVI

due

execution

delivered

the

thereof. share

On

transfer

documentation to the lawyers in Caymen Islands to hold those along with a resolution passed by the board of directors of HTI BVI to facilitate delivery of instruments of transfer to Vodafone at closing of the transaction.

29.

Vodafone on 07.05.2007 received a letter from FIPB

conveying its approval to the transaction subject to compliance

of

observation

regulations

in

India.

On

of

applicable 08.05.2007

laws a

sum

and of

US\$10,854,229,859.05 was paid by Vodafone towards

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consideration for acquisition of share capital of CGP.

On

08.05.2007 Vodafone's name was entered in the register of members of CGP kept in Caymen Islands and the share certificate No.002 of HTI BVI relating to CGP share capital was cancelled. On the same day a Tax Deed of Covenant was entered into between HTIL and Vodafone in pursuance of SPA indemnifying Vodafone in respect of taxation or transfer pricing liabilities payable or suffered by wider group companies (as defined by SPA i.e., CGP, 3 GSPL, Mauritian holding and Indian Companies) on or before completion, including reasonable costs associated with any tax demand.

30.

HTIL also sent a side letter to SPA on 08.05.2007 to

Vodafone highlighting the termination of the brand licences and brand support service agreements between HTIL and 3GSPL and the Indian Operating Companies and stated that the net amount to be paid by Vodafone to HTIL would be US\$ 10,854,229,859.05 and that Vodafone would retain US\$

351.8

million

towards

expenses

incurred

to

operationalize the option agreements with AS and AG, out of the

total

consideration

of

US\$11,076,000,000.

On

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08.05.2007 loan assignment between HTI BVI Finance Limited, Array and Vodafone of Array debt in a sum of US\$ 231,111,427.41 was effected, whereby rights and benefits of HTI BVI Finance Limited to receive repayment was assigned in

favour

of

Vodafone

as

part

of

the

transaction

contemplated vide SPA. On the same day loan assignment between HTI BVI Finance Limited, CGP and Vodafone, of CGP debt in the sum of US\$ 28,972,505.70 was effected, whereby rights and benefits of HTI BVI Finance Limited to receive the repayment was assigned in favour of Vodafone as part of the transactions contemplated vide SPA.

On

08.05.2007, business transfer agreement between 3GSPL and Hutchison Whampoa Properties (India) Limited, a WOS of HWP Investments Holdings (India) Limited, Mauritius, for the sale of business to 3GSPL of maintaining and operating a call centre as a going concern on slump-sale-basis for a composite price of ` 640 million. On 08.05.2007, as already stated, a Deed of Retention was executed between HTIL and Vodafone whereunder HTIL had agreed that out of the total consideration payable in terms of Clause 8.10(b) of the SPA, Vodafone would be entitled to retain US\$ 351.8 million by

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way of HTIL's contribution towards acquisition cost of options i.e., stake of AS & AG.

On 08.05.2007 Vodafone

paid US\$ 10,854,229,859.05 to HTIL.

31.

Vodafone

on

18.05.2007

sent

a

letter

to

FIPB

confirming that VIH BV had no existing joint venture or technology transfer/trade mark agreement in the same field as HEL except with Bharati as disclosed and since 20.02.2007 a member of Bharati Group had exercised the option to acquire a further 5.6% interest from Vodafone such that Vodafone's direct and indirect stake in Bharati Airtel would be reduced to 4.39%.

32.

An agreement (Omega Agreement) dated 05.06.2007

was entered into between IDF, IDFC, IDFC Private Equity Fund II (IDFCPE), SMMS, HT India, 3GSPL, Omega, SSKI and VIH BV.

Due to that Agreement IDF, IDFC and SSKI

would instead of exercising the 'Put option' and 'cashless option' under 2006 IDFC FWA could exercise the same in pursuance of the present Agreement. Further, 3GSPL had waived its right to exercise the 'call option' pursuant to

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2006 IDFC FWA. On 06.06.2007 a FWA was entered into between IDF, IDFC, IDFCPE, SMMS, HT India, 3GSPL, Omega and VIH BV. By that Agreement 3GSPL had a 'call option' to purchase the equity shares of SMMS.

On

07.06.2007 a SHA was entered into between SMMS, HTIL(M), Omega and VIH BV to regulate the affairs of Omega.

On 07.06.2007 a Termination Agreement was

entered into between IDF, IDFC, SMMS, HTIL, 3GSPL, Omega and HTL terminating the 2006 IDFC FWA and the SHA and waiving their respective rights and claims under those Agreements.

On 27.06.2007 HTIL in their 2007

interim report declared a dividend of HK\$ 6.75 per share on account of the gains made by the sale of its entire interest in HEL. On 04.07.2007 fresh certificates of incorporation was issued by the Registrar of Companies in relation to Indian operating companies whereby the word "Hutchison" was substituted with word "Vodafone".

33.

On 05.07.2007, a FWA was entered into between AG,

AG Mercantile Pvt. Limited, Plustech Mercantile Company Pvt.Ltd, 3GSPL, Nadal Trading Company Pvt. Ltd and

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Vodafone as a confirming party.

In consideration for the

unconditional 'call option', 3GSPL agreed to pay AG an amount of US\$ 6.3 million annually. On the same day a FWA was signed by AS and Neetu AS, Scorpio Beverages Pvt. Ltd.(SBP), M.V. Healthcare Services Pvt. Ltd, 3GSPL, N.D. Callus Info Services Pvt. Ltd and Vodafone, as a confirming party.

In consideration for the 'call option'

3GSPL agreed to pay AS & Mrs. Neetu AS an amount of US\$ 10.02 million annually.

TII SHA was entered into on

05.07.2007 between Nadal, NDC, CGP (India), TII and VIH BV to regulate the affairs of TII.

On 05.07.2007

Vodafone entered into a Consultancy Agreement with AS.

Under that Agreement, AS was to be paid an amount of US\$ 1,050,000

per annum and a one time payment of US\$

1,30,00,000 was made to AS.

34.

Vodafone sent a letter to FIPB on 27.07.2007 enclosing

undertakings of AS, AG and their companies as well as SMMS Group to the effect that they would not transfer the shares to any foreign entity without requisite approvals.

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35.

The Income Tax Department on 06.08.2007 issued a

notice to VEL under Section 163 of the Income Tax Act to show cause why it should not be treated as a representative assessee of Vodafone. The notice was challenged by VEL in Writ Petition No.1942 of 2007 before the Bombay High Court.

The Assistant Director of Income Tax (Intl.) Circle

2(2), Mumbai, issued a show cause notice to Vodafone under Section 201(1) and 201(1A) of the I.T. Act as to why Vodafone should not be treated a assessee-in-default for failure to withhold tax. Vodafone then filed a Writ Petition 2550/2007 before the Bombay High Court for setting aside the notice dated 19.09.2007. Vodafone had also challenged the constitutional validity of the retrospective amendment made in 2008 to Section 201 and 191 of the I.T. Act. On 03.12.2008 the High Court dismissed the Writ Petition No.2550

of

No.464/2009

2007

against

before

this

which

Vodafone

filed

SLP

Court

and

Court

on

this

23.01.2009 disposed of the SLP directing the Income Tax Authorities to determine the jurisdictional challenge raised by Vodafone as a preliminary issue. On 30.10.2009 a 2nd show cause notice was issued to Vodafone under Section

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201 and 201(1A) by the Income Tax authorities. Vodafone replied to the show cause notice on 29.01.2010.

On

31.05.2010 the Income Tax Department passed an order under Section 201 and 201(1A) of the I.T. Act upholding the jurisdiction of the Department to tax the transaction.

A

show cause notice was also issued under Section 163(1) of the I.T. Act to Vodafone as to why it should not be treated as an agent / representative assessee of HTIL.

36.

Vodafone then filed Writ Petition No.1325 of 2010

before the Bombay High Court on 07.06.2010 challenging the order dated 31.05.2010 issued by the Income Tax Department on various grounds including the jurisdiction of the Tax Department to impose capital gains tax to overseas transactions.

The Assistant Director of Income Tax had

issued a letter on 04.06.2010 granting an opportunity to Vodafone to address the Department on the question of quantification of liability under Section 201 and 201(1A) of the Income Tax Act.

Vodafone

in

amendment.

the

above

Notice was also challenged by writ

petition

by

way

of

an

The Bombay High Court dismissed the Writ

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Petition on 08.09.2010 against which the present SLP has been filed.

37. The High Court upheld the jurisdiction of the Revenue to impose capital gains tax on Vodafone as a representative assessee after holding that the transaction between the parties attracted capital gains in India.

Court came to the

following conclusions:

(a)

Transactions between HTIL and Vodafone were fulfilled not merely by transferring a single share of CGP in Cayman Islands, but the commercial and business understanding between the parties postulated that what was being transferred from HTIL to VIH BV was the “controlling interest” in HEL in India, which is an identifiable capital asset independent of CGP share.

(b)

HTIL had put into place during the period when it was in the control of HEL a complex structure including the financing of Indian companies which in turn had holdings directly or indirectly in HEL and hence got controlling interest in HEL.

(c)

Vodafone on purchase of CGP got indirect interest in HEL, controlling right in certain indirect holding companies in HEL, controlling rights through shareholder agreements which included the right to appoint directors in certain indirect holding companies in HEL, interest in the form of preference share capital in indirect holding companies of HEL, rights to use Hutch brand in India, non-compete

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agreement with Hutch brand in India etc., which all constitute capital asset as per Section 2(14) of the I.T. Act.

(d)

The price paid by Vodafone to HTIL of US\$ 11.08 billion factored in as part of the consideration of those diverse rights and entitlements and many of those entitlements are relatable to the transfer of CGP share and that the transactional documents are merely incidental or consequential to the transfer of CGP share but recognized independently the rights and entitlements of HTIL in relation to Indian business which are being transferred to VIH BV.

(e)

High Court held that the transfer of CGP share was not adequate in itself to achieve the object of consummating the transaction between HTIL and VIH BV and the rights and entitlements followed would amount to capital gains.

(f)

The Court also held that where an asset or source of income is situated in India, the income of which accrues or arises directly or indirectly through or from it shall be treated as income which is deemed to accrue or arise in India, hence, chargeable under Section 9(1)(i) or 163 of the I.T. Act.

(g)

Court directed the Assessing Officer to do apportionment of income between the income that has deemed to accrue or arise as a result of nexus with India and that which lies outside. High Court also concluded that the provisions of Section 195 can apply to a nonresident provided there is sufficient territorial connection or nexus between him and India.

(h)

Vodafone, it was held, by virtue of its diverse agreements has nexus with Indian jurisdiction

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and, hence, the proceedings initiated under Section 201 for failure to withhold tax by Vodafone cannot be held to lack jurisdiction.

38.

Shri Harish Salve, learned senior counsel appearing for

Vodafone explained in detail how Hutchison Corporate Structure was built up and the purpose, object and relevance of such vertical Transnational Structures in the international context.

Learned Senior counsel submitted

that complex structures are designed not for avoiding tax but for good commercial reasons and Indian legal structure and foreign exchange laws recognize Overseas Corporate Bodies (OCB). Learned senior counsel also submitted that such Transnational Structures also contain exit option to the investors. Senior counsel also pointed out that where regulatory provisions mandate investment into corporate structure such structures cannot be disregarded for tax purposes by lifting the corporate veil especially when there is no motive to avoid tax.

Shri Salve also submitted that

Hutchison corporate structure was not designed to avoid tax and the transaction was not a colourable device to achieve that purpose. Senior counsel also submitted that source of

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income lies where the transaction is effected and not where the underlying asset is situated or economic interest lies.

Reference was made to judgment in Seth Pushalal Mansinghka (P) Ltd. v. CIT (1967) 66 ITR 159 (SC). Learned counsel also pointed out that without any express legislation, off-shore transaction cannot be taxed in India. Reference was made to two judgments of the Calcutta High Court Assam Consolidated Tea Estates v. Income Tax Officer “A” Ward (1971) 81 ITR 699 Cal. and C.I.T. West Bengal v. National and Grindlays Bank Ltd. (1969) 72 ITR 121 Cal. Learned senior counsel also pointed out that when a transaction is between two foreign entities and not with an Indian entity, source of income cannot be traced back to India and nexus cannot be used to tax under Section 9. Further, it was also pointed out that language in Section 9 does not contain “look through provisions” and even the words “indirectly” or “through” appearing in Section 9 would not make a transaction of a non-resident taxable in India unless there is a transfer of capital asset situated in India.

Learned Senior counsel also submitted

that the Income Tax Department has committed an error in

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proceeding on a “moving theory of nexus” on the basis that economic interest and underlying asset are situated in India. It was pointed out that there cannot be transfer of controlling interest in a Company independent from transfer of shares and under the provisions of the Company Law. Acquisition of shares in a Company entitles the Board a right of “control” over the Company.

Learned Senior

Counsel also pointed out the right to vote, right to appoint Board of Directors, and other management rights are incidental to the ownership of shares and there is no change of control in the eye of law but only in commercial terms.

Mr. Salve emphasized that, in absence of the specific legislation, such transactions should not be taxed. On the situs of shares, learned senior counsel pointed out that the situs is determined depending upon the place where the asset is situated. Learned senior counsel also pointed out that on transfer of CGP, Vodafone got control over HEL and merely because Vodafone has presence or chargeable income in India, it cannot be inferred that it can be taxed in some other transactions. Further, it was also pointed out that there was no transfer of any capital asset from HTIL to

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Vodafone pursuant to Option Agreements, FWAs, executed by the various Indian subsidiaries. Learned Senior Counsel also pointed out that the definition of “transfer” under Section

2(47)

which

provides

for

“extinguishment”

is

attracted for a transfer of a legal right and not a contractual right and there was no extinguishment of right by HTIL which gave rise to capital gains tax in India. Reference was made to judgment CIT v. Grace Collis (2001) 3 SCC 430. Learned senior counsel also submitted that the acquisition of “controlling interest” is a commercial concept and tax is levied on transaction and not its effect.

Learned senior

counsel pointed out that to lift the corporate veil of a legally recognised corporate structure time and the stage of the transaction are very important and not the motive to save the tax. Reference was also made to several judgments of the English Courts viz, IRC v. Duke of Westminster (1936)

AC 1 (HL), W. T. Ramsay v. IRC (1982) AC 300 (HL), Craven v. White (1988) 3 All ER 495, Furniss v. Dawson (1984) 1 All ER 530 etc. Reference was also made to the judgment of this Court in McDowell, Azadi Bachao Andolan cases (supra) and few other judgments. Learned

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senior counsel point out that Azadi Bachao Andolan broadly reflects Indian jurisprudence and that generally Indian courts used to follow the principles laid down by English Courts on the issue of tax avoidance and tax evasion. Learned Senior counsel also submitted that Tax Residency Certificate

(for

short

TRC)

issued

by

the

Mauritian

authorities has to be respected and in the absence of any Limitation on Benefit (LOB Clause), the benefit of the IndoMauritian Treaty is available to third parties who invest in India through Mauritius route.

39.

Mr.

Salve

also

argued

on

the

extra

territorial

applicability of Section 195 and submitted that the same cannot be enforced on a non-resident without a presence in India. Counsel also pointed out that the words “any person” in Section 195 should be construed to apply to payers who have a presence in India or else enforcement would be impossible and such a provision should be read down in case of payments not having any nexus with India. Senior counsel also submitted that the withholding tax provisions under Section 195 of the Indian Income Tax Act, do not

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apply to offshore entities making off-shore payments and the said Section could be triggered only if it can be established that the payment under consideration is of a “sum chargeable” under the Income Tax Act (for short IT Act). Senior counsel therefore contended that the findings of the Tax Authorities that pursuant to the transaction the benefit of telecom licence stood transferred to Vodafone is misconceived and that under the telecom policy of India a telecom licence can be held only by an Indian Company and there is no transfer direct or indirect of any licence to Vodafone.

40.

Mr. R.F. Nariman, Learned Solicitor General appearing

for the Income Tax Department submitted that the sale of CGP share was nothing but an artificial avoidance scheme and CGP was fished out of the HTIL legal structure as an artificial tax avoidance contrivance. Shri Nariman pointed out that CGP share has been interposed at the last minute to artificially remove HTIL from the Indian telecom business. Reference was made to the Due Diligence Report of Ernst and Young which stated that target structure later included

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CGP which was not there originally.

Further, it was also

pointed out that HTIL extinguished its rights in HEL and put Vodafone in its place and CGP was merely an interloper.

Shri Nariman also pointed out that as per Settlement Agreement, HTIL sold direct and indirect equity holdings, loans, other interests and rights relating to HEL which clearly reveal something other than CGP share was sold and those transactions were exposed by the SPA.

Learned

Solicitor General also referred extensively the provisions of SPA and submitted that the legal owner of CGP is HTIBVI Holdings Ltd., a British Virgin Islands Company which was excluded from the Agreement with an oblique tax motive.

41.

Mr. Nariman also submitted the situs of CGP can only be in India as the entire business purpose of holding that share was to assume control in Indian telecom operations, the same

was managed

controlled by HTIL.

through

Board

of Directors

The controlling interest expressed by

HTIL would amount to property rights and hence taxable in India.

Reference was made to judgments of the Calcutta

High Court in CIT v. National Insurance Company (1978)

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113 ITR 37(Cal.) and Laxmi Insurance Company Pvt. Ltd. v. CIT (1971) 80 ITR 575 (Delhi).

Further, it was also

pointed out the “call and put” options despite being a contingent right are capable of being transferred and they are property rights and not merely contractual rights and hence would be taxable. Referring to the SPA Shri Nariman submitted

that

the

transaction

can

be

viewed

as

extinguishment of HTILs property rights in India and CGP share was merely a mode to transfer capital assets in India. Further, it was also pointed out that the charging Section should be construed purposively and it contains a look through provision and that the definition of the transfer in Section 9(1)(i) is an inclusive definition meant to explain the scope of that Section and not to limit it. The resignation of HTIL Directors on the Board of HEL could be termed as extinguishment and the right to manage a Company through its Board of Directors is a right to property.

Learned Solicitor General also extensively referred to Ramsay Doctrine and submitted that if business purpose as opposed to effect is to artificially avoid tax then that step should be ignored and the courts should adopt a purposive

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construction on the SPA. Considerable reliance was placed on judgment of this Court in Mc.Dowell and submitted that the same be followed and not Azadi Bachao Andolan which has been incorrectly decided. pointed

out

that

Circular

Further, it was also

No.789

as

regards

the

conclusiveness of TRC would apply only to dividend clause and as regards capital gains, it would still have to satisfy the twin tests of Article 13(4) of the treaty namely the shares being

“alienated and the gains being derived” by a

Mauritian entity. Learned Solicitor General also submitted that the Department can make an enquiry into whether capital gains have been factually and legally assigned to a Mauritian entity or to third party and whether the Mauritian Company was a façade.

42.

Learned counsels, on either side, in support of their

respective contentions, referred to several judgments of this Court,

foreign

Courts,

international

expert

opinions,

authoritative articles written by eminent authors etc.

Before examining the same, let us first examine the legal status of a corporate structure, its usefulness in cross-

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border

transactions

and

other

legal

and

commercial

principles in use in such transactions, which are germane to our case.

Part - II CORPORATE STRUCTURE / (National and International)

43.

GENERAL

PRINCIPLES

Corporate structure is primarily created for business

and commercial purposes and multi-national companies who make offshore investments always aim at better returns to the shareholders and the progress of their companies. Corporation created for such purposes are legal entities distinct from its members and are capable of enjoying rights and of being subject to duties which are not the same as those enjoyed or borne by its members.

Multi-national

companies, for corporate governance, may develop corporate structures,

affiliate

subsidiaries,

joint

ventures

for

operational efficiency, tax avoidance, mitigate risks etc. On incorporation,

the

corporate

property

belongs

to

the

company and members have no direct proprietary rights to it but merely to their “shares” in the undertaking and these shares constitute items of property which are freely

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transferable in the absence of any express provision to the contrary.

44.

Corporate structure created for genuine business

purposes are those which are generally created or acquired: at the time when investment is being made; or further investments are being made; or the time when the Group is undergoing financial or other overall restructuring; or when operations, such as consolidation, are carried out, to cleandefused or over-diversified. Sound commercial reasons like hedging business risk, hedging political risk, mobility of investment, ability to raise loans from diverse investments, often underlie creation of such structures. In transnational investments, the use of a tax neutral and investor-friendly countries to establish SPV is motivated by the need to create a tax efficient structure to eliminate double taxation wherever possible and also plan their activities attracting no or lesser tax so as to give maximum benefit to the investors. Certain countries are exempted from capital gain, certain countries are partially exempted and, in certain countries,

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there is nil tax on capital gains.

Such factors may go in

creating a corporate structure and also restructuring.

45.

Corporate structure may also have an exit route,

especially

when

investment

is

overseas.

For

purely

commercial reasons, a foreign group may wind up its activities overseas for better returns, due to disputes between partners, unfavourable fiscal policies, uncertain political situations, strengthen fiscal loans and its application, threat to its investment,

insecurity, weak and time consuming judicial system etc., all can be contributing factors that may drive its exit or restructuring.

Clearly, there is a

fundamental difference in transnational investment made overseas and domestic investment.

Domestic investments

are made in the home country and meant to stay as it were, but when the trans-national investment is made overseas away from the natural residence of the investing company, provisions are usually made for exit route to facilitate an exit as and when necessary for good business and commercial reasons, which is generally foreign to judicial review.

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46.

Revenue/Courts can always examine whether those

corporate structures are genuine and set up legally for a sound and veritable commercial purpose. Burden is entirely on

the

Revenue

to

show

that

the

incorporation,

consolidation, restructuring etc. has been effected to achieve a fraudulent, dishonest purpose, so as to defeat the law.

CORPORATE GOVERNANCE 47.

Corporate

considerable

governance

interest

in

has the

been

corporate

a

subject

world.

of The

Organisation for Economic cooperation and Development (OECD) defines corporate governance as follows :“Corporate governance is a system by which business corporations are directed and controlled.

The corporate governance structure specifies the distribution of rights and responsibilities among different participants in the corporation and other stake holders and spells out rules and procedures for making decisions on corporate affairs. By doing this, it also provides a structure through which the company objectives are set and the means of attaining those objectives and monitoring performance.” The Ministry of Corporate Affairs to the Government of India, has issued several press notes for information of such global companies, which will indicate that Indian corporate Law has

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also accepted the corporate structure consisting of holding companies and several subsidiary companies.

A holding

company which owns enough voting stock in a subsidiary can control management and operation by influencing or electing its Board of Directors.

The holding company can

also maintain group accounts which is to give members of the holding company a picture of the financial position of the holding company and its subsidiaries. The form and content of holding company or subsidiary company’s own balance sheet and profit and loss account are the same as if they were

independent

companies

except

that

a

holding

company’s accounts an aggregated value of shares it holds in its subsidiaries and in related companies and aggregated amount of loss made by it to its subsidiaries and to related companies and their other indebtedness to it must be shown separately from other assets etc.

48.

Corporate governors can also misuse their office, using

fraudulent

means

for

unlawful

gain,

they

may

also

manipulate their records, enter into dubious transactions for tax evasion. Burden is always on the Revenue to expose and

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prove such transactions are fraudulent by applying look at principle.

OVERSEAS COMPANIES AND FDI 49.

Overseas

companies

are

companies

incorporated

outside India and neither the Companies Act nor the Income Tax Act enacted in India has any control over those companies established overseas and they are governed by the laws in the countries where they are established. country

to

country

laws

governing

From

incorporation,

management, control, taxation etc. may change.

Many

developed and wealthy Nations may park their capital in such off-shore companies to carry on business operations in other countries in the world.

Many countries give facilities

for

in

establishing

companies

their

jurisdiction

minimum control and maximum freedom.

with

Competition is

also there among various countries for setting up such offshore companies in their jurisdiction. Demand for offshore facilities has considerably increased, in recent times, owing to high growth rates of cross-border investments and to the increased number of rich investors who are prepared to use

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high technology and communication infrastructures to go offshore.

Removal of barriers to cross-border trade, the

liberalization of financial markets and new communication technologies have had positive effects on the developing countries including India.

50.

Investment under foreign Direct Investment Scheme

(FDI scheme), investment by Foreign Institutional Investors (FIIs) under the Portfolio Investment Scheme, investment by NRIs/OBCs under the Portfolio Investment Scheme and sale of shares by NRIs/OBCs on non-repatriation basis; Purchase and sale of securities other than shares and convertible debentures of an Indian company by a non-resident are common.

Press Notes are announced by the Ministry of

Commerce and Industry and the Ministry issued Press Note no. 2, 2009 and Press Note 3, 2009, which deals with calculation of foreign investment in downstream entities and requirement companies.

of

ownership

or

control

in

sectoral

cap

Many of the offshore companies use the

facilities of Offshore Financial Centres situate in Mauritius, Cayman Islands etc.

Many of these offshore holdings and

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arrangements are undertaken for sound commercial and legitimate tax planning reasons, without any intent to conceal income or assets from the home country tax jurisdiction

and

India

has

always

encouraged

such

arrangements, unless it is fraudulent or fictitious.

51.

Moving offshore or using an OFC does not necessarily

lead to the conclusion that they involve in the activities of tax evasion or other criminal activities. The multi-national companies are attracted to offshore financial centres mainly due to the reason of providing attractive facilities for the investment. Many corporate conglomerates employ a large number of holding companies and often high-risk assets are parked in separate companies so as to avoid legal and technical risks to the main group. Instances are also there when individuals form offshore vehicles to engage in risky investments, through the use of derivatives trading etc.

Many

of

such

companies

do,

of

course,

involve

in

manipulation of the market, money laundering and also indulge in corrupt activities like round tripping, parking

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black money or offering, accepting etc., directly or indirectly bribe or any other undue advantage or prospect thereof.

52.

OECD (Organisation for Economic Co-operation and

Development) in the year 1998 issued a report called “Harmful Tax Competition: An Emerging Global Issue”. The report advocated doing away with tax havens and offshore financial centers, like the Cayman Islands, on the basis that their low-tax regimes provide them with an unfair advantage in the global marketplace and are thus harmful to the economics of more developed countries.

OECD threatened

to place the Cayman Islands and other tax havens on a “black list” and impose sanctions against them.

53.

OECD’s blacklist was avoided by Cayman Islands in

May 2000 by committing itself to a string of reforms to improve transparency, remove discriminatory practices and began

to

exchange

information

with

OECD.

Often,

complaints have been raised stating that these centres are utilized for manipulating market, to launder money, to evade tax, to finance terrorism, indulge in corruption etc.

All the

same, it is stated that OFCs have an important role in the

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international economy, offering advantages for multi-national companies and individuals for investments and also for legitimate financial planning and risk management.

It is

often said that insufficient legislation in the countries where they operate gives opportunities for money laundering, tax evasion etc. and, hence, it is imperative that that Indian Parliament would address all these issues with utmost urgency.

Need for Legislation:

54.

Tax avoidance is a problem faced by almost all

countries following civil and common law systems and all share the common broad aim, that is to combat it.

Many

countries are taking various legislative measures to increase the scrutiny of transactions conducted by non-resident enterprises.

Australia has both general and specific anti-avoidance rule (GAAR) in its Income Tax Legislations.

In

Australia, GAAR is in Part IVA of the Income Tax Assessment Act, 1936, which is intended to provide an effective measure against tax avoidance arrangements. South Africa has also taken initiative in combating impermissible tax avoidance or

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tax shelters.

Countries like China, Japan etc. have also taken remedial measures.

55.

Direct Tax Code Bill (DTC) 2010, proposed in India, envisages creation of an economically efficient, effective direct tax system, proposing GAAR. GAAR intends to prevent tax avoidance, what is inequitable and undesirable.

Clause

5(4)(g) provides that the income from transfer, outside India of a share in a foreign company shall be deemed to arise in if the FMV of assets India owned by the foreign company is at least 50% of its total assets.

Necessity to take effective

legislative measures has been felt in this country, but we always lag behind because our priorities are different.

Lack

of proper regulatory laws, leads to uncertainty and passing inconsistent orders by Courts, Tribunals and other forums, putting Revenue and tax payers at bay.

HOLDING COMPANY AND SUBSIDIARY COMPANY 56.

Companies Act in India and all over the world have statutorily recognised subsidiary company as a separate legal entity.

Section 2(47) of the Indian Companies Act 1956

defines “subsidiary company” or “subsidiary”, a subsidiary

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company within the meaning of Section 4 of the Act. For the purpose of Indian Companies Act, a company shall be subject to the provisions of sub-section 3 of Section 4, be deemed to be subsidiary of another, subject to certain conditions, which includes

holding of share capital in excess of 50% controlling the composition of Board of Directors and gaining status of subsidiary with respect to third company by holding company's subsidization of third company.

A

holding company is one which owns sufficient shares in the subsidiary company to determine who shall be its directors and how its affairs shall be conducted. Position in India and elsewhere is that the holding company controls a number of subsidiaries and respective businesses of companies within the group and manage and integrate as whole as though they are merely departments of one large undertaking owned by the holding company. But, the business of a subsidiary is not

the

business

of

the

holding

company

(See

Gramophone & Typewriter Ltd. v. Stanley, (1908-10) All ER Rep 833 at 837).

57.

Subsidiary companies are, therefore, the integral part of corporate structure.

Activities of the companies over the

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years have grown enormously of its incorporation and outside and their structures have become more complex. Multi National Companies having large volume of business nationally or internationally will have to depend upon their subsidiary companies in the national and international level for better returns for the investors and for the growth of the company.

When a holding company owns all of the voting

stock of another company, the company is said to be a WOS of the parent company.

Holding companies and their

subsidiaries can create pyramids, whereby subsidiary owns a controlling interest in another company, thus becoming its parent company.

58.

Legal relationship between a holding company and WOS

is that they are two distinct legal persons and the holding company does not own the assets of the subsidiary and, in law, the management of the business of the subsidiary

also vests in its Board of Directors. In *Bacha F. Guzdar v. CIT* AIR 1955 SC 74, this Court held that shareholders' only rights is to get dividend if and when the company declares it, to participate in the liquidation proceeds and to vote at the

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shareholders' meeting. Refer also to *Carew and Company Ltd. v. Union of India* (1975) 2 SCC 791 and *Carrasco Investments Ltd. v. Special Director, Enforcement* (1994) 79 Comp Case 631 (Delhi).

59.

Holding company, of course, if the subsidiary is a WOS,

may appoint or remove any director if it so desires by a resolution in the General Body Meeting of the subsidiary. Holding companies and subsidiaries can be considered as single economic entity and consolidated balance sheet is the accounting relationship between the holding company and subsidiary company, which shows the status of the entire business enterprises.

Shares of stock in the subsidiary

company are held as assets on the books of the parent company and can be issued as collateral for additional debt financing. however,

Holding company and subsidiary company are, considered

as

separate

legal

entities,

subsidiary are allowed decentralized management.

and Each

subsidiary can reform its own management personnel and holding company may also provide expert, efficient and competent services for the benefit of the subsidiaries.

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60.

U.S. Supreme Court in *United States v. Bestfoods*

524 US 51 (1998) explained that it is a general principle of corporate law and legal systems that a parent corporation is not liable for the acts of its subsidiary, but the Court went on to explain that corporate veil can be pierced and the parent company can be held liable for the conduct of its subsidiary, if the corporal form is misused to accomplish certain wrongful purposes, when the parent company is directly a participant in the wrong complained of.

Mere ownership,

parental control, management etc. of a subsidiary is not sufficient to pierce the status of their relationship and, to hold parent company liable.

In *Adams v. Cape Industries*

Plc. (1991) 1 All ER 929, the Court of Appeal emphasized that it is appropriate to pierce the corporate veil where special circumstances exist indicating that it is mere façade concealing true facts.

61.

Courts, however, will not allow the separate corporate

entities to be used as a means to carry out fraud or to evade tax. Parent company of a WOS, is not responsible, legally for

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the unlawful activities of the subsidiary save in exceptional circumstances, such as a company is a sham or the agent of the shareholder, the parent company is regarded as a shareholder.

Multi-National Companies, by setting up

complex vertical pyramid like structures, would be able to distance themselves and separate the parent from operating companies, thereby protecting the multi-national companies from legal liabilities.

SHAREHOLDERS' AGREEMENT 62.

Shareholders' Agreement (for short SHA) is essentially a

contract between some or all other shareholders in a company, the purpose of which is to confer rights and impose obligations over and above those provided by the Company Law.

SHA is a private contract between the shareholders

compared to Articles of Association of the Company, which is a public document.

Being a private document it binds

parties thereof and not the other remaining shareholders in the company.

Advantage of SHA is that it gives greater

flexibility, unlike Articles of Association. provisions

for

resolution

of

any

dispute

It also makes between

the

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shareholders and also how the future capital contributions have to be made.

Provisions of the SHA may also go

contrary to the provisions of the Articles of Association, in that event, naturally provisions of the Articles of Association would govern and not the provisions made in the SHA.

63.

The nature of SHA was considered by a two Judges

Bench

of

this

Court

in

V.

B.

Rangaraj

v.

V.

B.

Gopalakrishnan and Ors. (1992) 1 SCC 160. In that case, an agreement was entered into between shareholders of a private company wherein a restriction was imposed on a living member of the company to transfer his shares only to a member of his own branch of the family, such restrictions were, however, not envisaged or provided for within the Articles of Association. This Court has taken the view that provisions

of

the

Shareholders'

Agreement

imposing

restrictions even when consistent with Company legislation, are to be authorized only when they are incorporated in the Articles of Association, a view we do not subscribe.

This

Court in Gherulal Parekh v. Mahadeo Das Maiya (1959)

SCR Supp (2) 406 held that freedom of contract can be

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restricted by law only in cases where it is for some good for the community.

Companies Act 1956 or the FERA 1973,

RBI Regulation or the I.T. Act do not explicitly or impliedly forbid shareholders of a company to enter into agreements as to how they should exercise voting rights attached to their shares.

64.

Shareholders can enter into any agreement in the best

interest of the company, but the only thing is that the provisions in the SHA shall not go contrary to the Articles of Association.

The essential purpose of the SHA is to make

provisions for proper and effective internal management of the company.

It can visualize the best interest of the

company on diverse issues and can also find different ways not only for the best interest of the shareholders, but also for the company as a whole.

Ltd.

In S. P. Jain v. Kalinga Cables

(1965) 2 SCR 720, this Court held that agreements

between non-members and members of the Company will not bind the company, but there is nothing unlawful in entering into agreement for transferring of shares.

Of course, the

manner in which such agreements are to be enforced in the

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case of breach is given in the general law between the company and the shareholders. A breach of SHA which does not breach the Articles of Association is a valid corporate action but, as we have already indicated, the parties aggrieved can get remedies under the general law of the land for any breach of that agreement.

65.

SHA also provides for matters such as restriction of

transfer of shares i.e. Right of First Refusal (ROFR), Right of First Offer (ROFO), Drag-Along Rights (DARs) and Tag-Along Rights (TARs), Pre-emption Rights, Call option, Put option, Subscription option etc.

SHA in a characteristic Joint

Venture Enterprise may regulate its affairs on the basis of various provisions enumerated above, because Joint Venture enterprise may deal with matters regulating the ownership and voting rights of shares in the company, control and manage the affairs of the company, and also may make provisions

for

resolution

of

disputes

between

the

shareholders. Many of the above mentioned provisions find a place in SHAs, FWAs, Term Sheet Agreement etc. in the

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present case, hence, we may refer to some of those provisions.

(a)

Right of First Refusal (ROFR):

ROFR permits its

holders to claim the transfer of the subject of the right with a unilateral declaration

of

intent

which

can

either

be

contractual or legal. No statutory recognition has been given to that right either in the Indian Company Law or the Income Tax Laws. Some foreign jurisdictions have made provisions regulating those rights by statutes.

Generally, ROFR is

contractual and determined in an agreement. ROFR clauses have contractual restrictions that give the holders the option to enter into commercial transactions with the owner on the basis of some specific terms before the owner may enter into the transactions with a third party.

Shareholders' right to

transfer the shares is not totally prevented, yet a shareholder is

obliged

to

shareholders.

offer

the
shares

first

to

the

existing

Consequently, the other shareholders will
have the privilege over the third parties with regard to purchase of shares.

(b)

Tag Along Rights (TARs):

TARs, a facet of ROFR,

often refer to the power of a minority shareholder to sell their

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shares to the prospective buyer at the same price as any other shareholder would propose to sell. In other words, if one shareholder wants to sell, he can do so only if the purchaser agrees to purchase the other shareholders, who wish to sell at the same price.

TAR often finds a place in

the SHA which protects the interest of the minority shareholders.

(c)

Subscription Option:

Subscription option gives the

beneficiary a right to demand issuance of allotment of shares of the target company.

It is for that reason that a

subscription right is normally accompanied by ancillary provisions including an Exit clause where, if dilution crosses a particular level, the counter parties are given some kind of Exit option.

(d)

Call Option: Call option is an arrangement often seen

in Merger and Acquisition projects, especially when they aim at foreign investment.

A Call option is given to a foreign

buyer by agreement so that the foreign buyer is able to enjoy the permitted minimum equity interests of the target company.

Call option is always granted as a right not an

obligation, which can be exercised upon satisfaction of

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certain conditions and/or within certain period agreed by the grantor and grantee.

The buyer of Call option pays for the

right, without the obligation to buy some underlying instrument from the writer of the option contract at a set future date and at the strike price.

Call option is where the

beneficiary of the action has a right to compel a counterparty to transfer his shares at a pre-determined or price fixed in accordance with the pre-determined maxim or even fair market value which results in a simple transfer of shares.

(e)

Put Option:

A put option represents the right, but

not the requirement to sell a set number of shares of stock, which one do not yet own, at a pre-determined strike price, before the option reaches the expiration date.

A put option

is purchased with the belief that the underlying stock price will drop well before the strike price, at which point one may choose to exercise the option.

(f)

Cash and Cashless Options:

Cash and Cashless

options are related arrangement to call and put options creating a route by which the investors could carry out their investment, in the event of an appreciation in the value of shares.

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66.

SHA, therefore, regulate the ownership and voting rights

of shares in the company including ROFR, TARs, DARs, Preemption Rights, Call Options, Put Options, Subscription Option etc. in relation to any shares issued by the company, restriction of transfer of shares or granting securities interest over shares, provision for minority protection, lock-down or for the interest of the shareholders and the company. Provisions referred to above, which find place in a SHA, may regulate the rights between the parties which are purely contractual and those rights will have efficacy only in the course of ownership of shares by the parties.

SHARES, VOTING INTERESTS:

67.

RIGHTS

AND

CONTROLLING

Shares of any member in a company is a moveable

property and can be transferred in the manner provided by the Articles of Association of the company.

Stocks and

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shares are specifically included in the definition of the Sale of Goods Act, 1930. A share represents a bundle of rights like right to (1) elect directors, (2) vote on resolution of the company, (3) enjoy the profits of the company if and when dividend is declared or distributed, (4) share in the surplus, if any, on liquidation.

68.

Share is a right to a specified amount of the share

capital of a company carrying out certain rights and liabilities, in other words, shares are bundles of intangible rights against the company.

Shares are to be regarded as

situate in the country in which it is incorporated and register is kept.

Shares are transferable like any other moveable

property under the Companies Act and the Transfer of Property Act.

Restriction of Transfer of Shares is valid, if

contained in the Articles of Association of the company.

Shares are, therefore, presumed to be freely transferable and restrictions on their transfer are to be construed strictly. Transfer of shares may result in a host of consequences.

Voting Rights:

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69.

Voting rights vest in persons who names appear in the

Register of Members. Right to vote cannot be decoupled from the share and an agreement to exercise voting rights in a desired manner, does not take away the right of vote, in fact, it is the shareholders' right. Voting rights cannot be denied by a company by its articles or otherwise to holders of shares below a minimum number such as only shareholders holding five or more shares are entitled to vote and so on, subject to certain limitations.

70.

Rights and obligations flowing from voting rights have

been the subject matter of several decisions of this Court. In *Chiranjit Lal Chowdhuri v. Union of India* (1950) 1 SCR 869 at 909 : AIR 1951 SC 41, with regard to exercise of the right to vote, this Court held that the right to vote for the election of directors, the right to pass resolutions and the right to present a petition for winding up are personal rights flowing from the ownership of the share and cannot be themselves and apart from the share be acquired or disposed of or taken possession of.

In *Dwarkadas Shrinivas of*

Bombay v. Sholapur Spinning & Weaving Company

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(1954) SCR 674 at 726 : AIR 1954 SC 119, this Court noticed the principle laid down in *Chiranjit Lal Chowdhuri* (supra).

71.

Voting arrangements in SHAs or pooling agreements are

not “property”. Contracts that provide for voting in favour of or against a resolution or acting in support of another shareholder create only “contractual obligations”. A contract that creates contractual rights thereby, the owner of the share (and the owner of the right to vote) agrees to vote in a particular manner does not decouple the right to vote from the share and assign it to another.

A contract that is

entered into to provide voting in favour of or against the resolution or acting in support of another shareholder, as we have already noted, creates contractual obligation.

Entering

into any such contract constitutes an assertion (and not an assignment) of the right to vote for the reason that by entering into the contract: (a) the owner of the share asserts that he has a right to vote; (b) he agrees that he is free to vote as per his will; and (c) he contractually agrees that he will vote in a particular manner.

Once the owner of a share

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agrees to vote in a particular manner, that itself would not determine as a property.

Controlling Interest:

72.

Shares, we have already indicated, represent congeries

of rights and controlling interest is an incident of holding majority shares.

Control of a company vests in the voting

powers of its shareholders.

Shareholders holding a

controlling interest can determine the nature of the business, its management, enter into contract, borrow money, buy, sell or merge the company. Shares in a company may be subject to premiums or discounts depending upon whether they represent controlling or minority interest. Control, of course, confers value but the question as to whether one will pay a premium for controlling interest depends upon whether the potential buyer believes one can enhance the value of the company.

73.

The House of Lords in IRC v. V.T. Bibby & Sons

(1946) 14 ITR (Supp) 7 at 9-10, after examining the meaning of the expressions “control” and “interest”, held that controlling interest did not depend upon the extent

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to which they had the power of controlling votes.

Principle that emerges is that where shares in large numbers are transferred, which result in shifting of “controlling interest”, it cannot be considered as two separate transactions namely transfer of shares and transfer of controlling interest.

Controlling interest

forms an inalienable part of the share itself and the same cannot be traded separately unless otherwise provided by the Statute. not

Of course, the Indian Company Law does

explicitly

throw

light

on

whether

control

or

controlling interest is a part of or inextricably linked with a share of a company or otherwise, so also the Income Tax Act. In the impugned judgment, the High Court has taken the stand that controlling interest and shares are distinct assets.

74.

Control, in our view, is an interest arising from

holding a particular number of shares and the same cannot be separately acquired or transferred. Each share represents a vote in the management of the company and such a vote can be utilized to control the company.

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Controlling interest, therefore, is not an identifiable or distinct capital asset independent of holding of shares and the nature of the transaction has to be ascertained from the terms of the contract and the surrounding circumstances.

Controlling

interest

is

inherently

contractual right and not property right and cannot be considered as transfer of property and hence a capital asset

unless

the

Statute

stipulates

otherwise.

Acquisition of shares may carry the acquisition of controlling interest, which is purely a commercial concept and tax is levied on the transaction, not on its effect.

A.

LIFTING THE VEIL - TAX LAWS

75.

Lifting the corporate veil doctrine is readily applied in

the cases coming within the Company Law , Law of Contract, Law of Taxation.

Once the transaction is shown to be

fraudulent, sham, circuitous or a device designed to defeat the interests of the shareholders, investors, parties to the contract and also for tax evasion, the Court can always lift the corporate veil and examine the substance of the

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transaction. This Court in Commissioner of Income Tax v.

Sri Meenakshi Mills Ltd., Madurai, AIR 1967 SC 819 held that the Court is entitled to lift the veil of the corporate entity and pay regard to the economic realities behind the legal façade meaning that the court has the power to disregard the corporate entity if it is used for tax evasion.

In Life

Insurance Corporation of India v. Escorts Limited and Others (1986) 1 SCC 264, this Court held that the corporate veil may be lifted where a statute itself contemplates lifting of the veil or fraud or improper conduct intended to be prevented or a taxing statute or a beneficial statute is sought to be evaded or where associated companies are inextricably as to be, in reality part of one concern. Lifting the Corporate Veil

doctrine was also applied in Juggilal Kampalat

v.

Commissioner of Income Tax, U.P. , AIR 1969 SC 932 :

(1969) 1 SCR 988, wherein this Court noticed that the assessee firm sought to avoid tax on the amount of compensation received for the loss of office by claiming that it was capital gain and it was found that the termination of the contract of managing agency was a collusive transaction. Court held that it was a collusive device, practised by the

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managed company and the assessee firm for the purpose of evading income tax, both at the hands of the payer and the payee.

76.

Lifting the corporate veil doctrine can, therefore, be

applied in tax matters even in the absence of any statutory authorisation to that effect. Principle is also being applied in cases of holding company - subsidiary relationship- where in spite of being separate legal personalities, if the facts reveal that they indulge in dubious methods for tax evasion.

(B)

Tax Avoidance and Tax Evasion:

Tax avoidance and tax evasion are two expressions

which find no definition either in the Indian Companies Act, 1956 or the Income Tax Act, 1961. But the expressions are being used in different contexts by our Courts as well as the Courts in England and various other countries, when a subject is sought to be taxed. One of the earliest decisions which came up before the House of Lords in England demanding tax on a transaction by the Crown is Duke of Westminster (supra). In that case, Duke of Westminster had made an arrangement that he would pay his gardener an

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annuity, in which case, a tax deduction could be claimed.

Wages of household services were not deductible expenses in computing

the

taxable

income,

therefore,

Duke

of

Westminster was advised by the tax experts that if such an agreement was employed, Duke would get tax exemption. Under the Tax Legislation then in force, if it was shown as gardener's wages, then the wages paid would not be deductible. Inland Revenue contended that the form of the transaction was not acceptable to it and the Duke was taxed on the substance of the transaction, which was that payment of annuity was treated as a payment of salary or wages. Crown's claim of substance doctrine was, however, rejected by the House of Lords. Lord Tomlin's celebrated words are quoted below:

"Every man is entitled if he can to order his affairs so that the tax attaching under the appropriate Acts is less than it otherwise would be. If he succeeds in ordering them so as to secure this result, then, however unappreciative the Commissioners of Inland Revenue or his fellow taxpayers may be of his ingenuity, he cannot be compelled to pay an increased tax.

This so called doctrine of 'the substance' seems to me to be nothing more than an attempt to make a man pay notwithstanding that he has so ordered his affairs that the amount of tax sought from him is not legally claimable."

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Lord

Atkin,

however,

dissented

and

stated

that

"the

substance of the transaction was that what was being paid was remuneration."

The principles which have emerged from that judgment are as follows:

(1)

A legislation is to receive a strict or literal interpretation;

(2)

An arrangement is to be looked at not in by its economic or commercial substance but by its legal form; and

(3)

An arrangement is effective for tax purposes even if it has no business purpose and has been entered into to avoid tax.

The House of Lords, during 1980's, it seems, began to attach a "purposive interpretation approach" and gradually began to give emphasis on "economic substance doctrine" as a question of statutory interpretation.

In a most celebrated

case in Ramsay (supra), the House of Lords considered this question again.

That was a case whereby the taxpayer

entered into a circular series of transactions designed to produce a loss for tax purposes, but which together produced no commercial result. Viewed that transaction as a whole, the series of transactions was self-canceling, the taxpayer was in precisely the same commercial position at the end as

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at the beginning of the series of transactions. House of Lords ruled

that,

notwithstanding

the

rule

in

Duke

of

Westminster's case, the series of transactions should be disregarded for tax purposes and the manufactured loss, therefore, was not available to the taxpayer. Lord Wilberforce opined as follows:

"While obliging the court to accept documents or transactions, found to be genuine, as such, it does not compel the court to look at a document or a transaction in blinkers, isolated from any context to which it properly belongs. If it can be seen that a document or transaction was intended to have effect as part of a nexus or series of transactions, or as an ingredient of a wider transaction intended as a whole, there is nothing in the doctrine to prevent it being so regarded; to do so in not to prefer form to substance, or substance to form. It is the task of the court to ascertain the legal nature of any transaction to which it is sought to attach a tax or a tax consequence and if that emerges from a series or combination of transactions intended to operate as such, it is that series or combination which may be regarded."

(emphasis supplied)

House of Lords, therefore, made the following important remarks concerning what action the Court should consider in cases that involve tax avoidance:

(1)

A taxpayer was only to be taxed if the Legislation clearly indicated that this was the case;

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77.

(2)

A taxpayer was entitled to manage his or her affairs so as to reduce tax;

(3)

Even if the purpose or object of a transaction was to avoid tax this did not invalidate a transaction unless an antiavoidance provision applied; and

(4)

If a document or transaction was genuine and not a sham in the traditional sense, the Court had to adhere to the form of the transaction following the Duke Westminster concept.

In Ramsay (supra) it may be noted, the taxpayer

produced a profit that was liable to capital gains tax, but a readymade claim was set up to create an allowable loss that was purchased by the taxpayer with the intention of avoiding the capital gains tax.

Basically, the House of Lords,

cautioned that the technique of tax avoidance might progress and technically improve and Courts are not obliged to be at a standstill.

In other words, the view expressed was that

that a subject could be taxed only if there was a clear intendment and the intendment has to be ascertained on clear principles and the Courts would not approach the issue on a mere literal interpretation.

Ramsay was, therefore,

seen as a new approach to artificial tax avoidance scheme.

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78.

Ramsay was followed by the House of Lords in another decision in IRC v. Burmah Oil Co Ltd. (1982) 54 TC 200.

This case was also concerned with a self-cancelling series of transactions.

Lord Diplock, in that case, confirmed the

judicial view that a development of the jurisprudence was taking place, stating that Ramsay case marked a significant change in the approach adopted by the House of Lords to a pre-ordained series of transactions.

Ramay and Burmah

cases, it may be noted, were against self-cancelling artificial tax schemes which were widespread in England in 1970's. Rather than striking down the self-cancelling transactions, of course, few of the speeches of Law Lords gave the impression that the tax effectiveness of a scheme should be judged by reference to its commercial substance rather than its legal form. On this, of course, there was some conflict with

the principle laid down in Duke of Westminster.

Duke of

Westminster was concerned with the “single tax avoidance step”. During 1970’s, the Courts in England had to deal with several pre-planned avoidance schemes containing a number of steps. In fact, earlier in IRC v. Plummer (1979) 3 All ER 775, Lord Wilberforce commented about a scheme stating

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that the same was carried out with “almost military precision” which required the court to look at the scheme as a whole.

The scheme in question was a “circular annuity”

plan, in which a charity made a capital payment to the taxpayer in consideration of his covenant to make annual payments of income over five years. The House of Lords held that the scheme was valid.

Basically, the Ramsay was

dealing with “readymade schemes”.

79.

The House of Lords, however, had to deal with a non self-cancelling tax avoidance scheme in Dawson (supra).

Dawsons, in that case, held shares in two operating companies which agreed in principle in September 1971 to sell their entire shareholding to Wood Bastow Holdings Ltd.

Acting on advice, to escape capital gains tax, Dawsons decided not to sell directly to Wood Bastow, rather arranged to exchange their shares for shares in an investment company to be incorporated in the Isle of Man. Greenjacket Investments Ltd. was then incorporated in the Isle of Man on 16.12.1971

and

two

Greenjacket

would

arrangements

purchase

were

Dawsons

finalized

shares

in

(i) the

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operating company for £152,000 to be satisfied by the issue of

shares

of

Greenjacket

and

(ii)

an

agreement

for

Greenjacket to sell the shares in the operating company to Wood Bastow for £152,000.

80.

The High Court and the Court of Appeal ruled that

Ramsay principle applied only where steps forming part of the scheme were self-cancelling and they considered that it did not allow share exchange and sale agreements to be distributed as steps in the scheme, because they had an enduring legal effect. The House of Lords, however, held that steps inserted in a preordained series of transactions with no commercial purpose other than tax avoidance should be disregarded for tax purposes, notwithstanding that the inserted step (i.e. the introduction of Greenjacket) had a business effect.

Lord Brightman stated that inserted step

had no business purpose apart from the deferment of tax, although it had a business effect.

81.

Even though in Dawson, the House of Lords seems to

strike down the transaction by the taxpayer for the purpose

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of tax avoidance, House of Lords in Craven (supra) clarified the position further. In that case, the taxpayers exchanged their shares in a trading company (Q Ltd) for shares in an Isle of Man holding company (M Ltd), in anticipation of a potential sale or merger of the business. Taxpayers, in the meanwhile, had abandoned negotiations with one interested party, and later concluded a sale of Q Ltd's shares with another. M Ltd subsequently loaned the entire sale proceeds to the taxpayers, who appealed against assessments to capital gains tax. The House of Lords held in favour of the taxpayers, dismissing the crown's appeal by a majority of three to two.

House of Lords noticed that when the share

exchange took place, there was no certainty that the shares in Q Ltd would be sold. Lord Oliver, speaking for the majority, opined that Ramsay, Burmah and Dawson did not produce any legal principle that would nullify any transaction that has no intention besides tax avoidance and opined as follows:

“My Lords, for my part I find myself unable to accept that Dawson either established or can properly be used to support a general proposition that any transaction which is effected for avoiding tax on a contemplated subsequent

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transaction and is therefore planned, is for that reason, necessarily to be treated as one with that subsequent transaction and as having no independent effect.”

Craven made it clear that: (1) Strategic tax planning undertaken for months or possible years before the event (ofsale) in anticipation of which it was effected; (2) A series of transactions

undertaken

at

the

time

of

disposal/sale,

including an intermediate transaction interposed into having no independent life, could under Ramsay principle be looked at and treated as a composite whole transaction to which the fiscal results of the single composite whole are to be applied, i.e. that an intermediate transfer which was, at the time when it was effected, so closely interconnected with the ultimate disposition, could properly be described as not, in itself, a real transaction at all, but merely an element in some different and larger whole without independent effect.

81.

Later, House of Lords in Ensign Tankers (Leasing)

Ltd. v. Stokes (1992) 1 AC 655 made a review of the various tax avoidance cases from Floor v. Davis (1978) 2 All ER 1079 : (1978) Ch 295 to Craven (supra).

In Ensign

Tankers, a company became a partner of a limited

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partnership that had acquired the right to produce the film “Escape to Victory”.

75% of the cost of making the film was

financed by way of a non-recourse loan from the production company, the company claimed the benefit of depreciation allowances based upon the full amount of the production cost.

The House of Lords disallowed the claim, but allowed

depreciation calculated on 25% of the cost for which the limited partnership was at risk.

House of Lords examined

the transaction as a whole and concluded that the limited partnership had only 'incurred capital expenditure on the provision of machinery or plant' of 25% and no more.

83.

Lord Goff explained the meaning of "unacceptable tax

avoidance" in Ensign Tankers and held that unacceptable tax avoidance typically involves the creation of complex artificial structures by which, as though by the wave of a magic wand, the taxpayer conjures out of the air a loss, or a gain, or expenditure, or whatever it may be, which otherwise would never have existed.

This, of course, led to further

debate as to what is "unacceptable tax avoidance" and "acceptable tax avoidance".

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84.

House

of

Lords,

later

in

Inland

Revenue

Commissioner v. McGuckian (1997) BTC 346 said that the substance of a transaction may be considered if it is a tax avoidance scheme. Lord Steyn observed as follows:

"While Lord Tomlin's observations in the Duke of Westminster case [1936] A.C. 1 still point to a material consideration, namely the general liberty of the citizen to arrange his financial affairs as he thinks fit, they have ceased to be canonical as to the consequence of a tax avoidance scheme."

McGuckian was associated with a tax avoidance scheme.

The intention of the scheme was to convert the income from shares by way of dividend to a capital receipt.

Schemes'

intention was to make a capital receipt in addition to a tax dividend.

McGuckian had affirmed the fiscal nullity

doctrine from the approach of United Kingdom towards tax penalties which emerged from tax avoidance schemes. The analysis of the transaction was under the principles laid down in Duke of Westminster, since the entire transaction was not a tax avoidance scheme.

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85.

House of Lords in MacNiven v. Westmoreland

Investments Limited (2003) 1 AC 311 examined the scope of Ramsay principle approach and held that it was one of purposive construction. In fact, Ramsay's case and case of Duke of Westminster were reconciled by Lord Hoffmann in MacNiven. Lord Hoffmann clarified stating as follows 'if the legal position is that tax is imposed by reference to a legally designed concept, such as stamp duty payable on a document which constitute conveyance or sale, the court cannot tax a transaction which uses no such document on the ground that it achieves the same economic effect. On the other hand, the legal position is that the tax is imposed by reference to a commercial concept, then to have regard to the business "substance" of the matter is not to ignore the legal position but to give effect to it.'

86.

In other words, Lord Hoffmann reiterated that tax

statutes must be interpreted "in a purposive manner to achieve the intention of the Legislature".

Ramsay and

Dawson are said to be examples of these fundamental principles.

87.

Lord Hoffmann, therefore, stated that when Parliament

intended to give a legal meaning to a statutory term or phrase, then Ramsay approach does not require or permit

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an examination of the commercial nature of the transaction, rather, it requires a consideration of the legal effect of what was done.

88.

MacNiven approach has been reaffirmed by the House

of Lords in Barclays Mercantile Business Finance Limited v. Mawson (2005) AC 685 (HL). In Mawson, BGE, an Irish Company had applied for a pipeline and it sold the pipeline to (BMBF) taxpayer for ₹ 91.3 Million. BMBF later leased the pipeline back to

BGE which granted a sub-lease onwards to its UK subsidiary. BGE immediately deposited the sale proceeds as Barclays had no access to it for 31 years.

Parties had nothing to loose with the transaction

designed to produce substantial tax deduction in UK and no other economic consequence of any significance. Revenue denied BMBF's deduction for depreciation because the series of transactions amounted to a single composite transaction that did not fall within Section 24(1) of the Capital Cost Allowance Act, 1990.

House of Lords, in a

unanimous decision held in favour of the tax payer and held as follows "driving principle in Ramsay's line of cases

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continues

to

involve

a

general

rule

of

statutory

interpretation and unblinked approach to the analysis of facts.

The ultimate question is whether the relevant

statutory provisions, construed purposively, were intended to apply to a transaction, viewed realistically.

89.

On the same day, House of Lords had an occasion to

consider

the

Ramsay

approach

in

Inland

Revenue

Commissioner v. Scottish Provident Institution (2004 [1]

WLR 3172). The question involved in Scottish Provident Institution was whether there was "a debt contract for the purpose of Section 150A(1) of the Finance Act, 1994."

House of Lords upheld the Ramsay principle and considered the series of transaction as a composite transaction and held that the composite transaction created no entitlement to securities and that there was, thus, no qualifying contract.

The line drawn by House of Lords between

Mawson and Scottish Provident Institution in holding that in one case there was a composite transaction to which statute applied, while in the other there was not.

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90.

Lord Hoffmann later in an article “Tax Avoidance”

reported in (2005) BTR 197 commented on the judgment in BMBF as follows:

“the primacy of the construction of the particular taxing provision and the illegitimacy of the rules of general application has been reaffirmed by the recent decision of the House in “BMBF”. Indeed, it may be said that this case has killed off Ramsay doctrine as a special theory of revenue law and subsumed it within the general theory of the interpretation of statutes”. Above discussion would indicate that a clear-cut distinction between tax avoidance and tax evasion is still to emerge in England and in the absence of any legislative guidelines, there bound to be uncertainty, but to say that the principle of Duke of Westminster has been exorcised in England is too tall a statement and not seen accepted even in England.

House of Lords in McGuckian

and MacNiven, it may be

noted, has emphasised that the Ramsay approach as a principle of statutory interpretation rather than an overarching anti avoidance doctrine imposed upon tax laws. Ramsay approach ultimately concerned with the statutory interpretation of a tax avoidance scheme and the principles laid down in Duke of Westminster, it cannot be said, has

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been given a complete go by Ramsay, Dawson or other judgments of the House of Lords.

PART-III INDO-MAURITIUS TREATY - AZADI BACHAO ANDOLAN 91.

The Constitution Bench of this Court in McDowell

(supra) examined at length the concept of tax evasion and tax avoidance in the light of the principles laid down by the House of Lords in several judgments like Westminster, Ramsay, Dawson etc.

Duke

of

The scope of Indo-

Mauritius Double Tax Avoidance Agreement (in short DTAA)], Circular No. 682 dated 30.3.1994 and Circular No. 789 dated 13.4.2000 issued by CBDT, later came up for consideration before a two Judges Bench of this Court in Azadi Bachao Andolan.

Learned Judges made some

observations with regard to the opinion expressed by Justice Chinnappa Reddy in a Constitution Bench judgment of this Court in McDowell, which created some confusion with regard to the understanding of the Constitution Bench judgment, which needs clarification. Let us, however, first

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examine the scope of the India-Mauritius Treaty and its follow-up.

92.

India-Mauritius Treaty was executed on 1.4.1983 and

notified on 16.12.1983. Article 13 of the Treaty deals with the taxability of capital gains.

Article 13(4) covers the

taxability of capital gains arising from the sale/transfer of shares and stipulates that “Gains derived by a resident of a Contracting State from the alienation of any property other than those mentioned in paragraphs 1, 2 and 3 of that Article, shall be taxable only in that State”. Article 10 of the Treaty deals with the taxability of Dividends.

Article 10(1)

specifies that “Dividends paid by a company which is a resident of a Contracting State to a resident of other contracting State, may be taxed in that other State”. Article 10(2) stipulates that “such dividend may also be taxed in the Contracting State of which the company paying the dividends is a resident but if the recipient was the beneficial owner of the dividends, the tax should not exceed; (a) 5% of the gross amount of the dividends if the recipient of the dividends holds at least 10% of the capital of the company

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paying the dividends and (b) 15% of the gross amount of the dividends in all other cases.

93.

CBDT issued Circular No. 682 dated 30.03.1994

clarifying that capital gains derived by a resident of Mauritius by alienation of shares of an Indian company shall be taxable only in Mauritius according to Mauritius Tax Law. In the year 2000, the Revenue authorities sought to deny the treaty benefits to some Mauritius resident companies pointing out that the beneficial ownership in those companies was outside Mauritius and thus the foremost purpose of investing in India via Mauritius was tax avoidance.

Tax authorities took the stand that Mauritius

was merely being used as a conduit and thus sought to deny the treaty benefits despite the absence of a limitation of benefits (LOB) clause in the Treaty. CBDT then issued Circular

No. 789 dated

13.04.2000 stating

that the

Mauritius Tax Residency Certificate (TRC) issued by the Mauritius Tax Office was a sufficient evidence of tax response of that company in Mauritius and that such companies were entitled to claim treaty benefits.

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94.

Writ Petitions in public interest were filed before the

Delhi High Court challenging the constitutional validity of the above mentioned circulars.

Delhi High Court quashed

Circular No. 789 stating that inasmuch as the circular directs the Income Tax authorities to accept as a certificate of residence issued by the authorities of Mauritius as sufficient evidence as regards the status of resident and beneficial ownership, was ultra vires the powers of CBDT. The Court also held that the Income Tax Office was entitled to lift the corporate veil in India to see whether a company was a resident of Mauritius or not and whether the company was paying income tax in Mauritius or not. The Court also held that the “Treaty Shopping” by which the resident of a third country takes advantage of the provisions of the agreement was illegal and necessarily to be forbidden. Union of India preferred appeal against the judgment of the Delhi High Court, before this Court. This Court in Azadi Bachao Andolan allowed the appeal and Circular No. 789 was declared valid.

Limitation of Benefit Clause (LOB)

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95.

India Mauritius Treaty does not contain any Limitation

of Benefit (LOB) clause, similar to the Indo-US Treaty, wherein Article 24 stipulates that benefits will be available if 50% of the shares of a company are owned directly or indirectly by one or more individual residents of a controlling state.

LOB clause also finds a place in India-

Singapore DTA. Indo Mauritius Treaty does not restrict the benefit

to

companies

whose

shareholders

are

non-

citizens/residents of Mauritius, or where the beneficial interest is owned by non-citizens/residents of Mauritius, in the event where there is no justification in prohibiting the residents of a third nation from incorporating companies in Mauritius and deriving benefit under the treaty.

No

presumption can be drawn that the Union of India or the Tax Department is unaware that the quantum of both FDI and FII do not originate from Mauritius but from other global investors situate outside Mauritius. Mauritius, it is well known is incapable of bringing FDI worth millions of dollars into India. If the Union of India and Tax Department insist that the investment would directly come from

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Mauritius and Mauritius alone then the Indo-Mauritius treaty would be dead letter.

96.

Mr. Aspi Chinoy, learned senior counsel contended

that in the absence of LOB Clause in the India Mauritius Treaty, the scope of the treaty would be positive from Mauritius

Special

Purpose

Vehicles

(SPVs)

created

specifically to route investments into India, meets with our approval.

We

acknowledge

that

on

a

subsequent

sale/transfer/disinvestment of shares by the Mauritian company, after a reasonable time, the sale proceeds would be received by the Mauritius Company as the registered holder/owner of such shares, such benefits could be sent back

to

the

Foreign

Principal/100%

shareholder

of

Mauritius company either by way of a declaration of special dividend

by

Mauritius

company

and/or

by

way

of

repayment of loans received by the Mauritius company from the Foreign Principal/shareholder for the purpose of making the investment. Mr. Chinoy is right in his contention that apart from DTAA, which provides for tax exemption in the case

of

capital

gains

received

by

a

Mauritius

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company/shareholder at the time of disinvestment/exit and the fact that Mauritius does not levy tax on dividends declared and paid by a Mauritius company/subsidiary to its Foreign Shareholders/Principal, there is no other reason for this quantum of funds to be invested from/through Mauritius.

97.

We are, therefore, of the view that in the absence of

LOB Clause and the presence of Circular No. 789 of 2000 and TRC certificate, on the residence and beneficial interest/ownership, tax department cannot at the time of sale/disinvestment/exit from such FDI, deny benefits to such Mauritius companies of the Treaty by stating that FDI was only routed through a Mauritius company, by a company/principal resident in a third country; or the Mauritius company had received all its funds from a foreign principal/company;

or

the

Mauritius

controlled/managed

by

the

Foreign

subsidiary

Principal;

or

is the

Mauritius company had no assets or business other than holding the investment/shares in the Indian company; or the

Foreign

Principal/100%

shareholder

of

Mauritius

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company had played a dominant role in deciding the time and price of the disinvestment/sale/transfer; or the sale proceeds received by the Mauritius company had ultimately been paid over by it to the Foreign Principal/ its 100% shareholder either by way of Special Dividend or by way of repayment of loans received; or the real owner/beneficial owner of the shares was the foreign Principal Company.

Setting

up

of

a

WOS

Mauritius

subsidiary/SPV

by

Principals/genuine substantial long term FDI in India from/through

Mauritius,

pursuant

to

the

DTAA

and

Circular No. 789 can never be considered to be set up for tax evasion.

TRC whether conclusive 98.

LOB and look through provisions cannot be read into

a tax treaty but the question may arise as to whether the TRC is so conclusive that the Tax Department cannot pierce the veil and look at the substance of the transaction. DTAA and Circular No. 789 dated 13.4.2000, in our view, would not preclude the Income Tax Department from denying the tax treaty benefits, if it is established, on facts, that the Mauritius company has been interposed as the

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owner of the shares in India, at the time of disposal of the shares to a third party, solely with a view to avoid tax without any commercial substance. Tax Department, in such

a

situation,

notwithstanding

the

fact

that

the

Mauritian company is required to be treated as the beneficial owner of the shares under Circular No. 789 and the Treaty is entitled to look at the entire transaction of sale as a whole and if it is established that the Mauritian company has been interposed as a device, it is open to the Tax Department to discard the device and take into consideration the real transaction between the parties , and the transaction may be subjected to tax.

In other words,

TRC does not prevent enquiry into a tax fraud, for example, where an OCB is used by an Indian resident for roundtripping or any other illegal activities, nothing prevents the Revenue from looking into special agreements, contracts or arrangements made or effected by Indian resident or the role of the OCB in the entire transaction.

99.

No

court

will

recognise

sham

transaction

or

a

colourable device or adoption of a dubious method to evade

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tax, but to say that the Indo-Mauritian Treaty will recognise FDI and FII only if it originates from Mauritius, not the investors from third countries, incorporating company in Mauritius, is pitching it too high, especially when statistics reveals that for the last decade the FDI in India was US\$ 178 billion and, of

this, 42% i.e. US\$ 74.56 billion was

through Mauritian route. Presently, it is known, FII in India is Rs.450,000 crores, out of which Rs. 70,000 crores is from Mauritius.

Facts, therefore, clearly show that almost the

entire FDI and FII made in India from Mauritius

under

DTAA does not originate from that country, but has been made by Mauritius Companies / SPV, which are owned by companies/individuals of third countries providing funds for making FDI by such companies/individuals not from Mauritius, but from third countries.

100. Mauritius, and India, it is known, has also signed a Memorandum of Understanding (MOU) laying down the rules for information, exchange between the two countries which provides for the two signatory authorities to assist each other in the detection of fraudulent market practices,

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including the insider dealing and market manipulation in the areas of securities transactions and derivative dealings.

The object and purpose of the MOU is to track down transactions tainted by fraud and financial crime, not to target the bona fide legitimate transactions. Mauritius has also

enacted

stringent

“Know

Your

Clients”

(KYC)

regulations and Anti-Money Laundering laws which seek to avoid abusive use of treaty.
101.

Viewed in the above perspective, we also find no

reason to import the “abuse of rights doctrine” (abus de droit) to India. The above doctrine was seen applied by the Swiss Court in A Holding Aps. (8 ITRL), unlike Courts following Common Law. That was a case where a Danish company was interposed to hold all the shares in a Swiss Company and there was a clear finding of fact that it was interposed for the sole purpose of benefiting from the SwissDenmark DTA which had the effect of reducing a normal 35% withholding tax on dividend out of Switzerland down to 0%.

Court in that case held that the only reason for the

existence of the Danish company was to benefit from the

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zero withholding tax under the tax treaty. On facts also, the above case will not apply to the case in hand.

102. Cayman Islands, it was contended, was a tax heaven and CGP was a shell company, hence, they have to be looked at with suspicion.

We may, therefore, briefly

examine what those expressions mean and understood in the corporate world.

TAX HAVENS, COMPANIES 103.

TREATY

SHOPPING

AND

SHELL

Tax Havens” is not seen defined or mentioned in the

Tax Laws of this country Corporate world gives different meanings to that expression, so also the Tax Department. The term “tax havens” is sometime described as a State with nil or moderate level of taxation and/or liberal tax incentives for undertaking specific activities such as exporting.

The

expression “tax haven” is also sometime used as a “secrecy jurisdiction.

The term “Shell Companies” finds no definition

in the tax laws and the term is used in its pejorative sense, namely as a company which exists only on paper, but in reality, they are investment companies.

Meaning of the

expression ‘Treaty Shopping’ was elaborately dealt with in Azadi Bachao Andolan and hence not repeated.

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104.

Tax Justice Network Project (U.K.), however, in its report published in September, 2005, stated as follows:

“The role played by tax havens in encouraging and profiteering from tax avoidance, tax evasion and capital flight from developed and developing countries is a scandal of gigantic proportions”.

The project recorded that one per cent of the world’s population holds more than 57% of total global worth and that approximately US \$ 255 billion annually was involved in using offshore havens to escape taxation, an amount which would more than plug the financing gap to achieve the Millennium Development Goal of reducing the world poverty by 50% by 2015. (“Tax Us If You Can” September 2005, 78 available at <http://www.taxjustice.net>).

Necessity

of proper legislation for charging those types of transactions have already been emphasised by us.

Round Tripping 105.

India is considered to be the most attractive

investment destinations and, it is known, has received \$37.763 billion in FDI and \$29.048 billion in FII investment in the year to March 31, 2010. FDI inflows it is reported were of \$ 22.958 billion between April 2010 and January,

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2011 and FII investment were \$ 31.031 billions.

Reports

are afloat that million of rupees go out of the country only to be returned as FDI or FII. Round Tripping can take many formats like under-invoicing and over-invoicing of exports and imports.

Round Tripping involves getting the money

out of India, say Mauritius, and then come to India like FDI or FII. Art. 4 of the Indo-Mauritius DTAA defines a ‘resident’ to mean any person, who under the laws of the contracting State is liable to taxation therein by reason of his domicile, residence, place of business or any other similar criteria. An Indian Company, with the idea of tax evasion can also incorporate a company off-shore, say in a Tax Haven, and then create a WOS in Mauritius and after obtaining a TRC may invest in India.

Large amounts, therefore, can be

routed back to India using TRC as a defence, but once it is established that such an investment is black money or capital that is hidden, it is nothing but circular movement of capital known as Round Tripping; then TRC can be ignored, since the transaction is fraudulent and against national interest.

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106.

Facts stated above are food for thought to the

legislature and adequate legislative measures have to be taken to plug the loopholes, all the same, a genuine corporate structure set up for purely commercial purpose and

indulging

in

genuine

investment

be

recognized.

However, if the fraud is detected by the Court of Law, it can pierce

the

corporate

structure

since

fraud

unravels

everything, even a statutory provision, if it is a stumbling block, because legislature never intends to guard fraud.

Certainly, in our view, TRC certificate though can be accepted as a conclusive evidence for accepting status of residents as well as beneficial ownership for applying the tax treaty, it can be ignored if the treaty is abused for the fraudulent purpose of evasion of tax.

McDowell - WHETHER CALLS FOR RECONSIDERATION:

107.

McDowell has emphatically spoken on the principle

of Tax Planning. Justice Ranganath Mishra, on his and on behalf of three other Judges, after referring to the observations of Justice S.C. Shah in CIT v. A. Raman and Co. (1968) 1 SCC 10, CIT v. B. M. Kharwar (1969) 1 SCR

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651, the judgments in Bank of Chettinad Ltd. v. CIT (1940) 8 ITR 522 (PC),
Jiyajeerao Cotton Mills Ltd.

v.

Commissioner of Income Tax and Excess Profits Tax, Bombay AIR 1959 SC 270; CIT v. Vadilal Lallubhai (1973) 3 SCC 17 and the views expressed by Viscount Simon in Latilla v. IRC. 26 TC 107 : (1943) AC 377 stated as follows:

“Tax planning may be legitimate provided it is within the framework of law. Colourable devices cannot be part of tax planning and it is wrong to encourage or entertain the belief that is honourable to avoid the payment of tax by resorting to dubious methods.

It is the obligation of every citizen to pay the taxes honestly without resorting to subterfuges.”

108.

Justice Shah in Raman (supra) has stated that

avoidance of tax liability by so arranging the commercial affairs that charge of tax is distributed is not prohibited and a tax payer may resort to a device to divert the income before it accrues or arises to him and the effectiveness of the device depends not upon considerations of morality, but on the operation of the Income Tax Act. Justice Shah made the same observation in B.N. Kharwar (supra) as well and after quoting a passage from the judgment of the Privy Council stated as follows :-

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“The Taxing authority is entitled and is indeed bound to determine the true legal relation resulting from a transaction. If the parties have chosen to conceal by a device the legal relation, it is open to the taxing authorities to unravel the device and to determine the true character of the relationship. But the legal effect of a transaction cannot be displaced by probing into the “substance of the transaction”. In Jiyajeerao (supra) also, this Court made the following observation:

“Every person is entitled so to arrange his affairs as to avoid taxation, but the arrangement must be real and genuine and not a sham or make-believe.”

109.

In Vadilal Lalubhai (supra) this Court re-affirmed

the principle

of strict

interpretation

of the charging

provisions and also affirmed the decision of the Gujarat High Court in Sankarlal Balabhai v. ITO (1975) 100 ITR 97 (Guj.), which had drawn a distinction between the legitimate avoidance and tax evasion. Lalita’s case (supra) dealing with a tax avoidance scheme, has also expressly affirmed the principle that genuine arrangements would be permissible and may result in an assessee escaping tax.

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110.

Justice Chinnappa Reddy starts his concurring judgment in McDowell as follows:

“While I entirely agree with my brother Ranganath Mishra, J. in the judgment proposed to be delivered by me, I wish to add a few paragraphs, particularly to supplement what he has said on the “fashionable” topic of tax avoidance.”

(emphasis supplied)

Justice Reddy has, the above quoted portion shows, entirely agreed with Justice Mishra and has stated that he is only supplementing what Justice Mishra has spoken on tax avoidance.

Justice Reddy, while agreeing with Justice

Mishra and the other three judges, has opined that in the very country of its birth, the principle of Westminster has been given a decent burial and in that country where the phrase “tax avoidance” originated the judicial attitude towards tax avoidance has changed and the Courts are now concerning themselves not merely with the genuineness of a transaction, but with the intended effect of it for fiscal purposes. Justice Reddy also opined that no one can get away with the tax avoidance project with the mere statement that there is nothing illegal about it. Justice Reddy has also opined that the ghost of Westminster (in the

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words of Lord Roskill) has been exorcised in England.

In

our view, what transpired in England is not the ratio of McDowell and cannot be and remains merely an opinion or view.

111.

Confusion arose (see Paragraph 46 of the judgment)

when Justice Mishra has stated after referring to the concept of tax planning as follows:

“On this aspect, one of us Chinnappa Reddy, J. has proposed a separate and detailed opinion with which we agree.”

112.

Justice Reddy, we have already indicated, himself has

stated that he is entirely agreeing with Justice Mishra and has only supplemented what Justice Mishra has stated on Tax Avoidance, therefore, we have go by what Justice Mishra has spoken on tax avoidance.

113.

Justice Reddy has depreciated the practice of setting

up of Tax Avoidance Projects, in our view, rightly because the same is/was the situation in England and Ramsay and other

judgments

Schemes.

had

depreciated

the

Tax

Avoidance

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114.

In our view, the ratio of the judgment is what is

spoken by Justice Mishra for himself and on behalf of three other judges, on which Justice Reddy has agreed. Justice Reddy has clearly stated that he is only supplementing what Justice Mishra has said on Tax avoidance.

115.

Justice Reddy has endorsed the view of Lord Roskill

that the ghost of Westminster had been exorcised in England and that one should not allow its head rear over India.

If one scans through the various judgments of the

House of Lords in England, which we have already done, one thing is clear that it has been a cornerstone of law, that a tax payer is enabled to arrange his affairs so as to reduce the liability of tax and the fact that the motive for a transaction is to avoid tax does not invalidate it unless a particular enactment so provides (Westminster Principle). Needless to say if the arrangement is to be effective, it is essential that the transaction has some economic or commercial substance.

Lord Roskill's view is not seen as

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the correct view so also Justice Reddy's, for the reasons we have already explained in earlier part of this judgment.

116.

A five Judges Bench judgment of this Court in

Mathuram Agrawal v. State of Madhya Pradesh (1999) 8 SCC 667, after referring to the judgment in B.C. Kharwar (supra) as well as the opinion expressed by Lord Roskill on Duke of Westminster stated that the subject is not to be taxed by inference or analogy,

but only by the plain words of a statute applicable to the facts and circumstances of each case.

117.

Revenue cannot tax a subject without a statute to

support and in the course we also acknowledge that every tax payer is entitled to arrange his affairs so that his taxes shall be as low as possible and that he is not bound to choose

that

pattern

which

will

replenish

the

treasury. Revenue's stand that the ratio laid down in McDowell is contrary to what has been laid down in Azadi Bachao Andolan, in our view, is unsustainable and, therefore, calls for no reconsideration by a larger branch.

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PART-IV CGP AND ITS INTERPOSITION

118.

CGP's interposition in the HTIL Corporate structure

and its disposition, by way of transfer, for exit, was for a commercial or business purpose or with an ulterior motive for evading tax, is the next question.

Parties, it is trite, are

free to choose whatever lawful arrangement which will suit their business and commercial purpose, but the true nature of the transaction can be ascertained only by looking into the legal arrangement actually entered into and carried out. Indisputedly, that the contracts have to be read holistically to arrive at a conclusion as to the real nature of a transaction. Revenue's stand was that the CGP share was a mode or mechanism to achieve a transfer of control, so that the tax be imposed on the transfer of control not on transfer of the CGP share.

Revenue's stand, relying upon Dawson

test, was that CGP's interposition

in the Hutchison

structure was an arrangement to deceive the Revenue with the object of hiding or rejecting the tax liability which otherwise would incur.

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119.

Revenue contends that the entire corporate structure

be looked at as on artificial tax avoidance scheme wherein CGP was introduced into the structure at the last moment, especially when another route was available for HTIL to transfer its controlling interest in HEL to Vodafone. Further it was pointed out that the original idea of the parties was to sell shares in HEL directly but at the last moment the parties changed their mind and adopted a different route since HTIL wanted to declare a special dividend out of US \$ 11 million for payment and the same would not have been possible if they had adopted Mauritian route.

120.

Petitioner pointed out that if the motive of HTIL was

only to save tax it had the option to sell the shares of Indian companies directly held Mauritius entities, especially when there is no LOB clause in India-Mauritius Treaty. Further, it was pointed out that if the Mauritius companies had sold the shares of HEL, then Mauritius companies would have continued to be the subsidiary of HTIL, their account could have been consolidated in the hands of HTIL and HTIL

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would have accounted for the accounts exactly the same way that it had accounted for the accounts in HTIL BVI/nominated payee.

Had HTIL adopted the Mauritius

route, then it would have been cumbersome to sell the shares of a host of Mauritian companies.

121.

CGP was incorporated in the year 1998 and the same

became part of the Hutchison Corporate structure in the year 2005. Facts would clearly indicate that the CGP held shares in Array and Hutchison Teleservices (India) Holdings Limited (MS), both incorporated in Mauritius. HTIL, after acquiring the share of CGP (CI) in the year 1994 which constituted approximately 42% direct interest in HEL, had put in place various FWAs, SHAs for arranging its affairs so that it can also have interest in the functioning of HEL along with Indian partners.

122.

Self centred operations in India were with 3GSPL an

Indian company which held options through various FWAs entered into with Indian partners.

One of the tests to

examine the genuineness of the structure is the “timing test”

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that is timing of the incorporation of the entities or transfer of shares etc.

Structures created for genuine business

reasons are those which are generally created or acquired at the time when investment is made, at the time where further investments are being made at the time of consolidation etc.

123.

HTIL preferred CGP route rather than adopting any

other method (why ?) for which we have to examine whether HTIL has got any justification for adopting this route, for sound commercial reasons or purely for evasion of tax. In international investments, corporate structures are designed to enable a smooth transition which can be by way of divestment or dilution. Once entry into the structure is honourable, exits from the structure can also be honourable.

124.

HTIL structure was created over a period of time and

this was consolidated in 2004 to provide a working model by which HTIL could make best use of its investments and exercise control over and strategically influence the affairs of HEL.

HTIL

in

its

commercial

wisdom

noticed

the

disadvantage of preferring Array, which would have created

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problems for HTIL. Hutchison Teleservices (India) Mauritius had a subsidiary, namely 3GSPL which carried on the call centre business in India and the transfer of CGP share would give control over 3GSPL, an indirect subsidiary which was incorporated in the year 1999.

It would also obviate

problems arising on account of call and put options arrangements and voting rights enjoyed by 3GSPL. If Array was transferred, the disadvantage was that HTIL had to deal with call and put options of 3GSPL.

In the above

circumstances, HTIL in their commercial wisdom thought of transferring CGP share rather than going for any other alternatives.

Further 3GSPL was also a party to various

agreements between itself and the companies of AS, AG and IDFC Group. If Array had been transferred the disadvantage would be that the same would result in hiving off the call centre business from 3GSPL.

Consolidation operations of

HEL were evidently done in the year 2005 not for tax purposes but for commercial reasons and the contention that CGP was inserted at a very late stage in order to bring a pre tax entity or to create a transaction that would avoid tax, cannot be accepted.

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125.

The Revenue has no case that HTIL structure was a

device or an artifice, but all along the contention was that CGP was interposed at the last moment and applying the Dawson test, it was contended that such an artificially interposed device be ignored, and applying Ramsay test of purposive interpretation, the transaction be taxed for gain.

CGP, it may be noted, was already part of the HTIL's Corporate Structure and the decision taken to sell CGP (Share) so as to exit from the Indian Telecom Sector was not the fall out of a tax exploitation scheme, but a genuine commercial decision taking into consideration the best interest of the investors and the corporate entity.

126.

Principle of Fiscal nullity was applied by Vinelott, J.

in favour of the assessee in Dawson, where the judge rejected the contention of the Crown that the transaction was hit by the Ramsay principle, holding that a transaction cannot be disregarded and treated as fiscal nullity if it has enduring legal consequences. Principle was again explained by Lord Brightman stating that the Ramsay test would apply not only where the steps are pre-contracted, but also they

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are pre-ordained, if there is no contractual right and in all likelihood the steps would follow.

On Fiscal nullity, Lord

Brightman again explained that there should be a preordained series of transactions and there should be steps inserted that have no commercial purpose and the inserted steps are to be disregarded for fiscal purpose and, in such situations, Court must then look at the end result, precisely how the end result will be taxed will depend on terms of the taxing statute sought to be applied.

Sale of CGP share, for

exiting from the Indian Telecommunication Sector, in our view, cannot be considered as pre-ordained transaction, with no commercial purpose, other than tax avoidance.

Sale of

CGP share, in our view, was a genuine business transaction, not a fraudulent or dubious method to avoid capital gains tax.

SITUS OF CGP 127.

Situs of CGP share stands where, is the next question.

Law on situs of share has already been discussed by us in the earlier part of the judgment. Situs of shares situates at the place where the company is incorporated and/or the

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place where the share can be dealt with by way of transfer.

CGP share is registered in Cayman Island and materials placed before us would indicate that Cayman Island law, unlike other laws does not recognise the multiplicity of registers.

Section 184 of the Cayman Island Act provides

that the company may be exempt if it gives to the Registrar, a declaration that “operation of an exempted company will be conducted mainly outside the Island”.

Section 193 of the

Cayman Island Act expressly recognises that even exempted companies may, to a limited extent trade within the Islands. Section 193 permits activities by way of trading which are incidental of off shore operations also all rights to enter into the contract etc.

The facts in this case as well as the

provisions of the Caymen Island Act would clearly indicate that the CGP (CI) share situates in Caymen Island. The legal principle on which situs of an asset, such as share of the company is determined, is well settled.

Reference may be

made to the judgments in Brassard v. Smith [1925] AC 371, London and South American Investment Trust v. British Tobacco Co. (Australia) [1927] 1 Ch. 107. Erie Beach Co. v. Attorney-General for Ontario, 1930 AC 161 PC 10, R. v.

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Williams [1942] AC 541. Situs of CGP share, therefore, situates in Cayman Islands and on transfer in Cayman Islands would not shift to India.

PART-V 128.

Sale of CGP, on facts, we have found was not the fall

out of an artificial tax avoidance scheme or an artificial device, pre-ordained, or pre-conceived with the sole object of tax avoidance, but was a genuine commercial decision to exit from the Indian Telecom Sector.

129.

HTIL had the following controlling interest in HEL before

its exit from the Indian Telecom Sector:1. HTIL held its direct equity interest in HEL amounting approximately to 42% through eight Mauritius companies.

2. HTIL indirect subsidiary CGP(M) held 37.25% of equity interest in TII, an Indian Company, which in turn held 12.96% equity interest in HEL.

CGP(M), as a result of its 37.25% interest in TII had an interest in several downstream companies which held interest in HEL, as a result of which HTIL obtained indirect equity interest of 7.24% in HEL.

3. HTIL held in Indian Company Omega Holdings, an Indian Co., interest to the extent of 45.79% of share capital through HTIM which held shareholding of 5.11% in HEL,

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resulting in holding of 2.34% interest in the Indian Company HEL. HTIL could, therefore, exercise its control over HEL, through the voting rights of its indirect subsidiary Array (Mauritius) which in turn controlled 42% shares through Mauritian Subsidiaries in HEL. Mauritian subsidiaries controlled 42% voting rights in HEL and HTIL could not however exercise voting rights as stated above, in HEL directly but only through indirect subsidiary CGP(M) which in turn held equity interest in TII, an Indian company which held equity interest in HEL.

HTIL likewise through an indirect subsidiary HTI(M),

which

held equity interest in Omega an Indian company which held equity interest in HEL, could exercise only indirect voting rights in HEL .

130. HTIL, by holding CGP share, got control over its WOS Hutchison Tele Services (India) Holdings Ltd (MS). HTSH(MS) was having control over its WOS 3GSPL, an Indian company which exercised voting rights in HEL.

HTIL, therefore, by

holding CGP share, had 52% equity interest, direct 42% and approximately 10% (pro rata) indirect in HEL and not 67% as contended by the Revenue.

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131.

HTIL had 15% interest in HEL by virtue of FWAs, SHAs

Call and Put Option Agreements and Subscription Agreements and not controlling interest as such in HEL.

HTIL, by virtue

of those agreements, had the following interests:(i)

Rights (and Options) by providing finance and guarantee to Asim Ghosh Group of companies to exercise control over TII and indirectly over HEL through TII Shareholders Agreement and the Centrino Framework Agreement dated 1.3.2006;

(ii)

Rights (and Options) by providing finance and guarantee to Analjit Singh Group of companies to exercise control over TII and indirectly over HEL through various TII shareholders agreements and the N.D. Callus Framework Agreement dated 1.3.2006.

(iii)

Controlling rights over TII through the TII Shareholder's Agreement in the form of rights to appoint two directors with veto power to promote its interest in HEL and thereby hold beneficial interest in 12.30% of the share capital of the in HEL.

(iv)

Finance to SMMS to acquire shares in ITNL (formerly Omega) with right to acquire the share capital of Omega in future.

(v)

Rights over ITNL through the ITNL Shareholder's Agreement, in the form of right to appoint two directors with veto power to promote its interests in HEL and thereby it held beneficial interest in 2.77% of the share capital of the Indian company HEL;

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(vi)

Interest in the form of loan of US\$231 million to HTI (BVI) which was assigned to Array Holdings Ltd.;

(vii) Interest in the form of loan of US\$ 952 million through HTI (BVI) utilized for purchasing shares in the Indian company HEL by the 8 Mauritius companies;

(viii) Interest in the form of Preference share capital in JKF and TII to the extent of US\$ 167.5 million and USD 337 million respectively.

These two companies hold 19.54% equity in HEL.

(ix)

Right to do telecom business in India through joint venture;

(x)

Right to avail of the telecom licenses in India and right to do business in India;

(xi)

Right to use the Hutch brand in India;

(xii) Right to appoint/remove directors in the board of the Indian company HEL and its other Indian subsidiaries;

(xiii) Right to exercise control over the management and affairs of the business of the Indian company HEL (Management Rights);

(xiv) Right to take part in all the investment, management and financial decisions of the Indian company HEL;

(xv) Right to control premium;

(xvi) Right to consultancy support in the use of Oracle license for the Indian business;

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Revenue's stand before us was that the SPA on a commercial construction brought about an extinguishment of HTIL's rights of management and control over HEL, resulting in transfer of capital asset in India. Further, it was pointed out that the assets, rights and entitlements are property rights pertaining to HTIL and its subsidiaries and the transfer of CGP share would have no effect on the Telecom operations in India, but

for

the

transfer

of

the

above

assets,

rights

and

entitlements. SPA and other agreements, if examined, as a whole, according to the Revenue, leads to the conclusion that the substance of the transaction was the transfer of various property rights of HTIL in HEL to Vodafone attracting capital gains tax in India. Further, it was pointed out that moment CGP share was transferred off-shore, HTIL's right of control over HEL and its subsidiaries stood extinguished, thus leading to income indirectly earned, outside India through the medium of sale of the CGP share. All these issues have to be examined without forgetting the fact that we are dealing with a taxing statute and the Revenue has to bring home all its contentions within the four corners of taxing statute and not on assumptions and presumptions.

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132.

Vodafone on acquisition of CGP share got controlling

interest of 42% over HEL/VEL through voting rights through eight Mauritian subsidiaries, the same was the position of HTIL as well. On acquiring CGP share, CGP has become a direct subsidiary of Vodafone, but both are legally independent entities. Vodafone does not own any assets of CGP. Management and the business of CGP vests on the Board of Directors of CGP but of course, Vodafone could appoint or remove members of the Board of Directors of CGP. On acquisition of CGP from HTIL, Array became an indirect subsidiary of Vodafone.

Array is also a separate

legal entity managed by its own Board of Directors. Share of CGP situates in Cayman Islands and that of Array in Mauritius.

Mauritian entities which hold 42% shares in

HEL became the direct and indirect subsidiaries of Array, on Vodafone purchasing the CGP share.

Voting rights,

controlling rights, right to manage etc., of Mauritian Companies vested in those companies. HTIL has never sold nor Vodafone purchased any shares of either Array or the Mauritian subsidiaries, but only CGP, the share of which

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situates in Cayman Islands. By purchasing the CGP share its situs will not shift either to Mauritius or to India, a legal issue, already explained by us. Array being a WOS of CGP, CGP may appoint or remove any of its directors, if it wishes by a resolution in the general body of the subsidiary, but CGP, Array and all Mauritian entities are separate legal entities and have de-centralised management and each of the

Mauritian

subsidiaries

has

its

own

management

personnels.

133.

Vodafone on purchase of CGP share got controlling

interest in the Mauritian Companies and the incident of transfer of CGP share cannot be considered to be two distinct and separate transactions, one shifting of the share and another shifting of the controlling interest. Transfer of CGP share automatically results in host of consequences including transfer of controlling interest and that controlling interest as such cannot be dissected from CGP share without legislative intervention. Controlling interest of CGP over Array is an incident of holding majority shares and the control of Company vests in the voting power of its shareholders.

Mauritian entities being a WOS of Array,

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Array as a holding Company can influence the shareholders of various Mauritian Companies.

Holding Companies like

CGP, Array, may exercise control over the subsidiaries, whether a WOS or otherwise by influencing the voting rights, nomination of members of the Board of Directors and so on. On transfer of shares of the holding Company, the controlling interest may also pass on to the purchaser along with the shares. Controlling interest might have percolated down the line to the operating companies but that controlling interest is inherently contractual

and not a

property right unless otherwise provided for in the statute.

Acquisition

of

shares,

may

carry

the

acquisition

of

controlling interest which is purely a commercial concept and the tax can be levied only on the transaction and not on its effect.

Vodafone,

Consequently, on transfer of CGP share to

Vodafone

Companies which

got

control

over

eight

Mauritian

owned shares in VEL totalling to 42%

and that does not mean that the situs of CGP share has shifted to India for the purpose of charging capital gains tax.

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134.

Vodafone could exercise only indirect voting rights in

VEL through its indirect subsidiary CGP(M) which held equity interests in TII, an Indian Company, which held equity interests in VEL.

Similarly, Vodafone could exercise

only indirect voting rights through HTI(M) which held equity interests in Omega, an Indian Company which in turn held equity interests in HEL.

On transfer of CGP share,

Vodafone gets controlling interest in its indirect subsidiaries which are situated in Mauritius which have equity interests in TII and Omega, Indian Companies which are independent legal entities. Controlling interest, which stood transferred to Vodafone from HTIL accompany the CGP share and cannot be dissected so as to be treated as transfer of controlling interest of Mauritian entities and then that of Indian entities and ultimately that of HEL.

Situs of CGP

share, therefore, determines the transferability of the share and/or interest which flows out of that share including controlling interest.

Ownership of shares, as already

explained by us, carries other valuable rights like, right to receive dividend, right to transmit the shares, right to vote, right to act as per one's wish, or to vote in a particular

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manner etc; and on transfer of shares those rights also sail along with them.

135.

Vodafone, on purchase of CGP share got all those

rights, and the price paid by Vodafone is for all those rights, in other words, control premium paid, not over and above the CGP share, but is the integral part of the price of the share.

On transfer of CGP share situated in Cayman

Islands,

the

entire

rights,

which

accompany

stood

transferred not in India, but offshore and the facts reveal that the offshore holdings and arrangements made by HTIL and Vodafone were for sound commercial and legitimate tax planning, not with the motive of evading tax.

136.

Vodafone, on purchase of CGP share also got control

over its WOS, HTSH(M) which is having control over its WOS, 3GSPL, an Indian Company which exercised voting rights in HEL. 3GSPL, was incorporated on 16.03.99 and run call centre business in India.

The advantage of

transferring share of CGP rather than Array was that it would obviate the problems arising on account of the call

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and put agreements and voting rights enjoyed by 3GSPL. 3GSPL was also a party to various agreements between itself and Companies of AS, AG and IDFC Groups. AS, AG & IDFC have agreed to retain their shareholdings with full control including voting rights and dividend rights. In fact, on 02.03.2007 AG wrote to HEL confirming that his indirect equity or beneficial interest in HEL worked out to be as 4.68% and it was stated, he was the beneficiary of full dividend rights attached to his shares and he had received credit support and primarily the liability for re-payment was of his company. Further, it was also pointed out that he was the exclusive beneficial owner of his shares in his companies, enjoying full and exclusive rights to vote and participate in any benefits accruing to those shares.

On

05.03.2007 AS also wrote to the Government on the same lines.

137.

Vodafone, on acquisition of CGP, is in a position to

replace the directors of holding company of 3GSPL so as to get control over 3GSPL. 3GSPL has call option as well as the obligation of the put option.

Rights and obligations

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which flow out of call and put options have already been explained by us in the earlier part of the judgment.

Call

and put options are contractual rights and do not sound in property and hence they cannot be, in the absence of a statutory stipulation, considered as capital assets.

Even

assuming so, they are in favour of 3GSPL and continue to be so even after entry of Vodafone.

138.

We have extensively dealt with the terms of the

various FWAs, SHAs and Term Sheets and in none of those Agreements HTIL or Vodafone figure as parties. SHAs between Mauritian entities (which were shareholders of the Indian operating Companies) and other shareholders in some of the other operating companies in India held shares in HEL related to the management of the subsidiaries of AS, AG and IDFC and did not relate to the management of the affairs of HEL and HTIL was not a party to those agreements, and hence there was no question of assigning or relinquishing any right to Vodafone.

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139.

IDFC FWA of August 2006 also conferred upon 3

GSPL only call option rights and a right to nominate a buyer if investors decided to exit as long as the buyer paid a fair market value.

June 2007 Agreement became necessary

because the composition of Indian investors changed with some Indian investors going out and other Indian investors coming in. On June 2007, changes took place within the Group of Indian investors, in that SSKI and IDFC went out leaving IDF alone as the Indian investor. Parties decided to keep June 2007 transaction to effectuate their intention within the broad contours of June 2006 FWA.

On

06.06.2007 FWA has also retained the rights and options in favour of 3GSPL but conferred no rights on Vodafone and Vodafone was only a confirming party to that Agreement. Call and put options, we have already mentioned, were the subject matter of three FWAs viz., Centrino, N.D. Callus, IDFC and in Centrino and N.D. Callus FWAs, neither HTIL was a party, nor was Vodafone. HTIL was only a confirming party in IDFC FWA, so also Vodafone. Since HTIL, and later Vodafone were not parties to those SHAs and FWAs, we fail to see how they are bound by the terms and conditions

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contained therein, so also the rights and obligations that flow out of them. HTIL and Vodafone have, of course, had the interest to see the SHAs and FWAs, be put in proper place but that interest cannot be termed as property rights, attracting capital gains tax.

140.

We have dealt with the legal effect of exercising call

option, put option, tag along rights, ROFR, subscription rights and so on and all those rights and obligations we have indicated fall within the realm of contract between various shareholders and interested parties and in any view, are not binding on HTIL or Vodafone. Rights (and options) by providing finance and guarantee to AG Group of Companies to exercise control over TII and indirectly over HEL through TII SHA and Centrino FWA dated 01.03.2006 were only contractual rights, as also the revised SHAs and FWAs entered into on the basis of SPA. Rights (and options) by providing finance and guarantee to AS Group of Companies to exercise control over TII and indirectly

over HEL through various TII SHAs and N.D. Callus FWA dated

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01.03.2006 were also contractual rights, and continue to be so on entry of Vodafone.

141.

Controlling right over TII through TII SHAs in the

form of right to appoint two Directors with veto power to promote its interest in HEL and thereby held beneficial interest in 12.30% of share capital in the HEL are also contractual rights. Finance to SMMS to acquire shares in ITNL (ultimately Omega) with right to acquire share capital of Omega were also contractual rights between the parties.

On transfer of CGP share to Vodafone corresponding rearrangement were made in the SHAs and FWAs and Term Sheet Agreements in which Vodafone was not a party.

142.

SPA, through the transfer of CGP, indirectly

conferred the benefit of put option from the transferee of CGP share to be enjoyed in the same manner as they were enjoyed by the transferor and the revised set of 2007 agreements were exactly between the parties that is the beneficiary

of

the

put

options

remained

with

the

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downstream company 3 GSPL and the counter-party of the put option remained with AG/AS Group Companies.

143. Fresh set of agreements of 2007 as already referred to were entered into between IDFC, AG, AS, 3 GSPL and Vodafone and in fact, those agreements were irrelevant for the transfer of CGP share. FWAs with AG and AS did not constitute transaction documents or give rise to a transfer of an asset, so also the IDFC FWA.

All those FWAs contain

some adjustments with regard to certain existing rights, however, the options, the extent of rights in relation to options, the price etc. all continue to remain in place as they stood. Even if they had not been so entered into, all those agreements would have remained in place because they were in favour of 3GSPL, subsidiary of CGP.

144.

The High Court has reiterated the common law

principle that the controlling interest is an incident of the ownership of the share of the company, something which flows out of holding of shares and, therefore, not an identifiable or distinct capital asset independent of the holding of shares, but at the same time speaks of change in

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the controlling interest of VEL, without there being any transfer of shares of VEL. Further, the High Court failed to note on transfer of CGP share, there was only transfer of certain off-shore loan transactions which is unconnected with underlying controlling interest in the Indian Operating Companies.

The other rights, interests and entitlements

continue to remain with Indian Operating Companies and there is nothing to show they stood transferred in law.

145.

The High Court has ignored the vital fact that as far

as the put options are concerned there were pre-existing agreements between the beneficiaries and counter parties and fresh agreements were also on similar lines.

Further,

the High Court has ignored the fact that Term Sheet Agreement with Essar had nothing to do with the transfer of CGP, which was a separate transaction which came about on account of independent settlement between Essar and Hutch Group, for a separate consideration, unrelated to the consideration of CGP share. The High Court committed an error in holding that there were some rights vested in HTIL under SHA dated 5.7.2003 which is also an agreement, conferring no right to any party and accordingly none could

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have been transferred. The High Court has also committed an error in holding that some rights vested with HTIL under the agreement dated 01.08.2006, in fact, that agreement conferred right on Hutchison Telecommunication (India)

Ltd., which is a Mauritian Company and not HTIL, the vendor of SPA. The High court has also ignored the vital fact that FIPB had elaborately examined the nature of call and put option agreement rights and found no right in presenti has been transferred to Vodafone and that as and when rights are to be transferred by AG and AS Group Companies,

it

would

specifically

require

Government

permission since such a sale would attract capital gains, and may be independently taxable. We may now examine whether the following rights and entitlements would also amount to capital assets attracting capital gains tax on transfer of CGP share.

Debts/Loans through Intermediaries 146.

SPA contained provisions for assignment of loans

either at Mauritius or Cayman Islands and all loans were assigned at the face value.

Clause 2.2 of the SPA stipulated

that HTIL shall procure the assignment of and purchaser

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agrees

to

accept

an

assignment

of

loans

free

from

encumbrances together with all rights attaching or accruing to them at completion.

Loans were defined in the SPA to

mean, all inter-company loans owing by CGP and Array to a vendor group company including accrued or unpaid interest, if any, on the completion date.

HTIL warranted and

undertook that, as on completion, loans set out in Part IV of Schedule 1 shall be the only indebtedness owing by the Wider group company to any member of the vendor group. Vendor was obliged to procure that the loans set out in Part IV of Schedule 1 shall not be repaid on or before completion and further, that any loan in addition to those identified will be non-interest bearing.

Clause 7.4 of the SPA stipulated

that any loans in addition to those identified in Part IV of Schedule 1 of the SPA would be non-interest bearing and on terms equivalent to the terms of those loans identified in Part IV of Schedule 1 of the SPA. The sum of such indebtedness comprised of: a)

US\$ 672,361,225 (Loan 1) - reflected in a Loan Agreement (effective date of loan: 31 December 2006; date of Loan Agreement: 28 April 2007);

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239 b)

HK\$ 377,859,382.40 (Loan 2) – reflected in a Loan Agreement (effective date of Loan 31st December 2006; date of Loan Agreement: 28 April 2007) [(i) + (ii): US\$ 1,050,220,607.40]

c)

US\$ 231,111,427.41 (Loan 3) – reflected in a Receivable Novation Agreement i.e. HTM owed HTI BVI Finance such sum, which Array undertook to repay in pursuance of an inter-group loan restructuring, which was captured in such Receivable Novation Agreement dated 28 April 2007.

HTI BVI Finance Limited, Array and Vodafone entered into a Deed of Assignment on 08.05.2007 pertaining to the Array indebtedness.

On transfer of CGP shares, Array became a subsidiary of VIH BV.

The price was calculated on a gross

asset basis (enterprise value of underlying assets), the intra group loans would have to be assigned at face value, since nothing was payable by VIH BV for the loans as they had already paid for the gross assets.

147.

CGP had acknowledged indebtedness of HTI BVI

Finance Limited in the sum of US\$161,064,952.84 as at the date of completion. The sum of such indebtedness was comprised of: a)

US\$ 132,092,447.14, reflected in a Loan Agreement (effective date of loan: 31 December 2006; date of Loan Agreement: 28 April 2007)

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b)

US\$ 28,972,505.70, reflected in a Loan Agreement (effective date of loan: 14 February 2007; date of Loan Agreement: 15 February 2007).

HTI BVI Finance Limited Limited, CGP and the Purchaser entered into the Deed of Assignment on 08.05.2007 pertaining to the CGP indebtedness.

148.

In

respect

of

Array

Loan

No.

3

i.e.

US\$

231,111,427.41, the right that was being assigned was not the right under a Loan Agreement, but the right to receive payment from Array pursuant to the terms of a Receiveable Novation Agreement dated 28.04.2007 between Array, HTIL and HTI BVI Finance Limited.

Under the terms of the

Receiveable Novation Agreement, HTIL's obligation to repay the loan was novated from HTI BVI Finance to Array, the consideration for this novation was US\$ 231,111,427.41 payable by Array to HTI BVI Finance Limited.

It was this

right to receive the amount from Array that was assigned to VHI BV under the relevant Loan Assignment.

It was

envisaged that, between signing and completion of the agreement, there would be a further loan up to US\$ 29.7

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million between CGP (as borrower) from a Vendor Group Company (vide Clause 6.4 of the SPA) and the identity of the lender has not been identified in the SPA. The details of the loan were ultimately as follows:

Borrower

Lender

CGP

HTI (BVI)

Finance Limited

Amount of Loan

Date

of

Effective date

Agreement US\$28,972,505.70 15 February 2007

of Agreement 14 February 2007

Array and CGP stood outside of obligation to repay an aggregate US\$ 1,442,396.987.61 to HTI BVI Finance Limited and VHIBV became the creditor of Array and CGP in the place and stepped off a HTI BVI Finance Limited on 8.5.2007 when VHIBV stepped into the shoes of HTI BVI Finance Limited.

149.

Agreements referred to above including the provisions

for assignments in the SPA, indicate that all loan agreements and assignments of loans took place outside India at face value and, hence, there is no question of transfer of any capital assets out of those transactions in India, attracting capital gains tax.

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Preference Shares:

150.

Vodafone while determining bid price had taken into consideration,

inter

alia,

its

ownership

of

redeemable

preference shares in TII and JFK. Right to preference shares or rights thereto cannot be termed as transfer in terms of Section 2(47) of the Act.

Any agreement with TII, Indian

partners contemplated fresh investment, by subscribing to the preference shares were redeemable only by accumulated profit or by issue of fresh capital and hence any issue of fresh capital cannot be equated to the continuation of old preference shares or transfer thereof.

NON COMPETE AGREEMENT

151.

SPA contains a Non Compete Agreement which is a

pure Contractual Agreement, a negative covenant, the purpose of which is only to see that the transferee does not immediately start a compete business.

At times an

agreement provides that a particular amount to be paid towards non-compete undertaking, in sale consideration,

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which may be assessable as business income under Section 28(va) of the IT Act, which has nothing to do with the transfer of controlling interest.

However, a non-compete agreement

as an adjunct to a share transfer, which is not for any consideration, cannot give rise to a taxable income. In our view, a non-compete agreement entered into outside India would not give rise to a taxable event in India.

An

agreement for a non-compete clause was executed offshore and, by no principle of law, can be termed as “property” so as to come within the meaning of capital gains taxable in India in the absence of any legislation.

HUTCH BRAND

152.

HTIL did not have any direct interest in the brand.

The facts would indicate that brand/Intellectual Property Right were held by Hutchison Group Company based in Luxemburg. SPA only assured Vodafone that they would not have to overnight cease the use of the Hutch brand name, which might have resulted in a disruption of operations in India.

The bare license to use a brand free of charge, is not

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itself a “property” and, in any view, if the right to property is created for the first time and that too free of charge, it cannot give rise to a chargeable income. Under the SPA, a limited window of license was given and it was expressly made free of charge and, therefore, the assurance given by HTIL to Vodafone that the brand name would not cease overnight, cannot be described as “property” rights so as to consider it as a capital asset chargeable to tax in India.

ORACLE LICENSE:

153.

Oracle License was an accounting license, the benefit of which was extended till such time VEL replaced it with its own accounting package. There is nothing to show that this accounting package, which is a software, was transferred to Vodafone. In any view, this license cannot be termed as a capital asset since it has never been transferred to the petitioner.

154.

We, therefore, conclude that on transfer of CGP share,

HTIL had transferred only 42% equity interest it had in HEL and approximately 10% (pro-rata) to Vodafone, the transfer was off-shore, money was paid off-shore, parties were no-

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residents and hence there was no transfer of a capital asset situated in India.

Loan agreements extended by virtue of

transfer of CGP share were also off-shore and hence cannot be termed to be a transfer of asset situated in India. Rights and entitlements referred to also, in our view, cannot be termed as capital assets, attracting capital gains tax and even after transfer of CGP share, all those rights and entitlements remained as such, by virtue of various FWAs, SHAs, in which neither HTIL nor Vodafone was a party.

155.

Revenue, however, wanted to bring in all those rights

and entitlements within the ambit of Section 9(1)(i) on a liberal construction of that Section applying the principle of purposive interpretation and hence we may examine the scope of Section 9.

PART VI SECTION 9 AND ITS APPLICATION

156.

Shri Nariman, submitted that this Court should give

a purposive construction to Section 9(1) of the Income Tax

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Act when read along with Section 5(2) of the Act. Referring extensively to the various provisions of the Income Tax Act, 1922, and also Section 9(1)(i), Shri Nariman contended that the expression “transfer” in Section 2(47) read with Section 9 has to be understood as an inclusive definition comprising of both direct and indirect transfers so as to expand the scope of Section 9 of the Act.

Shri Nariman also submitted

that the object of Section 9 would be defeated if one gives undue weightage to the term “situate in India”, which is intended to tax a non-resident who has a source in India. Shri Nariman contended that the effect of SPA is not only to effect the transfer of a solitary share, but transfer of rights and entitlements which falls within the expression “capital asset” defined in Section 2(14) meaning property of any kind held by the assessee. Further, it was stated that the word “property” is also an expression of widest amplitude and would include anything capable of being raised including beneficial interest. Further, it was also pointed out that the SPA extinguishes all the rights of HTIL in HEL and such extinguishment would fall under Section 2(47) of the Income Tax Act and hence, a capital asset.

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157.

Shri Harish Salve, learned senior counsel appearing

for the petitioner, submitted that Section 9(1)(i) of the Income Tax Act deals with taxation on income “deemed to accrue or arise” in India through the transfer of a capital asset situated in India and stressed that the source of income lies where the transaction is effected and not where the economic interest lies and pointed out that there is a distinction between a legal right and a contractual right. Referring to the

definition of “transfer” in Section 2(47) of the Income Tax Act which provides for extinguishment, it was submitted, that the same is attracted for transfer of a legal right.

Placing reliance on the judgment of this Court

in Commissioner of Income Tax v.

Grace Collins and

Others, 248 ITR 323, learned senior counsel submitted that SPA has not relinquished any right of HTIL giving rise to capital gains tax in India.

158.

Mr. S.P. Chenoy, senior counsel, on our request,

argued at length, on the scope and object of Section 9 of the Income Tax Act. Learned senior counsel submitted that the first four clauses/parts of Section 9(1)(i) deal with taxability

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of revenue receipts, income arising through or from holding an asset in India, income arising from the transfer of an asset situated in India.

Mr. Chenoy submitted that only

the last limb of Section 9(1)(i) deals with the transfer of a capital asset situated in India and can be taxed as a capital receipt.

Learned senior counsel submitted to apply Section

9(1)(i) the capital asset must situate in India and cannot by a process of interpretation or construction extend the meaning of that section to cover indirect transfers of capital assets/properties situated in India. Learned senior counsel pointed out that there are cases, where the assets/shares situate in India are not transferred, but where the shares of foreign

company

holding/owning

such

shares

are

transferred.

159.

Shri Mohan Parasaran, Additional Solicitor General,

submitted that on a close analysis of the language employed in Section 9 and the various expressions used therein, would self-evidently demonstrate that Section 9 seeks to capture income arising directly or indirectly from direct or indirect transfer.

Shri Parasaran submitted, if a holding

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company

incorporated

offshore

through

a

maze

of

subsidiaries, which are investment companies incorporated in various jurisdictions indirectly contacts a company in India and seeks to divest its interest, by the sale of shares or

stocks, which

are

held

by one

of its

upstream

subsidiaries located in a foreign country to another foreign company and the foreign company step into the shoes of the holding company, then Section 9 would get attracted.

Learned counsel submitted that it would be a case of indirect transfer and a case of income accruing indirectly in India and consequent to the sale of a share outside India, there would be a transfer or divestment or extinguishment of holding company's rights and interests, resulting in transfer of capital asset situated in India.

160.

Section 9 of the Income Tax Act deals with the

incomes which shall be deemed to accrue or arise in India.

Under the general theory of nexus relevant for examining the territorial operation of the legislation, two principles that are generally accepted for imposition of tax are: (a) Source and (b) Residence. Section 5 of the Income Tax Act specifies the

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principle on which tax can be levied.

Section 5(1) prescribes

“residence” as a primary basis for imposition of tax and makes the global income of the resident liable to tax. Section 5(2) is the source based rule in relation to residents and is confined to:

income that has been received in India; and

income that has accrued or arisen in India or income that is deemed to accrue or arise in India. In the case of Resident in India, the total income, according to the residential status is as under:

(a) Any income which is received or deemed to be received in India in the relevant previous year by or on behalf of such person;

(b) Any income which accrues or arises or is deemed to accrue or arise in India during the relevant previous year; and (c) Any income which accrues or arises outside India during the relevant previous year. In the case of Resident but not Ordinarily Resident in India, the principle is as follows:

(a) Any income which is received or deemed to be received in India in the relevant previous year by or on behalf of such person;

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(b) Any income which accrues or arises or is deemed to accrue or arise in India to him during the relevant previous year; and (c) Any income which accrues or arises to him outside India during the relevant previous year, if it is derived from a business controlled in or a profession set up in India. In the case of Non-Resident, income from whatsoever source derived forms part of the total income. It is as follows:

(a) Any income which is received or is deemed to be received in India during the relevant previous year by or on behalf of such person; and (b) Any income which accrues or arises or is deemed to accrue or arise to him in India during the relevant previous year.

161.

Section 9 of the Income Tax Act extends its provisions

to certain incomes which are deemed to accrue or arise in India. Four kinds of income which otherwise may not fall in Section 9, would be deemed to accrue or arise in India, which are (a) a business connection in India; (b) a property in India;

(c) an establishment or source in India; and (d) transfer of a capital asset in India.

Income deemed to accrue or arise in India Section 9

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(1) The following incomes shall be deemed to accrue or arise in India : (i)

all income accruing or arising, whether directly or indirectly, through or from any business connection in India, or through or from any property in India, or through or from any asset or source of income in India, or through the transfer of a capital asset situate in India.

[Explanation 1] – For the purposes of this clause – (a) in the case of a business of which all the operations are not carried out in India, the income of the business deemed under this clause to accrue or arise in India shall be only such part of the income as is

reasonably attributable to the operations carried out in India ;

(b) in the case of a non-resident, no income shall be deemed to accrue or arise in India to him through or from operations which are confined to the purchase of goods in India for the purpose of export;

(c) in the case of a non-resident, being a person engaged in the business of running a news agency or of publishing newspapers, magazines or journals, no income shall be deemed to accrue or arise in India to him through or from activities which are confined to the collection of news and views in India for transmission out of India;]

(a)

in the case of a non-resident, being - (1) an individual who is not a citizen of India; or

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(2) a firm which does not have any partner who is a citizen of India who is resident in India; or (3) a company which does not have any shareholder who is a citizen of India or who is resident in India.”

162.

The meaning that we have to give to the expressions

“either directly or indirectly”, “transfer”, “capital asset” and “situated in India” is of prime importance so as to get a proper insight on the scope and ambit of Section 9(1)(i) of the Income Tax Act.

The word “transfer” has been defined in

Section 2(47) of the Income Tax Act. The relevant portion of the same is as under:

“2(47)

“Transfer”, in relation to a capital asset, includes.(i)

the sale, exchange or relinquishment of the asset; or

(ii)

the extinguishment therein; or

any

rights

(iii)

the compulsory acquisition under any law; or

thereof

(iv)

in a case where the asset is converted by the owner thereof into, or is treated by him as, stock-in-trade of a business carried on by him, such conversion or treatment; or xxx xxx

xxx xxx

of

xxx xxx”

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The term “capital asset” is also defined under Section 2(14) of the Income Tax Act, the relevant portion of which reads as follows:

“2(14)

“Capital asset” means property of any kind held by an assessee, whether or not connected with the business or profession, but does not include(i)

any stock-in-trade, consumable stores or raw materials held for the purposes of his business or profession; xxx xxx

163.

xxx xxx

xxx xxx”

The meaning of the words “either directly or

indirectly”, when read textually and contextually, would indicate that they govern the words those precede them, namely the words “all income accruing or arising”.

The

section provides that all income accruing or arising, whether directly or indirectly, would fall within the category of income that is deemed to accrue or arise in India. Resultantly, it is only where factually it is established that there is either a business connection in India, or a property in India, or an asset or source in India or a capital asset in India, the transfer of which has taken place, the further question arises

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whether there is any income deeming to accrue in India from those situations.

In relation to the expression “through or

from a business connection in India”, it must be established in the first instance that (a) there is a non-resident; (b) who has a business connection in India; and (c) income arises from this business connection.

164.

Same is the situation in the case of income that

“arises through or from a property in India”, i.e. (a) there must be, in the first instance, a property situated in India; and (b) income must arise from such property. Similarly, in the case of “transfer of a capital asset in India”, the following test has to be applied: (a) there must be a capital asset situated in India, (b) the capital asset has to be transferred, and (c) the transfer of this asset must yield a gain. The word ‘situate’, means to set, place, locate. The words “situate in India” were added in Section 9(1)(i) of the Income Tax Act pursuant

to

the
recommendations

of
the
12th

Law

Commission dated 26.9.1958.

165.

Section 9 on a plain reading would show, it refers to
a property that yields an income and that property should

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have the situs in India and it is the income that arises through or from that property
which is taxable.

Section 9,

therefore, covers only income arising from a transfer of a capital asset situated in India
and it does not purport to cover income arising from the indirect transfer of capital
asset in India.

SOURCE

166.

Revenue placed reliance on “Source Test” to

contend that the transaction had a deep connection with India, i.e. ultimately to
transfer control over HEL and hence the source of the gain to HTIL was India.

167.

Source

in
relation

to
an
income

has
been

construed to be where the transaction of sale takes place and not where the item of
value, which was the subject of the transaction, was acquired or derived from.

HTIL and

Vodafone are off-shore companies and since the sale took

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place outside India, applying the source test, the source is also

outside

India,

unless

legislation

ropes

in

such

transactions.

168.

Substantial territorial nexus between the income and

the territory which seeks to tax that income, is of prime importance to levy tax. Expression used in Section 9(1)(i) is “source of income in India” which implies that income arises from that source and there is no question of income arising indirectly from a source in India.

Expression used is

“source of income in India” and not “from a source in India”. Section 9 contains a “deeming provision” and in interpreting a provision creating a legal fiction, the Court is to ascertain for what purpose the fiction is created, but in construing the fiction it is not to be extended beyond the purpose for which it is created, or beyond the language of section by which it is created. [See C.I.T. Bombay City II v. Shakuntala (1962) 2 SCR 871, Mancheri Puthusseri Ahmed v. Kuthiravattam Estate Receiver (1996) 6 SCC 185].

169.

Power to impose tax is essentially a legislative

function which finds in its expression Article 265 of the

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Constitution of India. Article 265 states that no tax shall be levied except by authority of law.

Further, it is also well

settled that the subject is not to be taxed without clear words for that purpose; and also that every Act of Parliament

must

be

read

construction of its words.

according

to

the

natural

Viscount Simon quoted with

approval a passage from Rowlatt, J. expressing the principle in the following words:

“In a taxing Act one has to look merely at what is clearly said.

There is no room for any intendment. There is no equity about a tax.

There is no presumption as to tax. Nothing is to be read in, nothing is to be implied. One can only look fairly at the language used. [Cape Brandy Syndicate v. IRC (1921) 1 KB 64, P. 71 (Rowlatt,J.)]”

170. In Ransom (Inspector of Tax) v. Higgs 1974 3 All ER 949 (HL), Lord Simon stated that it may seem hard that a cunningly advised tax-payer should be able to avoid what appears to be his equitable share of the general fiscal burden and cast it on the shoulders of his fellow citizens. But for the Courts to try to stretch the law to meet hard cases (whether the hardship appears to bear on the individual tax-payer or on the general body of tax-payers as represented by the

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Inland Revenue) is not merely to make bad law but to run the risk of subverting the rule of law itself. The proper course in construing revenue Acts is to give a fair and reasonable construction to their language without leaning to one side or the other but keeping in mind that no tax can be imposed without words clearly showing an intention to lay the burden and that equitable construction of the

words is not

permissible [Ormond Investment Co. v. Betts (1928) All ER Rep 709 (HL)], a principle entrenched in our jurisprudence as well. In Mathuram Aggarwal (supra), this Court relied on the judgment in Duke of Westminster and opined that the charging section has to be strictly construed. An invitation to purposively construe Section 9 applying look through provision without legislative sanction, would be contrary to the ratio of Mathuram Aggarwal.

171.

Section 9(1)(i) covers only income arising or accruing

directly or indirectly or through the transfer of a capital asset situated in India.

Section 9(1)(i) cannot by a process of

“interpretation” or “construction” be extended to cover

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“indirect transfers” of capital assets/property situate in India.

172.

On transfer of shares of a foreign company to a non-

resident off-shore, there is no transfer of shares of the Indian Company, though held by the foreign company, in such a case it cannot be contended that the transfer of shares of the foreign holding company, results in an extinguishment of the foreign company control of the Indian company and it also does not constitute an extinguishment and transfer of an asset situate in India.

Transfer of the

foreign holding company’s share off-shore, cannot result in an extinguishment of the holding company right of control of the Indian company nor can it be stated that the same constitutes extinguishment and transfer of an asset/ management and control of property situated in India.

173.

The Legislature wherever wanted to tax income which

arises indirectly from the assets, the same has been specifically provided so. For example, reference may be made to Section 64 of the Indian Income Tax Act, which says that

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in computing the total income of an individual, there shall be included all such income as arises directly or indirectly: to the son’s wife, of such individual, from assets transferred directly or indirectly on and after 1.6.73 to the son’s wife by such individual otherwise than for adequate consideration. The same was noticed by this Court in CIT v. Kothari (CM), (1964) 2 SCR 531.

Similar expression like “from asset

transferred directly or indirectly”, we find in Sections 64(7) and (8) as well. On a comparison of Section 64 and Section 9(1)(i) what is discernible is that the Legislature has not chosen to extend Section 9(1)(i) to “indirect transfers”. Wherever “indirect transfers” are intended to be covered, the Legislature has expressly provided so.

The words “either

directly or indirectly”, textually or contextually, cannot be construed to govern the words that follow, but must govern the words that precede them, namely the words “all income accruing or arising”.

The words “directly or indirectly”

occurring in Section 9, therefore, relate to the relationship and connection between a non-resident assessee and the income and these words cannot and do not govern the relationship between the transaction that gave rise to income

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and the territory that seeks to tax the income.

In other

words, when an assessee is sought to be taxed in relation to an income, it must be on the basis that it arises to that assessee directly or it may arise to the assessee indirectly. In other words, for imposing tax, it must be shown that there is specific nexus between earning of the income and the territory which seeks to lay tax on that income. Reference may also be made to the judgment of this Court in *Ishikawajma-Harima Heavy Industries Ltd. v. Director of Income Tax, Mumbai* (2007) 3 SCC 481 and *CIT v. R.D.*

Aggarwal (1965) 1 SCR 660.

174.

Section 9 has no “look through provision” and such a

provision

cannot

be

brought

through

construction

or

interpretation of a word ‘through’ in Section 9. In any view, “look through provision” will not shift the situs of an asset from one country to another. Shifting of situs can be done only by express legislation.

Federal Commission of

Taxation v. Lamesa Holdings BV (LN) – (1998) 157 A.L.R. 290 gives an insight as to how “look through” provisions are

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enacted. Section 9, in our view, has no inbuilt “look through mechanism”.

175.

Capital gains are chargeable under Section 45 and

their computation is to be in accordance with the provisions that follow Section 45 and there is no notion of indirect transfer in Section 45.

176.

Section 9(1)(i), therefore, in our considered opinion,

will not apply to the transaction in question or on the rights and entitlements, stated to have transferred, as a fall out of the sale of CGP share, since the Revenue has failed to

establish both the tests, Resident Test as well the Source Test.

177.

Vodafone, whether, could be proceeded against under

Section 195(1) for not deducting tax at source and, alternatively, under Section 163 of the Income Tax Act as a representative assessee, is the next issue.

SECTION 195 AND OFFSHORE TRANSACTIONS

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178.

Section 195 provides that any person responsible for

making any payment to a non-resident which is chargeable to tax must deduct from such payment, the income tax at source. Revenue contended that if a non-resident enters into a transaction giving rise to income chargeable to tax in India, the necessary nexus of such non-resident with India is established and the machinery provisions governing the collection of taxes in respect of such chargeable income will spring into operation.

Further, it is also the stand of the

Revenue that the person, who is a non-resident, and not having a physical presence can be said to have a presence in India for the purpose of Section 195, if he owns or holds assets in India or is liable to pay income tax in India.

Further, it is also the stand of the Revenue that once chargeability is established, no further requirements of nexus needs to be satisfied for attracting Section 195.

179.

Vodafone had “presence” in India, according to the

Revenue at the time of the transaction because it was a Joint Venture (JV) Partner and held 10% equity interest in Bharti Airtel Limited, a listed company in India. Further, out of that

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10%, 5.61% shares were held directly by Vodafone itself.

Vodafone had also a right to vote as a shareholder of Bharati Airtel Limited and the right to appoint two directors on the Board of Directors of Bharti Airtel Limited.

Consequently, it

was stated that Vodafone had a presence by reason of being a JV Partner in HEL on completion of HEL’s acquisition. Vodafone had also entered into Term Sheet Agreement with Essar Group on 15.03.2007 to regulate the affairs of VEL which was restated by a fresh Term Sheet Agreement dated 24.08.2007, entered into with Essar Group and formed a JV Partnership in India.

Further, Vodafone itself applied for

IFPB

was

approval

07.05.2007.

and

granted

such

approval

on

On perusal of the approval, according to the

Revenue, it would be clear that Vodafone had a presence in India on the date on which it made the payment because of the approval to the transaction accorded by FIPB. Further, it was also pointed out that, in fact, Vodafone had presence in India, since by mid 1990, it had entered into a JV arrangement with RPG Group in the year 1994-95 providing cellular services in Madras, Madhya Pradesh circles.

After

parting with its stake in RPG Group, in the year 2003,

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Vodafone in October, 2005 became a 10% JV Partner in HEL.

Further, it was pointed out that, in any view, Vodafone could be treated as a representative assessee of HTIL and hence, notice under Section 163 was validly issued to Vodafone.

180.

Vodafone has taken up a specific stand that “tax

presence” has to be viewed in the context of the transaction that is subject to tax and not with reference to an entirely unrelated matter.

Investment made by Vodafone group in

Bharti Airtel would not make all entities of Vodafone group of companies subject to the Indian Law and jurisdiction of the Taxing Authorities.

“Presence”, it was pointed out, be

considered in the context of the transaction and not in a manner

that

brings

a

non-resident

jurisdiction of Indian Tax Authorities.

assessee

under

Further, it was stated

that a “tax presence” might arise where a foreign company, on account of its business in India, becomes a resident in India through a permanent establishment or the transaction relates to the permanent establishment.

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181.

Vodafone group of companies was a JV Partner in

Bharti Airtel Limited which has absolutely no connection whatsoever with the present transaction. The mere fact that the Vodafone group of companies had entered into some transactions with another company cannot be treated as its presence in a totally unconnected transaction.

182.

To examine the rival stand taken up by Vodafone and

the Revenue, on the interpretation of Section 195(1) it is necessary to examine the scope and ambit of Section 195(1) of the Income Tax Act and other related provisions. For easy reference, we may extract Section 195(1) which reads as follows:

“Section 195. OTHER SUMS.- (1) Any person responsible for paying to a non-resident, not being a company, or to a foreign company, any interest or any other sum chargeable under the provisions of this Act (not being income chargeable under the head "Salaries" shall, at the time of credit of such income to the account of the payee or at the time of payment thereof in cash or by the issue of a cheque or draft or by any other mode, whichever is earlier, deduct income-tax thereon at the rates in force :

Provided that in the case of interest payable by the Government or a public sector bank within the meaning of clause (23D) of section 10 or a public financial institution within the meaning

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of that clause, deduction of tax shall be made only at the time of payment thereof in cash or by the issue of a cheque or draft or by any other mode:

Provided further that no such deduction shall be made in respect of any dividends referred to in section 115-O.

Explanation: For the purposes of this section, where any interest or other sum as aforesaid is credited to any account, whether called "Interest payable account" or "Suspense account" or by any other name, in the books of account of the person liable to pay such income, such crediting shall be deemed to be credit of such income to the account of the payee and the provisions of this section shall apply accordingly.” Section

195 finds a place in Chapter XVII of the Income Tax Act which deals with collection and recovery of tax. Requirement to deduct tax is not limited to deduction and payment of tax.

It requires compliance with a host of

statutory requirements like Section 203 which casts an obligation on the assessee to issue a certificate for the tax deducted, obligation to file return under Section 200(3), obligation to obtain “tax deduction and collection number” under Section 203A etc.

Tax deduction provisions enables

the Revenue to collect taxes in advance before the final assessment,

which

is

essentially

meant

to

make

tax

collection easier. The Income Tax Act also provides penalties

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for failure to deduct tax at source. If a person fails to deduct tax, then under Section 201 of the Act, he can be treated as an assessee in default. Section 271C stipulates a penalty on the amount of tax which has not been deducted. Penalty of jail sentence can also be imposed under Section 276B. Therefore, failure to deduct tax at source under Section 195 may attract various penal provisions.

183.

Article 246 of the Constitution gives Parliament the

authority

to make

application.

laws

which

are

extra-territorial

in

Article 245(2) says that no law made by the

Parliament shall be deemed to be invalid on the ground that it would have extra territorial operation. Now the question is whether Section 195 has got extra territorial

operations. It is trite that laws made by a country are intended to be applicable to its own territory, but that presumption is not universal unless it is shown that the intention was to make the law applicable extra territorially.

We have to examine

whether the presumption of territoriality holds good so far as Section 195 of the Income Tax Act is concerned and is there any reason to depart from that presumption.

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184.

A literal construction of the words “any person

responsible for paying” as including non-residents would lead to absurd consequences. A reading of Sections 191A, 194B, 194C, 194D, 194E, 194I, 194J read with Sections 115BBA, 194I, 194J would show that the intention of the Parliament was first to apply Section 195 only to the residents who have a tax presence in India. It is all the more so, since the person responsible

has

to

comply

with

various

statutory

requirements such as compliance of Sections 200(3), 203 and 203A.

185.

The expression “any person”, in our view, looking at

the context in which Section 195 has been placed, would mean any person who is a resident in India. This view is also supported, if we look at similar situations in other countries, when tax was sought to be imposed on non-residents.

One

of the earliest rulings which paved the way for many, was the decision in *Ex Parte Blain*;

In re Sawers

(1879) LR 12

ChD 522 at 526, wherein the Court stated that “if a foreigner remain abroad, if he has never come into this country at all, it seems impossible to imagine that the English Legislature

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could ever have intended to make such a person subject to particular English Legislation.”

In *Clark* (Inspector of

Taxes) v. *Oceanic Contractors Inc.* (1983) 1 ALL ER 133, the House of Lords had to consider the question whether chargeability has ipso facto sufficient nexus to attract TDS provisions.

A TDS provision for payment made outside

England was not given extra territorial application based on the principle of statutory interpretation.

Lord Scarman,

Lord Wilberforce and Lord Roskill held so on behalf of the majority and Lord Edmond Davies and Lord Lowry in dissent.

Lord Scarman said :

“unless the contrary is expressly enacted or so plainly implied as to make it the duty of an English court to give effect to it, United Kingdom Legislation is applicable only to British subjects or to foreigners who by coming into this country, whether for a long or short time, have made themselves during that time subject to English jurisdiction.”

The above principle was followed in *Agassi v.*

Robinson [2006] 1 WLR 2126.

186.

This Court in *CIT v. Eli Lilly and Company (India)*

P. Ltd. (2009) 15 SCC 1 had occasion to consider the scope of Sections 192, 195 etc.

That was a case where *Eli Lilly*

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Netherlands seconded expatriates to work in India for an India-incorporated joint venture (JV) between *Eli Lilly Netherlands* and another Indian Company. The expatriates rendered services only to the JV and received a portion of their salary from the JV.

The JV withheld taxes on the

salary actually paid in India. However, the salary costs paid by *Eli Lilly Netherlands* were not borne by the JV and that portion of the income was not subject to withholding tax by *Eli Lilly* or the overseas entity. In that case, this Court held that the chargeability under Section 9 would constitute sufficient nexus on the basis of which any payment made to non-residents as salaries would come under the scanner of Section 192. But the Court had no occasion to consider a situation where salaries were paid by non-residents to another non-resident.

Eli Lilly was a part of the JV and

services were rendered in India for the JV. In our view, the ruling in that case is of no assistance to the facts of the present case since, here, both parties were non-residents and payment was also made offshore, unlike the facts in Eli Lilly where the services were rendered in India and received a portion of their salary from JV situated in India.

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187.

In the instant case, indisputedly, CGP share was

transferred offshore. Both the companies were incorporated not in India but offshore. Both the companies have no income or fiscal assets in India, leave aside the question of transferring, those fiscal assets in India. Tax presence has to be viewed in the context of transaction in question and not with reference to an entirely unrelated transaction. Section 195, in our view, would apply only if payments made from a resident to another non-resident and not between two nonresidents situated outside India.

In the present case, the

transaction was between two non-resident entities through a contract executed outside India. passed outside India.

Consideration was also

That transaction has no nexus with

the underlying assets in India. In order to establish a nexus, the legal nature of the transaction has to be examined and not the indirect transfer of rights and entitlements in India. Consequently, Vodafone is not legally obliged to respond to Section 163 notice which relates to the treatment of a purchaser of an asset as a representative assessee.

PART-VIII

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CONCLUSION:

188.

I, therefore, find it difficult to agree with the

conclusions arrived at by the High Court that the sale of CGP share by HTIL to Vodafone would amount to transfer of a capital asset within the meaning of Section 2(14) of the Indian Income Tax Act and the rights and entitlements flow from FWAs, SHAs, Term Sheet, loan assignments, brand license etc. form integral part of CGP share attracting capital gains tax.

Consequently, the demand of nearly

Rs.12,000 crores by way of capital gains tax, in my view, would amount to imposing capital punishment for capital investment since it lacks authority of law and, therefore, stands quashed and I also concur with all the other directions given in the judgment delivered by the Lord Chief Justice.

.....J.

(K.S. Radhakrishnan)

New Delhi January 20, 2012